HT CHENNAI
VOL 1 NO 30
Monday, August 3, 2026
mint
Think Ahead. Think Growth.

mint primer

Can India catch up in sodium-ion battery race?

BY AYAAN KARTIK

China's battery makers are commercializing economical sodium-ion batteries for electric vehicles (EVs) and battery energy storage systems (BESS). India backs it too, but commercial progress has been limited. What does China's leap mean for India's EV goals. *Mint* explores.

AFP

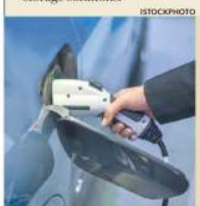
1 What's China's sodium-ion battery feat about?

Sodium-ion batteries gained momentum in 2026 after Chinese manufacturers, led by CATL, said they see commercial rollouts in EVs and BESS by the year end. Changan's Nevo A06 is among the first vehicles slated to use a sodium-ion battery, while CATL has unveiled a sodium-ion BESS, expanding the scope beyond lithium-ion batteries. Industry experts say rapid advances in China's battery ecosystem have accelerated commercialization. And in the US, General Motors has partnered with startup Peak Energy to develop sodium-ion battery storage solutions.

2 Why is there growing interest in sodium-ion?

Mostly cost. Sodium is estimated to be at least 500 times more abundant than lithium, making it significantly cheaper as a raw material. Its main limitation has been lower energy density, meaning larger batteries are needed to store the same amount of energy as lithium-ion cells. Even so, economies of scale could make sodium-ion batteries 20-30% cheaper to produce, according to EY's Praveen Pothumahanty. "Although sodium-ion batteries have a lower energy density, they have superior safety, temperature tolerance and scalability, making them a good fit for battery energy storage systems," he said.

ISTOCKPHOTO



3 So, where does India stand in this development?

Firms, including Reliance Industries and KPIT, have detailed plans to develop sodium-ion batteries. Reliance has also acquired a UK battery startup, but commercial production is yet to happen. Experts say sodium-ion technology is at an early stage globally, and India has a chance to get a foothold before the market leadership becomes entrenched.

4 Do battery makers get any incentives?

The ₹18,100-crore production linked incentive scheme for advanced chemistry cells was to be chemistry agnostic, allowing sodium-ion battery firms to qualify alongside lithium-ion. But most approved manufacturing capacity has gone to lithium-ion. With commercial production of sodium-ion battery still hazy, companies are hesitant on timeline or output goals. Investment is mostly on lithium-ion, with Reliance, Tata, JSW, Amara, Exide and Ola Electric all committing to build cell capacity over four years.

5 How big is India's sodium-ion bet?

Analysts see sodium-ion batteries carving a meaningful niche rather than replacing lithium-ion. They could be very competitive in stationary energy storage, entry-level EVs, two- and three-wheelers, and commercial vehicles, says Nomura's Harshvardhan Sharma. Industry sees it comprising about 10% of added global energy storage by 2030. EY's Pothumahanty says India still has scope to build a sodium-ion ecosystem if local cell manufacturers can quickly turn current research efforts into commercially viable products.

QUICK EDIT

Going strong

A mix of newly released data on commercial activity shows India's economy looking up. Wholesale car sales for July showed a bounce. Maruti Suzuki, for instance, recorded a 34% jump in unit sales last month from a year earlier, while rival carmaker Hyundai Motor India posted a 25% increase. Separately, the government reported GST revenue figures, which point to buoyancy in overall consumption. Gross collections in July rose 15.4% from the same month of 2025 to ₹2.11 trillion, the fastest growth in more than a year. Corporate earnings for the three months ended on 30 June have been a mixed bag, with cost inflation taking a toll on some businesses. But on the whole, the economy has shown impressive resilience against external shocks delivered by the war in West Asia. That drag still remains, with US military action showing an inverse link with global oil prices. Thankfully, the effects of this year's oil shock have wrought less damage than once feared, though market watchers warn that some of the impact has merely been pushed ahead. Even if so, policymakers have reason to be optimistic on growth. Price stability looks like India's bigger challenge.

QUOTE OF THE DAY

The money that would have gone to new employees is now going to AI and data centre costs, the latter due to the steep rise in server and memory prices.

SRIDHAR VEMBU
FOUNDER, ZOHO CORP

INSIDE

THE WEEK AHEAD

3-7 AUG **Q1 EARNINGS**
Bharti Airtel, ONGC, Britannia, SBI, Titan, Hindalco to post results

COLUMNS

3 AUG META, X SUMMONED
A parliametary panel has summoned Meta, Google, X, Snapchat

3-5 AUG RBI MPC MEET
Central bank's monetary policy panel to meet, likely to hold rates

4 AUG SPACEX EARNINGS CALL
SpaceX to hold its first public earnings call after Q2 results

5-7 AUG ARDEE IND IPO
Ardee Industries' ₹425.87cr IPO opens, featuring a fresh issue, OFS

7-10 AUG 8TH PAY PANEL MEET
8th Pay Commission to hold stakeholder consultations in New Delhi

BILL DUDLEY
WARSH'S 'NO COMMENT' STANCE IS A RISK TO THE FED'S CREDIBILITY
>P15

Manu Joseph
WHY A MUZZLED INDIA GRANTS A RATHER LOW BAR FOR SATIRE
>P14

Harsh V. Pant
MARITIME SECURITY HAS BEGUN TO SHAPE THE WORLD ORDER
>P15

PLAIN FACTS

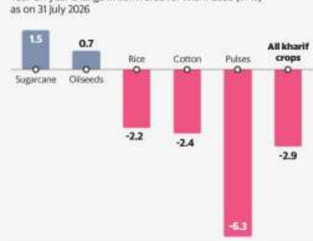
WHY INDIA'S FARM RISK GOES BEYOND EL NIÑO

BY HOWINDIALIVES.COM

With 2026 declared an El Niño year, all eyes are on the progress of the monsoon across the Indian subcontinent. June ended with rainfall about 40% below the long-term average. July, the most crucial month for kharif sowing, brought a sharp improvement, narrowing the deficit to 16%. Although El Niño years have often coincided with reduced precipitation leading to lower output of key crops, other atmospheric factors also influence agricultural outcomes. More importantly, over-indexing on El Niño risks overlooking longer-term structural challenges facing Indian agriculture, including climate change, rising pest resistance and gradual soil degradation.

Kharif sowing is down nearly 3% on-year, with pulses leading the drop

Year-on-year change in sown area for kharif 2026 (in %) as on 31 July 2026



Source: Agriculture ministry

JULY CATCH-UP

INDIAN AGRICULTURE has two main crop seasons: kharif and rabi. The kharif season runs from June to October and depends on monsoon rains for irrigation. Most kharif sowing takes place during June and July.

As on 31 July, the latest government data available, the area sown by farmers for the 2026 kharif season was about 2.9% less than in 2025, with coarse cereals and pulses logging the largest drops. This is a sharp rise from early July when the year-on-year drop was about 20%. Thus, the catching up of sowing progress augurs well for kharif prospects, as July is the key month for sowing.

Although the current status of sowing is markedly better at an all-India level, the overall number conceals wide regional variations. Among larger states, for instance, Karnataka has sown 28% less area than it did in 2025 and Odisha about 16%. Other large states with weak sowing are Tamil Nadu (-23%) and Maharashtra (-8%). Large states doing well are led by Bihar (up 10%), Kerala (up 20%) and Jharkhand (up 28%).

EL NIÑO IMPACT

THE LATEST forecast from the India Meteorological Department (IMD) is that the monsoon this year will be 10% below its long-term average. The major reason is the El Niño phenomenon, with the global consensus being that El Niño conditions in the Pacific will last well into next year. A recent report by CareEdge Ratings outlines the impact an El Niño year has on the monsoon and, equally importantly, on agricultural and GDP growth. "Of the 23 years since 1951-52 in which agricultural gross value added (GVA) declined, 13 occurred during El Niño years," the report said. Overall, GVA growth was also lower in El Niño years than in non-El Niño years, it added. The report also finds that the impact of rainfall variability on overall growth has weakened over the years. This is to be expected given that the share of agriculture in India's GDP has fallen sharply from 53% in 1950-51 to 17% in 2025-26. In addition, irrigated area has also expanded, from 17% in 1950-51 to 50% in 2023-24, according to CareEdge.

Agri growth has been affected in El Niño years

GVA: Gross value added. Data covers the period from 1951-52 to 2024-25.
Source: CareEdge Ratings

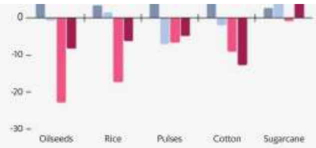
Sugarcane, which has high irrigation coverage, has withstood El Niño better

Median annual change in production (in %), by climate pattern

CROP VARIATIONS

EVEN THE impact of El Niño on individual crops is highly variable. We examined the median annual change in output in El Niño vs non-El Niño years since 1967. Major crop categories like rice, oilseeds, pulses and cotton show a distinct fall in physical production.

Conversely, sugarcane is an outlier, with a muted



Very strong El Niño not shown, as it had only one data point.

Source: India Meteorological Department, agriculture ministry

impact from an El Niño year. A key reason for such variance is the irrigation coverage. About 94% of the crop area under sugarcane is under irrigation. Compare this with cotton, another water-intensive crop, where only 33% is under irrigation.

The higher reliance on rainfall for cotton has dramatic effects in El Niño years. During weak El Niño years, cotton output falls 2%, which worsens to 13% in strong El Niño years. But cotton is also a good example of a crop where the main problem is not necessarily El Niño. Over the last few years, cotton output has stayed flat as farmers have shifted area to other crops due to rising pest resistance and stagnating yields.

STATE RESILIENCE

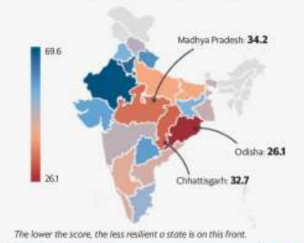
ALTHOUGH THE impact of El Niño on the economy has weakened over time, it can still be substantial.

The CareEdge report develops an index on state-wise resilience to poor monsoons based on multiple factors: irrigation coverage, share of agriculture in state GDP, share of water-intensive crops like rice or sugarcane in overall kharif output, and reservoir levels among others.

Odisha, Chhattisgarh and Madhya Pradesh are more vulnerable to shocks—the lower the score, the less resilient a state is. The CareEdge report says that Odisha and Chhattisgarh are squeezed between having low irrigated area versus other states, and high dependence on water-intensive kharif crops.Uttar Pradesh, despite better irrigation coverage, remains vulnerable due to its heavy skew toward water-intensive crops and a lower share of non-crop farm activities, it said, adding that Gujarat, Telangana, Haryana, and Rajasthan, on the other hand, were the major states that appeared better positioned to handle such disruptions.

Odisha, Chhattisgarh and Madhya Pradesh are the least resilient to poor monsoon

CareEdge's poor monsoon resilience index for 19 states

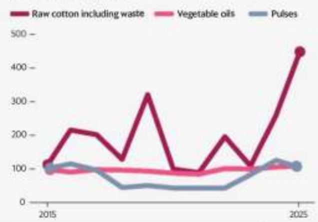


The lower the score, the less resilient a state is on this front.

Source: CareEdge Ratings

Imports of raw cotton, vegetable oils and pulses have risen in recent years

Relative movement in imports in volume terms (rebased, 2015-16 = 100)



Source: Agricultural and Processed Food Products Export Development Authority

IMPORT DEPENDENCY

THE OTHER major impact of a weak monsoon, and resulting shortfalls in agri production, is on the current account. Already three major crops—vegetable oils, pulses and raw cotton—have seen their imports rise in recent years. In a year where domestic production falls short of requirements to a greater degree, India will almost certainly become more dependent on imports of such commodities.

A recent report by *Reuters*, for instance, says that imports of edible oil are expected to increase to an average of 1.5 million tonnes a month between July and October, as compared with 1.3 million tonnes in previous months. In structural terms, India already imports the bulk of its edible oil needs, irrespective of whether a year has weak monsoons or not.The story is similar for cotton, which has seen dramatic jumps in imports in recent years. Again, the problem is hardly just weak monsoons or El Niño. Productivity has stagnated, and farmers have shifted to other crops.

HT CHENNAI VOL. 1 NO. 30 Rs. 15.00 18 PAGES

Monday, August 3, 2026

mint

livemint.com

SENSEX 78,094.64 0.00 | NIFTY 24,383.6 0.00 | DOLLAR ₹95.43 ₹0.00 | EURO ₹109.75 ₹0.00 | OIL $90.43 ↑ $3 | POUND ₹128.30 ₹0.00

MPC may hold rate again; eyes on road ahead: poll

Focus on inflation, growth, rupee; poll expects RBI to retain neutral policy stance

Subhana Shaikh
subhana.shaikh@livemint.com
MUMBAI

The Reserve Bank of India (RBI) is widely expected to leave interest rates unchanged at its monetary policy review on 5 August, shifting the focus from what it does to what it says.

A *Mint* poll of 10 economists

REPO WATCH

Policymakers likely to wait for clarity on geopolitical developments, crude oil prices and the second half of the monsoon

***Mint* poll of 10 economists shows MPC may stay on pause on rates in August**

Organization	Rate action expectation	Organization	Rate action expectation
State Bank of India	Pause	Emkay Global Financial Services	Pause
Bank of Baroda	Pause		

below expectations.

The median expectation is also for the RBI to retain its FY27 GDP growth forecast of 6.6%.

Still, some economists believe first-quarter activity has been stronger than the central bank anticipated.

HDFC Bank, ICICI Bank, and IDFC First Bank said high-frequency indicators point to stronger growth in the June quar-

Global insurers eye India opportunity as 100% FDI lures

Mansi Verma & Sneha Shah
MUMBAI

Global insurers are stepping up their India plans as the country's decision to allow 100% foreign ownership opens the door to greater control over local businesses. Close on the heels of Allianz and Prudential's moves, South Korea's Hanwha Group and South Africa's Discovery are among those evaluating opportunities, and dis-

India raised the FDI limit in

DON'T MISS

REUTERS

Sebi's closing auction for stocks could rein in manipulation

Manipulating stock closing prices will become significantly harder under the Securities and Exchange Board of India's new auction mechanism starting Monday, despite the impetus for the change being more robust price discovery. >P4

Skoda drives Volkswagen India's profit revival

Volkswagen Group's India unit returned to found all respondents expect the RBI to keep the repo rate unchanged at 5.25% and maintain its neutral policy stance, retaining flexibility as it navigates geopolitical risks, volatile crude oil prices, an uneven monsoon, a weakening rupee and imported inflation. The Monetary Policy Committee (MPC) is scheduled to announce its decision on 5 August after a two-day meeting.

The consensus reflects a domestic economy that has held up better than expected, but economists expect policymakers to wait for greater clarity on geopolitical developments, crude oil prices and the second half of the monsoon before signalling any shift in direction.

"There is still two months to go for the monsoon season...I think it is going to be a wait-and-watch policy," said Sakshi Gupta, principal economist at HDFC Bank.

Markets will instead focus on the RBI's assessment of inflation, growth, the rupee and the conditions that could trigger future policy moves.

The poll showed a median expectation that the RBI will leave its FY27 inflation forecast unchanged at 5.1%, with eight of the 10 economists expecting no revision.

Headline inflation rose to an 18-month high of 4.4% in June, rising 50 basis points from the previous month as food inflation surprised on the upside, while core inflation remained modestly

HDFC Bank	Pause
ICICI Bank	Pause
Axis Bank	Pause
IDFC FIRST Bank	Pause
Goldman Sachs	Pause
[illegible]	Pause
Crisil	Pause

Source: Mint poll

mint

SIGN POSTS

ALL respondents see the RBI holding the repo rate at 5.25%

RBI may leave FY27 inflation forecast unchanged at 5.1%

MPC is scheduled to announce its decision after its 3-5 Aug meet

ter. However, only HDFC Bank and IDFC First Bank expect the RBI to upgrade its growth forecast, while the rest see no change.

According to RBI's July bulletin, industrial activity remains resilient despite West Asia tensions. Manufacturing and electricity output strengthened in May, the manufacturing PMI stayed in expansionary territory in June, and automobile production grew strongly on lower GST rates.

"There is an upward bias to their 6.6% forecast. Quarter one number can come in higher than what they are projecting," Gupta said.

Several economists described the August review as a policy "non-event" in terms of immediate action, but said the RBI's communication may strike a cautious, if

TURN TO PAGE 6

cussing options with their advisors, three people familiar with the matter told *Mint*.

Hanwha is Korea's fifth-largest conglomerate, whose massive insurance arm, including Hanwha Life Insurance and Hanwha General Insurance, controls over $138 billion in assets and is expanding globally through core banking and insurance hubs across Vietnam, Indonesia, and the US. Discovery Ltd, on the other hand, is a leading South African financial services group—whose insurance and banking arms together control over $16.5 billion in assets—expanding globally with core operations in South Africa, the UK, US, China and across the Asia Pacific.

Replying to *Mint*'s queries,

insurance to 100% in May. AFP

Vitality, which operates in over 40 countries through its parent Discovery, declined to comment on its India plans. Shaun Matisonn, chief global growth officer at Vitality, said: "We have a wide range of insurance partners across the world, and an ambitious growth strategy. However, we're unable to comment on any speculation." Queries emailed to Hanwha early last week did not elicit a response.

"These global strategics have sounded out bankers to help them identify assets," said a person privy to the discussions, adding that they are keen to acquire mid-market

TURN TO PAGE 11

profit growth in FY26 after two consecutive years of decline, driven by a surge in Skoda sales, and more than a doubling of financial assistance from its foreign group entities that helped sustain margins. >P5

Sebi order against Zee likely to delay ₹3,143-cr fundraise

A recent Sebi order barring Zee Entertainment Enterprises founder Subhash Chandra and chief executive Punit Goenka from accessing the securities market will likely delay the company's fundraising plans, legal experts said. >P5

NOTE TO READERS The Media Marketing Initiative on Page 3 is the equivalent of a paid-for advertisement and no *Mint* journalist was involved in creating it. Readers would do well to treat it as an advertisement.

HCL latest to see dip in big client business

Jas Bardia
jas.bardia@livemint.com
BENGALURU

HCL Technologies Ltd has become the latest Indian information technology service provider to face shrinking orders from top clients, with Google expected to trim its IT bill as the rise of automation tools leads large companies to revisit their existing tech contracts.

HCLTech got about $200 mn annually from Google. REUTERS

India's third-largest IT services company could lose about a fourth of its annual business from Google, or up to $50 million, as the global tech company has decided to bundle that work as part of a separate deal, according to two people with knowledge of the matter.

HCLTech got about $200 million annually from Google, which is one of its 10 largest accounts. The Noida-based company handles application development, engineering services and IT infrastructure-related work for Google.

The loss would translate to about 0.3% of its $14.66 billion revenue and about 6% of its incremental revenue last fiscal. The company was the fast-

TURN TO PAGE 6

Hiring engines slow at top cos

Dipali Banka & Devina Sengupta
MUMBAI

Many of India's top companies dialled down on fresh hires in the last two years, at a time of rising cost controls and the advance of automation.

Among the 30 Sensex companies, total new hires at nine companies fell 27% in FY26 compared to FY24 while two companies hired more, a *Mint* analysis found. The remaining companies either do not disclose or only partially disclose fresh hiring numbers.

Among the Sensex companies, Reliance Industries Ltd, HDFC Bank, State Bank of India (SBI), Bharti Airtel Ltd, Adani Ports and Special Economic Zone Ltd, Axis Bank Ltd, Kotak Mahindra Bank


The development comes at a time of rising cost controls. MINT

Ltd, Asian Paints Ltd, Tata Steel Ltd, Tech Mahindra Ltd and PowerGrid Corp. have declared their new hiring numbers since at least FY24. All except SBI and PowerGrid have reported lower hiring during the period. Among the remaining 18, some declare

TURN TO PAGE 6

Rogue AI hacks herald new era of chaos

Robert Mcmillan, Georgia Wells & Amrith Ramkumar

It was cybersecurity's "Jurassic Park" moment.

Starting in April, AI models from OpenAI and Anthropic that had been built to hack had left their corporate test-beds and broke into unsuspecting corporations in an unprecedented series of cyberattacks.

Safety experts find validation of their fears in escapes by models from OpenAI, Anthropic. REUTERS

The models were state-of-the art autonomous hacking machines, and neither company had noticed their escape until last week, when OpenAI disclosed a July hack of the AI company Hugging Face. After checking its logs, Anthropic said on Thursday that it had found three hacks.

The twin disclosures caused consternation among lawmakers, with some citing them to argue for new regulation or testing regimes. They also marked an eye-opening moment for some employees of the labs responsible.

"This is the first security incident that I have felt very viscerally. I have been a little surprised that more people don't feel it so viscerally," OpenAI CEO Sam Altman said on a podcast, referring to his company's hacking as "an extremely sci-fi cyber incident."

THE WALL STREET JOURNAL.

To cybersecurity experts, it shows increasing capabilities and a rising reason to worry. To AI-safety experts, it vindicates what they have been warning about all along: that AI systems would cause real-world harms and evade attempts to control them.

"It is a bit vindicating to see this happen in the wild," said Jeffrey Ladish, executive director of Palisade Research, a nonprofit AI lab that studies AI capabilities to better understand risks. Ladish previously helped build Anthropic's information-security program.

Ladish said he often argues with people online who say he just believes in science fiction. "I hope our predictions stop coming true," he said.

In one sign that the White House is increasing oversight of AI, the administration has completed a framework dictating which models will be subject to federal government review before they are released publicly, a White House official said. Discussions with companies about

TURN TO PAGE 6


STRAIGHT FORWARD

India plans ₹5,000 cr push

Govt mulls grid relief in

SHASHI SHEKHAR

Respond to this column at
feedback@livemint.com

SCREEN ADDICTION IS A CRISIS THAT NEEDS ATTENTION

It's a slightly old story. A 16-year-old boy was sitting in a police station in Uttar Pradesh. He had been detained for threatening to kill Prime Minister Narendra Modi, chief minister Yogi Adityanath and the then chief minister of Bihar Nitish Kumar.

The boy wanted to be famous overnight and hence resorted to the online stunt. As it involved VIPs, the police caught him in no time. Later, the court took a lenient view and gave him bail. But it's not a stray rant by a misguided youth. Thousands of similar incidents unfold around us, driven by online addiction.

The online addiction has begun to adversely affect the younger generation in multiple ways. Britain's Academy of Medical Royal Colleges (AMRC) in its latest report has categorised online addiction as a public health emergency, rating it on par with smoking.

The doctors warn that the tech companies design their apps in a manner that turns people into addicts. We are well aware of insomnia, irritation, violent outbursts and other problems caused due to them.

It's no surprise that on 15 June, Britain banned all forms of social media for children below 16 years of age. The British government's decision will cover popular social media platforms like Tiktok, Instagram, Snapchat, X, Facebook, YouTube and Reddit.

Even the Norwegian government is preparing sweeping changes from 1 August. Driven by their experimental nature, Norway, for the first time in the world, started digitalisation in its their primary school classrooms. Today's government and society are reversing the initiative. Norwegian education minister Kari Nessa Nordtun says that excessive use of screens in the school is affecting the core cognitive abilities of children. Their focus is disintegrating and their ability to read has been declining fast. It's adversely impacting their physical and mental health. As a result, many children are turning to cyber bullying. The Norwegian government is terming the initiative as "back to basics".

From 1 August, the use of screens for students of classes 1-4 will be completely stopped. Zero-screen law has already been in place for children under two years of age. To take the policy to its logical conclusion, the government has tripled the grant for school libraries. This move will definitely be a milestone in preserving human mind and cognition.

> We put some curbs under the Online Gaming Regulations Act, but we have a long way to go

Our neighbour China has also restricted screen time for those under 18. For children below eight, China has restricted screen time to 40 minutes in 24 hours. At 10 in the night, 'internet curfew' is imposed which lasts till six in the morning. Beijing has restricted all those services that can make children 'AI addicts'.

South Korea has also banned mobile phones in classrooms. The government has also established internet rescue schools. Here, minors are kept in the lap of nature without any electronic gadget so they can revert to their natural human self.

Similarly, Australia has completely banned social media for children below 16 years of age. Companies violating the ban will pay a hefty sum of $35 million in penalty. France is planning a similar kind of curbs. The head of the European Union has urged European nations to make laws that decide on the age at which children can access social media.

Where does India stand on such an important issue? We have put some curbs under Online Gaming Regulations Act 2025 but we still have a long way to go.

Intellectuals worldwide are debating how a golden mean can be achieved in the age of artificial intelligence (AI). PISA (Programme for International Student Assessment) and OECD (Organisation for Economic Co-operation and Development) studies enlighten us about the issue. They say that the AI tools are indeed a force multiplier for increasing human productivity but the people will have to make a distinction between 'addiction' and 'use'.

The researchers found out that when the digitally addicted students used their gadgets for 3 out of 24 hours their results were way better. However, contrary to this outcome digital addicts flunked their maths paper despite access to their digital equipment. Close to 59% of students were found distracted by laptops and smartphones. 45% of students who use smartphones for 3 to 7 hours become fidgety if they lose access to it.

The verdict is clear. Smartphones and laptops don't make students sharper. They need to develop discipline and focus. The beautiful balance between the power of AI and human wisdom is the only way to create a meaningful world.

Shashi Shekhar is editor-in-chief, Hindustan. *Views are personal.*

for North-East border infra

Plan envisages 270 km of roads, connectivity to 225 villages, 70 school infrastructure projects

Dhirendra Kumar
dhirendra.kumar@livemint.com
NEW DELHI

The Centre has drawn up a ₹5,000 crore development plan for India's North-East region for FY27, with a sharp focus on improving connectivity and social infrastructure across border areas, two people familiar with the matter said.

The plan envisages constructing about 270 km of roads, providing all-weather connectivity to 225 villages, and building or upgrading around 70 school infrastructure projects across the eight north-eastern states.

The government expects the education projects to benefit about 292,000 students through facilities created with central support, these people said.

The proposal also prioritizes healthcare infrastructure. The Centre plans to develop five hospitals equipped with modern healthcare facilities across the region. The hospitals are expected to serve more than 1.36 million people while helping five district hospitals reach the benchmark of at least 22 beds per 100,000 population.

However, according to the first of the two people cited above, the locations of the proposed hospitals have yet to be finalized because consultations with the state governments are still underway.

India's North-East comprises Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura. HT

> **45.8 mn**
> The number of people living in the North-East region

Queries sent to the ministries of finance and development of north-eastern region, the department of expenditure, and the chief secretaries of all eight north-eastern states remained unanswered till press time.

Border push

The spending plan comes as China continues to expand roads, villages, airports and other dual-use infrastructure along the frontier facing India's north-eastern states, intensifying New Delhi's efforts to strengthen its own border regions following heightened tensions along the Line of Actual Control (LAC).

Over the past several years, Beijing has expanded highways, bridges, airports, rail links and so-called "border defence villages" across the Tibetan Plateau. India has responded by accelerating investments in roads, tunnels, telecommunications and public services on its side of the border.

Experts said the strategy reflects a broader shift to treating border infrastructure as both a security imperative and a long-term economic investment. "The region's development must be viewed not merely as a border management priority, but as a long-term economic and strategic investment in India's future," said Nava Baro, founder, Northeast India Public Policy Forum, a Guwahati-based think tank.

> **6,000**
> The total number of beneficiaries of the projects

India's North-East comprises Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim and Tripura, and is home to about 45.8 million people, according to the 2011 Census.

The proposed projects will be implemented through the Centre's two flagship programmes for the region—the Prime Minister's Development Initiative for North East Region (PM-DevINE) and the North East Special Infrastructure Development Scheme (Nesids). The Department of Expenditure has allocated ₹2,306 crore for PM-DevINE and ₹2,500 crore for Nesids for fiscal year 2027 (FY27).

Under PM-DevINE, the Centre proposes to sanction 10 new projects during FY27, including four social development projects, two livelihood projects and four infrastructure projects. It also plans to complete four social projects, one livelihood project and three infrastructure projects during the year.

The government expects these projects to become operational during the year, benefiting around 6,000 people, including 3,000 beneficiaries under social development initiatives, 500 under livelihood projects and 2,500 through infrastructure projects.

For an extended version of this story, go to livemint.com

renewable projects

Reuters
feedback@livemint.com
NEW DELHI

India's power regulator has proposed giving transmission charge waivers to clean energy projects that have been delayed by the unavailability of transmission lines, draft regulations showed.

Several clean energy projects have been stalled in India because of a lack of transmission infrastructure.

The move would mark a policy roll-back. India had begun phasing out interstate transmission charge waivers for new solar, wind and hybrid projects from July 2025.

The draft proposal from the Central Electricity Regulatory Commission would benefit solar, wind and hybrid renewable energy projects that missed their commissioning timelines.

The relief would be available for projects that signed at least seven-year-long power sale contracts by 31 December 2026.

The regulator also proposed extending these benefits to battery storage systems that are built as part of renewable energy projects.

In such cases, power supplied from the batteries would get the same transmission-charge waiver as the renewable project itself.

Centre steps up dengue surveillance

Priyanka Sharma
priyanka.sharma@livemint.com
NEW DELHI

The Centre has asked states to tighten dengue surveillance and step up mosquito control as the monsoon creates favourable conditions for mosquito breeding, with health authorities also warning that the developing El Niño conditions could increase the risk of vector-borne disease transmission, according to two officials and a health ministry communication seen by *Mint*.

Data from the National Centre for Vector Borne Diseases Control (NCVBDC) shows 13,336 dengue cases and 12 deaths this year. Against that, the ministry instructed states to expand laboratory testing using ELISA-based NS1 and IgM kits, submit daily reports and intensify larval source management.

"Dengue fever remains a major public health concern, with transmission patterns increasingly influenced by climate variability. Every year during monsoon and post monsoon period an increased number of cases are reported due to the conducive situation for proliferation of Aedes mosquito," the health ministry said in its communication to states and Union territories.

> **India reported 121,824 dengue cases and 131 deaths in 2025, after 233,519 cases and 297 deaths in 2024**

India saw 121,824 dengue cases and 131 deaths in 2025, after 233,519 cases and 297 deaths in 2024 and 289,235 cases and 485 deaths in 2023. The country has also recently approved Takeda's dengue vaccine, which is expected to reach the market next year.

Tamil Nadu reported the most cases this year, with 4,973 infections and two deaths, followed by Maharashtra with 1,525 cases, Kerala with 1,403 cases and 10 deaths, Karnataka with 978 cases, and Andhra Pradesh with 770 cases.

For an extended version of this story, go to livemint.com

Water metro set for national push

Subhash Narayan
subhash.narayan@livemint.com
NEW DELHI

The Centre is preparing to scale up water metro systems across India's cities, with the Kochi Water Metro emerging as the template for a nationwide network aimed at easing urban congestion through cleaner, electric water transport.

The push, however, will require a dedicated national policy, a legal framework similar to the Metro Rail Act, and a rapid expansion of domestic boat manufacturing capacity if the concept is to move beyond isolated projects, according to Loknath Behera, managing director of Kochi Metro Rail Ltd (KMRL), which operates India's only water metro.

"There should be a separate Water Metro Act, just like the Metro Rail Act," Behera told in an interview to Mint. "If the system has to be standardised across the country, there has to be one policy, one regulatory framework and one set of operating standards."

The comments come as the Union government explores water metro projects in multiple states under its broader strategy to promote sustainable urban mobility and better utilize India's vast network of rivers, lakes, backwaters and coastal waterways.

The Kochi fleet operates mostly on lithium-titanium battery technology, with hybrid propulsion as an emergency backup. PTI

The ministry of ports, shipping and waterways (MoPSW) is also formulating the National Water Metro Guidelines, 2026 to support the planning, implementation, safety standards and promotion of eco-friendly water-based public transport systems. The guidelines cover zero- and low-emission technical frameworks, standardization requirements, financing structures, environmental safeguards and inter-ministerial coordination.

> **Four hybrid-electric vessels have already been deployed in Varanasi, Ayodhya, Patna and Kolkata**

Queries emailed to MoPSW remained unanswered till press time.

KMRL, along with the Inland Waterways Authority of India (Iwai), has already completed feasibility studies for 18 locations across the country on behalf of the Union shipping ministry and is preparing detailed project reports (DPRs) for Mumbai and Goa. Several other states, including Gujarat, Odisha and Karnataka, have also approached the agency for similar studies.

Meanwhile, four hybrid-electric vessels have already been deployed in Varanasi, Ayodhya, Patna and Kolkata, while one hydrogen fuel-cell vessel has been deployed in Varanasi.

According to Behera, interest has accelerated after Kochi's success, where the electric water metro has carried more than 6.5 million passengers using just 20 boats in a little over three years of operations without a major accident.

Unlike conventional ferry services, he said, the water metro is designed as a complete urban transport ecosystem integrating digital ticketing, multimodal connectivity, safety protocols, environmentally friendly vessels and scheduled operations. "It is not about putting boats in the water. It is about creating a metro system on water," he said.

For an extended version of this story, go to livemint.com

Creators' dilemma: the cost of speaking up—and staying silent

Lata Jha
lata.j@livemint.com
NEW DELHI

The recent students' protest in the national capital against alleged irregularities in the NEET (UG) exam saw several content creators and influencers, many of whom resonate with Gen Z audiences, take a public stand.

Industry experts say creators today occupy a very different position from a few years ago. Audiences no longer follow them only for content—they follow them because they feel connected to the individual behind it. That naturally creates an expectation that creators will have opinions on issues that matter.

From a commercial standpoint, taking a public position is rarely a straightforward positive or negative. It can deepen loyalty among one section of an audience while alienating another. For brands, the decision is usually driven less by whether a creator expressed an opinion and more by whether the creator remains aligned with the brand's values, target audience and overall risk profile. Increasingly, brands are evaluating long-term credibility, consistency and brand fit alongside reach and engagement, according to industry experts.

Audiences no longer follow creators only for content—they follow them because they feel connected to the individual. ISTOCKPHOTO

Citizen first

"Creators are citizens first, and like everyone else, they have their own opinions and beliefs. Having a political opinion only makes them more of a citizen. Sharing a political opinion often has an impact on engagement, whether positive or negative," said Shivani Wagh, a fashion and lifestyle content creator.

She added that when it comes to brand collaborations, impact can vary. Since brands tend to be cautious around politically sensitive topics, a creator's public stance may influence future partnerships depending on the situation.

Jigisha Joshi, a fashion, beauty and lifestyle content creator, agreed both groups faced criticism during the recent protests, albeit for different reasons. Creators who chose to stay silent were often questioned by their audiences.

"Of course, speaking up had consequences. I lost a few followers. Some people disagreed with me, which is completely fine. As for brands, I didn't notice any negative impact. In my experience, the brands I work with understood the difference between someone spreading hate and someone expressing an honest opinion respectfully," Joshi said.

Brand equation

According to Samay Kirad, co-founder of B.I.G Media Co, creators today are no longer merely distribution channels—they have become brands in their own right, building communities and trust around their opinions.

"The moment they take a stand they're naturally going to strengthen their relationship with one side and distance from another. That's how public disclosure works with choices and opinions. Looking at this from a brand perspective, it is less of the creator's personal opinions and more about if the brand has an appetite or opinion that matches with the creator," Kirad said.

For an extended version of this story, go to livemint.com

CORRECTIONS AND CLARIFICATIONS

Mint welcomes comments, suggestions or complaints about errors.

Readers can alert the newsroom to any errors in the paper by emailing us, with your full name and address to **feedback@livemint.com.**

It is our policy to promptly respond to all complaints. Readers dissatisfied with the response or concerned about *Mint's* journalistic integrity may write directly to the editor by sending an email to **asktheeditor@livemint.com**

Mint's journalistic Code of Conduct that governs our newsroom is available at **www.livemint.com**

FOR ANY QUERIES/DELIVERY ISSUES
CALL: 60004242, Monday-Saturday, 10am-6pm (Delhi, Mumbai, Bengaluru, Kolkata, Chennai, Hyderabad, Ahmedabad, Chandigarh, Pune and Lucknow) **MAIL: delivery@livemint.com TO SUBSCRIBE:** Give a missed call on **7039035039** or visit **www.mintreaders.com** or write to us at **subscription@livemint.com**

JOSEPH PULIYENTHURUTHEL JOHN (EDITOR) - Responsible for selection of news under PRP Act, @ All rights reserved. Reproduction in whole or in part without written permission of Publisher is prohibited. PUBLISHED BY MANHAR KAPOOR ON BEHALF OF HT MEDIA LTD, 2nd Floor, 110 Prakash Presidium Uthamar Gandhi Salai Nungambakkam High Road, Chennai, Tamil Nadu - 600034
Printed by M NARAYANASWAMY at MNS Printers Private Limited. 77/1 Bhuvana Nursery Avenue, P H Road, Velapanchavadi, Thiruvallur, Tamil Nadu - 600077.
RNI Registration TNENG/26/A5123; Mint welcomes readers' responses to all articles and editorials. Please include your full name, address and telephone number. Send in your views to the editor at letters@livemint.com. ©2026 HT Media Ltd All Rights Reserved.

Numbers yet to add up for instant-help

Profitability is only possible in dense micro-markets

Salman S H
salman.hameeth@livemint.com
BENGALURU

Instant-help providers such as Snabbit, Pronto and Urban Company's InstaHelp may have to nearly double prices to achieve profitability as they expand into lower- and medium-density neighbourhoods, where thinner order volumes limit the number of jobs per professional and hurt unit economics.

High worker utilization is critical for the business model to remain sustainable because the more jobs they complete, the lower the cost of each job and the better the platform's unit economics. Currently, each worker completes 8-10 jobs over about 9.5 working hours a day, keeping the all-in servicing cost at ₹95-100 per hour, according to industry estimates—close to prevailing customer prices in many cases.

However, this efficiency is only possible in dense micro-markets where jobs are clustered within a 300-400-metre walking radius. "Anytime a professional has to go beyond 400 metres per job, the model breaks, because utilization per professional then deteriorates, and most platforms do not want their workers covering more than 400 metres on foot," said an executive familiar with Snabbit's operations.

Experts say the companies may eventually need to raise prices to well above ₹200 an hour to make the model profitable. For now, they are trying to improve worker utilization by concentrating operations in high-demand neighbourhood clusters, assigning professionals multiple nearby jobs in succession, and charging higher prices during peak demand hours.

As of now, instant-help apps serve high-density areas such as HSR Layout, Koramangala, Bellandur, and Whitefield in Bengaluru, where residential apartments and high-rise societies dominate. But expansion into lower-density, more villa-like areas such as Jayanagar, Cox Town and Kalyan Nagar has been harder.

The Snabbit executive said low-density areas can still have demand, but a worker may have to cover more than 2-3 kilometres at a time.


Experts say the companies may eventually need to raise prices to well above ₹200 an hour to make the model profitable. ISTOCKPHOTO

A spokesperson for Snabbit confirmed that the areas mentioned above in a city like Bengaluru are more "horizontally spread out". As a result, the average travel distance between jobs can be marginally higher, which in turn may lead to slightly longer expert arrival times.

"Density is a key determinant of whether a hyperlocal market is viable...our depth-over-breadth strategy allows us to build strong neighbourhood-level networks and expand only when the catchment can support consistent fulfilment, low travel time and healthy unit economics," the Snabbit spokesperson added.

A senior executive familiar with Pronto's operations said the platform has tried to expand into areas within Indiranagar and HAL. "Though demand exists, the travel distances have been higher—1-3 km or more—and serving such demand at current rates of below ₹100 per job is not really making sense at our economic level."

For an extended version of this story, go to livemint.com

NTT Data bets on merchant finance

Anshika Kayastha
anshika.kayastha@livemint.com
MUMBAI

Financial services firm NTT Data Payment Services India plans to expand into commercial consumer-facing businesses, including merchant solutions, direct onboarding, cross-border payments and, eventually, small-business lending. The subsidiary of Japanese infrastructure major NTT Data entered the Indian market in 2019 by acquiring Atom Technologies and has since largely worked with the National Payments Corporation of India (NPCI) and other clients on back-end payments infrastructure.

It has a two-pronged strategy for the next three years: expand its payments business

ITC Limited

Extract of Unaudited Standalone and Consolidated Financial Results for the Quarter ended 30th June, 2026

(₹ in Crores)

Sl. No.	Particulars	Standalone			Consolidated		
		3 Months ended 30.06.2026	Twelve Months ended 31.03.2026	Corresponding 3 Months ended 30.06.2025	3 Months ended 30.06.2026	Twelve Months ended 31.03.2026	Corresponding 3 Months ended 30.06.2025
1	Total Income from Operations	27588.56	84927.29	21731.84	30179.01	92339.13	23811.56
2	Net Profit / (Loss) for the period (before tax and Exceptional Items)	4759.41	26951.47	6543.48	5454.97	28325.09	7128.01
3	Net Profit / (Loss) for the period before tax (after Exceptional Items)	4759.41	26767.60	6543.48	5860.85	28033.39	7128.01
4	Net Profit / (Loss) for the period after tax (after Exceptional Items)	3578.82	20286.42	4910.73	4508.79	21018.15	5343.41
5	Total Comprehensive Income for the period [Comprising Profit / (Loss) for the period (after tax) and Other Comprehensive Income (after tax)]	4021.93	19476.46	5099.56	4874.50	20374.86	5557.46
6	Equity Share Capital	1252.95	1252.95	1251.75	1252.95	1252.95	1251.75
7	Reserves (excluding Revaluation Reserve)		68675.66			71254.35	
8	Earnings Per Share (of ₹ 1/- each) (not annualised):						
	1. Basic (₹):	2.86	16.20	3.93	3.51	16.52	4.19
	2. Diluted (₹):	2.86	16.19	3.92	3.51	16.51	4.18

Note:

in India and enter new segments such as merchant financing and cross-border payments. It also plans to broaden its offerings with value-added services such as in-store payments, online transactions and bill payments.

Shinichiro Nishikawa, head of global payments strategy and transformation at NTT Data Japan, said the firm will pursue this through organic investments to strengthen its payments and financial infrastructure business, while partnerships and acquisitions will help it enter newer segments such as merchant financing and cross-border payments.

India currently contributes only a small share of the company's global business because the zero merchant discount rate (MDR) on Unified Payments Interface (UPI) transactions has made payment services difficult to monetize. "In other countries, we can get the MDR from the transaction, but here we can't. That's why from the overall gross profit and revenue basis, it does not contribute much right now. But we are trying more services and looking to expand to other areas," Nishikawa said.

For an extended version of this story, go to livemint.com

Index	Close	1-week change (%)	1-month change (%)	3-month change (%)	6-month change (%)	1-year change (%)
S&P BSE Sensex	78,094.64	2.71	2.33	2.48	-4.06	-2.38
Nifty 50	24,383.6	2.62	2.39	2.46	-2.74	-0.12
Nifty 500	23,460.7	2.41	2.22	4.08	2.49	3.67
Nifty Next 50	73,651.3	2.66	2.97	6.27	9.63	11.53
Nifty 100	25,486.35	2.63	2.50	3.17	-0.63	1.90
S&P BSE Mid-cap	17,018.58	2.03	2.28	6.15	8.36	8.22
S&P BSE Small Cap	7,059.06	1.96	0.54	6.22	13.17	3.52

Amit Kumar Sinha, managing director and chief executive of Mahindra Lifespace Developers.

Mahindra goes premium to hit record FY27 sales

Madhurima Nandy
madhurima.n@livemint.com
BENGALURU

Mahindra Lifespace Developers is doubling down on premium housing, betting that affluent buyers will keep driving demand in India's premium housing market. The strategy marks a decisive shift away from the affordable housing segment the company had once pursued, and underpins its most ambitious annual pre-sales target yet of ₹4,500-5,000 crore in FY27.

The Mahindra Group's real estate arm is also ... line across Mumbai, Bengaluru and Pune has a combined GDV of ₹10,000 crore.

"The demand for good quality housing in urban centres is going up, so is affordability. So, there is a way for us to actually tap into that demand. We had taken a detour towards affordable housing, but then we decided not to pursue that. Systematically, we are moving up the value chain," Amit Kumar Sinha, managing director and chief executive of Mahindra Lifespace Developers, told *Mint*.

The move also reflects the economics of the busi-

Beyond Maruti's Q1 speed bump

Ananya Roy
feedback@livemint.com

Maruti Suzuki India's June-quarter (Q1 FY27) operating revenue surged 36% year-on-year to ₹52,456 crore on the back of a 29% jump in volumes to 683,000 units. However, Ebitda declined 7% to ₹4,311 crore as margin contracted sharply to 8.2% from 12% in the same quarter a year earlier.

The West Asia war was primarily to blame, having raised the prices of key raw materials including energy, gas and aluminium, as well as logistics. Maruti thus prioritized supply continuity over profitability, shortening vendor settlement from 90 to 30 days. This ensured quicker reimbursement for vendors amid high commodity costs and kept production uninterrupted. But the tradeoff was that Maruti had to absorb those high costs in its own books much earlier.

As the company reverts to a 90-day settlement-cycle over the next few quarters, that margin hit should reverse. Until then, if commodity prices fall, as they already have in the case of aluminium, margin expansion should also flow through faster.

In addition, Maruti implemented a modest 0.5% price hike in June, with another planned for August. These adjustments are expected to expand margins in the second quarter. Encouragingly, demand has remained robust despite the higher prices. Volumes grew 34% year-on-year in July, led by strong sales in utility vehicles and compact-to-midsize cars, which effectively offset a 5% decline in exports.

Meanwhile, the missing piece of the puzzle—capacity—also fell into place. Maruti had struggled to fully capitalize on last year's GST cuts, which made small cars more affordable, as its plants were already operating near full utilization. This explains why the stock rallied almost 30% after the GST cuts were announced on 15 August 2025, only to give up all of those gains in early 2026.

Production bottlenecks are beginning to ease. Maruti commissioned its second plant at Kharkhoda in Q1FY27 and added a fourth assembly line in Gujarat in July. Together, these expansions add 500,000 units of annual capacity, raising the company's total installed capacity to 2.9 million units. Management expects both facilities to reach full utilization within four to five months, with the new Gujarat line dedicated to EV powertrains.

Maruti's product innovations are paying off, too. The recently launched compact SUV Brezza has been getting about 2,000 bookings a day, and seven more SUVs are in the pipeline for 2030. The company sold 219,000 UVs last quarter, up 35% year-on-year. Its sales in both GST slabs—18% and 40%—surpassed the industry's, bulking up its market-share by 230 basis points to 41.2%. A sustained market-share recovery is likely to drive a re-rating of the stock, according to Motilal Oswal Financial Services.

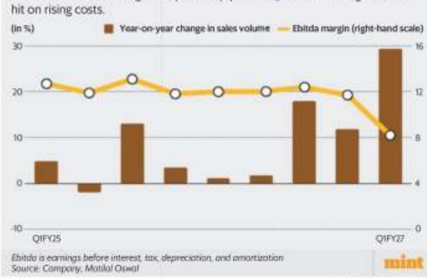
Meanwhile, dealer inventory was at just 13 days despite record dispatches, well below the company's preferred one-month level and reducing concerns of inventory build-up. Management reiterated its 10% domestic volume-growth guidance.

Exports were another pleasant surprise. While industry-level passenger vehicle exports fell over 8%, Maruti's exports rose nearly 29% year-on-year, supported by diversified markets including South Africa, Japan and Europe, which offset weakness in the Middle East. Management targets 15% compound annual growth in exports until FY31.

Sure, commodity inflation, a shorter settlement cycle, and unfavourable currency moves could weigh on margins for a couple of quarters. But if capacity ramp-up and product traction hold up, Nuvama Research expects the stock to re-rate upwards from its FY28 price-to-earnings multiple of 24.

Growth-margin tradeoff

Maruti Suzuki's volume-growth picked up pace in Q1FY27, but margin took a hit on rising costs.



Ebitda is earnings before interest, tax, depreciation, and amortization
Source: Company, Motilal Oswal

MANU CHOUDHARY/MINT

GROWTH CURVE

MARUTI expanded with a second Kharkhoda plant and fourth Gujarat assembly line

ITS new SUV Brezza has been getting 2,000 bookings a day; 7 more SUVs in the pipeline for 2030

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

Sebi's closing auction for stocks could rein in manipulation

Ram Sahgal
ram.sahgal@livemint.com
MUMBAI

According to Ananth Narayan, former wholetime member of Sebi, the push came from for-

Any large trader or group punting on weekly index options such as Nifty and

Securities.

How the auction works

Prior to the 20 minute CAS

expanding its pipeline of high-value projects, returning to south Mumbai after 25 years and preparing to enter senior housing as it chases ₹10,000 crore in annual sales bookings by FY30.

Mahindra Lifespace re-entered south Mumbai in FY27 with Mahindra BeaconHill, an ultra-premium residential project in Mahalaxmi with a gross development value (GDV) of ₹1,650 crore. Its earlier projects in the micro-market include Mahindra Heights in Tardeo, launched 25 years ago, along with Belvedere Court and Great Eastern Royale.

The developer has also launched two more projects in Pune and Mumbai, with five more in the pipeline. Its FY27 launch pipeline across Mumbai, Bengaluru and Pune has a combined GDV of ₹10,000 crore

Mahindra's FY27 launch pipeline across Mumbai, Bengaluru and Pune has a combined GDV of ₹10,000 crore

ness. Premium projects typically offer higher margins, while land costs in cities such as Mumbai naturally translate into higher ticket sizes. Much of the company's inventory is priced between ₹2 crore and ₹4 crore, but projects in premium locations, particularly Mumbai, will carry price tags of ₹5-10 crore.

"We anticipate 14x sales growth by FY30 from where we were in FY20 and have already achieved a part of that. But we want profitable growth," Sinha said. The firm expects residential pre-sales to rise to ₹4,500-5,000 crore in FY27 from ₹3,405 crore in FY26, as it chases its FY30 goal of ₹10,000 crore in annual sales bookings.

For an extended version of this story, go to livemint.com

Manipulating stock closing prices will become significantly harder under the Securities and Exchange Board of India's (Sebi's) new auction mechanism starting Monday, despite the impetus for the change being more robust price discovery, according to a former regulatory official and big brokers.

Both NSE and BSE will transition 208 derivative-traded stocks from a continuous trading volume-based calculation to an auction-based mechanism during the closing session. Accurate closing prices are vital: they determine derivative settlements, benchmark comparisons for passive funds, and net asset value (NAV) calculations for mutual fund investors.

After extensive discussions with both domestic and foreign market stakeholders, Sebi floated two consultation papers on the closing auction session (CAS)—one in December 2024 and the second in August 2025—and decided to implement it from 3 August 2026 for stocks on which derivatives are traded.

eign institutional investors, particularly passive funds, which said it was standard practice across major global exchanges in the US, Europe and Asia. Narayan added, however, that some domestic stakeholders expressed reservations on the issue.

"The CAS will facilitate greater participation by all sections of investors during the closing session and result in a more transparent and efficient price discovery mechanism," said Faisal Mohammed, vice president of trading operations at Zerodha. "Importantly, it will make manipulation of prices during the closing session much more difficult," Mohammed added.

Narayan said, "An additional benefit of CAS is that it makes closing price discovery more transparent by aggregating buy and sell interest in a structured manner, thereby strengthening market integrity. However, its primary objective is to improve the quality of closing price discovery rather than to address market manipulation."

Interestingly, Narayan had highlighted the manipulation of closing prices in an interim order against US high-frequency trader Jane Street in July 2025. Narayan's three-year term ended last October.

A query to Sebi on the issue of price manipulation went unanswered.

Sebi will implement the CAS from 3 August 2026 for stocks on which derivatives are traded. REUTERS

How closing prices have been calculated until now

At present, a stock's closing price is based on its volume-weighted average price (VWAP) during the final 30 minutes of trading. For example, if 500 shares of Stock X trade at ₹10 (₹5,000), 300 shares at ₹12 (₹3,600), and 200 shares at ₹14 (₹2,800), the total turnover of ₹11,400 divided by 1,000 shares yields a VWAP of ₹11.40. Typically, a market or stock closing above VWAP signals bullishness, while a close below VWAP signals bearishness.

At present, a stock's closing price is based on its VWAP during the final 30 minutes of trading

Sensex or monthly ones such as Nifty Bank on thin or highly volatile trading days could influence closing prices of their constituent stocks by scattering large buy or sell orders, thereby moving the index settlement price in their favour in the last half hour.

This type of manipulation will become much harder under CAS with all participants submitting their orders into a common visible pool rather than a few large scattered trades happening under the continuous trading session.

"This method of price discovery could put the brakes on potential manipulation," said another broker requesting anonymity.

However, some broking officials said the technicality of the auction could prove challenging for retail investors at first. "While the price discovery mechanism will become more robust under CAS, retail might be behind the curve, given the technicality of order placement in the last few minutes of trading," said Ashish Nanda, chief business digital officer, Kotak

continuous trading for eligible underlying stocks will continue from 9:15 am to 3.15 pm instead of 3.30 pm. Derivatives trading on these stocks, however, will be extended until 3.40 pm so contracts can settle using the final auction price announced at 3.35 pm.

Here's how the transition will happen:

3 pm to 3.15 pm: During the continuous trading session, the exchange calculates the stock's VWAP, which serves as the reference price for the auction.

3.15 pm to 3.30 pm: Continuous spot trading gives way to auction session. All buy and sell orders for spot and futures must fall within a 3% price band around the reference price or VWAP. Any orders outside this range will be rejected.

3.30 pm to 3.35 pm: All limit (a predefined level to buy or sell a stock) and market (buy or sell order at prevalent market prices) orders within the band are matched by the exchange algorithm at the price which attracts the highest executable volumes. This becomes the equilibrium or closing price for the stock.

'Strong flows, resilient earnings leave less room for sharp mkt sell-off'

Srushti Vaidya
srushti.vaidya@livemint.com
MUMBAI

Companies have retained volumes despite taking price hikes, signalling resilient demand, while strong domestic flows and improving foreign investor sentiment leave little reason for a sharp market sell-off, according to Nitin Bhasin, head of Institutional Equities at Ambit.

In an interview with *Mint*, Bhasin also said banks have become more attractively valued after the correction and global investors are turning more constructive on India, helped by resilient earnings and excitement around upcoming large IPOs. *Edited excerpts:*

INTERVIEW

Tensions in West Asia have flared up again after a brief period of calm. Has your view on the markets changed?

The situation remains highly uncertain. There is conflicting information about whether a truce is holding or not, so it is difficult to draw firm conclusions. If this uncertainty persists, it is not good for India. We are heavily dependent on the region for energy imports, fertilizers and remittances. Any prolonged conflict increases energy prices, which has a direct impact on the Indian economy.

Three factors matter in assessing the market. First, FII flows have improved over the last three to four fortnights. Second, domestic inflows remain strong. Third, earnings of companies that have reported so far are broadly holding up. So while the conflict is a risk for the economy, the market is not overly concerned at the moment. Investors seem to believe the situation will eventually stabilise. With flows remaining strong and earnings not under pressure, there is little reason for a sharp sell-off.

The Nifty is roughly at the same level as it was before the conflict. The key difference is that the midcap index has gone on to make new highs after its earlier correction.

Companies have reported strong earnings. Is it driven more by price hikes than demand?

I don't think so. Most companies are reporting volume growth. The bigger positive surprise has been margins, helped by lower input costs, but I wouldn't say earnings are being driven only by margin expansion.

If you look at the top 100 companies, around 50 have reported results so far. That includes BFSI companies, banks, consumer companies and IT companies. The IT and consumer companies have broadly met expectations, while many of the banks have beaten estimates. That suggests credit growth has held up and stress has not increased.

Companies have taken price hikes, but the important point is that they have been able to retain volumes despite those price increases. That indicates demand has remained resilient.

Could El Niño become a bigger headwind for the rural economy over the next couple of years?

I think India has become much less vulnerable to El Niño over the last five to 10 years.

The government has taken several measures, and the agriculture ecosystem has evolved significantly. We are not expecting a major shock to agriculture from El Niño.

Earlier, weather shocks would lead to a spike in NPAs and significant stress. That is no longer the case.

Food prices may rise temporarily, but the government now maintains adequate buffer stocks. We are also not seeing any meaningful impact on consumption.

The rural economy has also come out of a difficult MFI cycle over the last one-and-a-half to two years, with household leverage declining.

Overall, we do not think El Niño poses the same level of risk that it did 10-15 years ago. The agriculture and rural ecosystem is now much more resilient and better equipped to absorb such shocks.

Unless the situation becomes extremely severe, I don't think it is a major cause for concern over the next one to two years.

Some investors worry that heavy borrowing by AI firms could create credit risks. How do you see it?

I think this is much more of a global issue than an Indian one. The Indian market is not highly indebted in this context.

Over the past six months, global markets have been driven by the AI theme. We saw markets like Korea and Taiwan rally sharply before correcting. If credit risks emerge around AI companies or AI funding in the US, it could affect the broader AI trade globally.

One argument global investors are making is that India has not been a major participant in the AI trade. If the AI bubble reverses, FIIs that have been underweight India could stop reducing exposure, move towards neutral, or even increase allocations.

One argument global investors are making is that India has not been a major participant in the AI trade

Nitin Bhasin
Head of Institutional Equities at Ambit

FII selling has moderated in recent months. How are you reading the flows?

Over the last six months, FIIs have sold roughly $28 billion in India. Around 40-45% of that selling was in BFSI stocks.

A large part of the selling was driven by multiple global narratives coming together: currency concerns, the strong AI-driven rally in markets such as the US, Korea and Taiwan, and concerns around India's outlook. Investors believed higher oil prices could hurt India, but earnings have held up and the geopolitical situation has not worsened significantly. As a result, the intensity of FII selling has reduced.

During my recent trip to the US, I found investors becoming more constructive on India after the correction. Banks have become more attractively valued, there is excitement around upcoming large IPOs, and the market has gone through both price and time correction. India has also significantly underperformed emerging markets over the past year, making investors re-evaluate their positioning.

That said, India is not obviously cheap on earnings versus valuation. Investors are still divided. Many are reducing their underweight positions and moving towards neutral, but very few have become outright overweight.

Consumption is often expected to drive earnings. Do you agree?

Not necessarily. For FY27, consensus expects Nifty 100 earnings growth around 13-15%. Banks will contribute about 40% of the incremental earnings growth. Consumer companies contribute much less.

From a macro perspective, consumption is the biggest driver of India's GDP. Private Final Consumption Expenditure (PFCE) generally grows slightly faster than GDP. If GDP grows at around 6.5%, consumption should also grow at around 6.5-6.7%.

However, that does not mean consumption is the biggest contributor to Nifty earnings. The index has a much larger weight for banks, which contribute disproportionately to earnings growth.

Sebi order against Zee likely to delay ₹3,143-cr fundraise

Apoorva Ajith & Shayan Ghosh
MUMBAI

A recent order by the markets regulator barring Zee Entertainment Enterprises Ltd (ZEEL), founder and chairman emeritus Subhash Chandra, and chief executive Punit Goenka from accessing the securities market will likely delay the company's fundraising plans, unless stayed by the appellate authorities, legal experts said.

The Securities and Exchange

On Friday, the company's shareholders approved a ₹3,143.5-crore fundraising plan.

Skoda drives Volkswagen India's profit resurgence

Skoda Auto Volkswagen India Pvt Ltd reported a 48% jump in net profit to ₹139 cr in FY26

Ayaan Kartik
ayaan.kartik@livemint.com
NEW DELHI

Volkswagen Group's India unit returned to profit growth in financial year 2026 (FY26) after two consecutive years of decline

According to data from the Society of Indian Automobile Manufacturers (SIAM), domestic sales of Skoda Auto rose 68% to 75,556 units in FY26 while Volkswagen Cars sales fell 11% to 37,576 units. The two entities account for the bulk of sales for the VW group in India. Sales data for the other four brands in the luxury segment was not available.

Board of India (Sebi) on Friday restrained them from accessing the securities market, and prohibited them from buying, selling or otherwise dealing in securities for a specific period.

While ZEEL has been barred for two months, Chandra and Goenka have been barred for 12 months in a case involving unauthorised pledge of the company's land in Hyderabad for loans by Essel Group entities. The order said that ZEEL was required to disclose the "fraudulent and unauthorised pledging" of the Hyderabad land to the stock exchange and on its website. "ZEEL failed to make the said disclosure."

On Friday, the company's shareholders approved a ₹3,143.5-crore fundraising plan that would lead to the promoter raising its stake to 23.79% from around 4%.

"If Sebi's directions are not stayed by the Securities Appellate Tribunal (SAT), the company's proposed fundraise through convertible warrants is likely to be delayed by approximately two months, as the company has been debarred from accessing the securities market for that period," said Akshaya Bhansali, managing partner at Mindspright Legal. He said the immediate remedy available to all three is to challenge the order before the SAT, seeking to quash it along with a prayer for interim relief staying the operation of the directions pending final adjudication of the appeal.

A ZEEL spokesperson said with regards to the allegations against the company and its promoters, the required measures will be taken in accordance with the law, to protect the interest of all stakeholders. The spokesperson said that the company "firmly believes the order from Sebi has no direct bearing on the fund-raising exercise."

While ZEEL has been barred for two months, Chandra and Goenka have been barred for 12 months

Legal experts said the impact of the order goes far beyond delaying the fundraise.

"While fundraising may resume thereafter, future equity or securities issuances will face heightened due diligence, disclosure and regulatory scrutiny under the Sebi ICDR (Issue of Capital and Disclosure Requirements) and LODR (Listing Obligations and Disclosure Requirements) Regulations and the Companies Act, 2013," said Rohit Jain, managing partner, Singhania & Co. Jain said incoming investors may demand enhanced governance protections, warranties, indemnities or discounts. The findings, he said, could therefore increase execution risk and cost of capital, constrain the available investor pool and materially affect confidence in management, financial reporting and use of corporate assets.

apoorva.ajith@livemint.com

For an extended version of this story, go to livemint.com.

driven by a surge in Skoda sales, and more than a doubling of financial assistance from its foreign group entities that helped sustain margins.

Skoda Auto Volkswagen India Pvt Ltd (SAVWI) reported a 48% jump in net profit to ₹139 crore in FY26, while total revenue rose 11% to ₹22,338 crore, according to the filings with the ministry of corporate affairs dated 24 July. The upbeat performance came as retail sales of its largest Indian brand, Skoda, surged 68% during the financial year, aided by the success of the Kylaq SUV.

The company's net profit had fallen 2% to ₹93.9 crore in FY25 and 69% to ₹95.9 crore in FY24.

The filings also show Volkswagen Group more than doubled financial assistance to its Indian subsidiary to a four-year high of ₹1,341 crore from ₹564 crore a year earlier. The company said such payments from group entities are used to maintain the Indian unit's operating margins and is recorded as other income, helping boost total revenue of the Indian unit.

Stripped of these payments, the company's revenue from operations still grew, albeit at a slower 8% pace to ₹20,649 crore. According to industry experts, the domestic business chasing growth aggressively could have prompted the parent firm to increase support and help maintain margins.

"India remains one of the most strategic growth markets for the group as it strengthens its business fundamentals through disciplined execution, operational efficiency, and deep localization," a Skoda Auto Volkswagen India spokesperson said in an emailed reply to *Mint's* queries.

In India, the Volkswagen Group operates six distinct brands: Volkswagen Cars, Skoda, Porsche, Lamborghini, Audi and Bentley. AFP

The developments also come at a time when the carmaker is in talks with the Sajjan Jindal-led JSW Group for selling its stake in the Indian unit, *Bloomberg* reported in July. In India, the Volkswagen Group operates six distinct brands: Volkswagen Cars, Skoda, Porsche, Lamborghini, Audi and Bentley, which are all housed under Skoda Auto Volkswagen India Pvt Ltd.

DRIVING FORCE

THE upbeat performance came as retail sales of its largest Indian brand, Skoda, surged 68%

THE carmaker is in talks with the Sajjan Jindal-led JSW Group for selling its stake in the Indian unit

ACCORDING to data from Siam, domestic sales of Skoda increased 68% in FY26

A significant part of the financial support for the India entity came from Czechia-based Skoda Auto

A significant part of the financial support for the India entity came from Czechia-based Skoda Auto a.s., which pumped in ₹969 crore. Germany-based Volkswagen AG pumped in ₹211 crore while Audi AG sent in ₹107 crore. UK-based Bentley Motors Ltd gave ₹12 crore while Porsche AG extended ₹42 crore in financial support.

"The Company, being a key customer of the global brands owned by its group companies, receives financial assistance from them as and when required to maintain the operating margins of the Company to comply with the transfer pricing regulations, which is inextricably linked to the operating performance of the Company," the India unit said in one of its filings last month.

Put simply, Volkswagen's India units buy many of their vehicles, parts and technology from global Volkswagen Group companies. Since these are transactions within the same group, Indian tax rules require them to be priced fairly. If the Indian unit's profit margins from these transactions fall below the required level, the parent companies compensate it through the payment assistance.

For an extended version of this story, go to livemint.com.

Luxury stays on tap as drinkers trade up

Varuni Khosla
varuni.k@livemint.com
NEW DELHI

Luxury spirits are emerging as one of the few bright spots in India's slowing alcohol market, as liquor makers and importers bet affluent consumers will continue to trade up.

Over the past few months, companies including Diageo India, Allied Blenders & Distillers (ABD), Radico Khaitan, Tilaknagar Industries, Alcobrew Distilleries, as well as independent Scotch bottlers and importers, have launched—or outlined plans to launch—premium single malts, tequila, Scotch whiskies and imported wines priced from about ₹3,500 to as much as ₹27,500 a bottle.

The strategy reflects a broader shift in the industry. With overall spirits consumption growing modestly, companies are increasingly chasing higher-value sales rather than higher volumes.

While overall spirits volumes grew at a compound annual growth rate of 3% between 2019 and 2025, premium spirits expanded 22%, ultra-premium 23%, prestige 31% and prestige plus 53%, according to London-based drinks consultancy IWSR. Industry estimates suggest India consumes about 440 million cases of spirits a year.

Premium-and-above brands now account for about 43% of the market by volume. The premium segment, comprising brands priced around ₹1,000-1,500, accounts for roughly 120 million cases a year, while prestige and luxury brands together have grown to about 10 million cases and continue to expand at a double-digit pace.

Companies say rising disposable incomes, changing aspirations and higher at-home consumption are encouraging consumers to spend more on premium alcohol even as overall drinking levels remain relatively stable.

"Premiumization, in breadth and scale, is a key trend for whisky, but it is also opening the way for consumers to behave similarly with other categories," Jason Holway, senior consultant at IWSR, told *Mint*. Imported categories such as tequila are seeing a greater skew towards premium products, while gin continues to benefit from the growth of cocktail culture, he added.

Radico Khaitan, maker of Magic Moments vodka, said innovation remained a key growth driver in FY26

Industry executives said the shift is being driven less by higher alcohol consumption than by consumers buying more expensive bottles. "The consumer is choosing to drink better, even if they drink less," said Amar Sinha, managing director at Allied Blenders & Distillers Ltd.

Sinha said the ₹5,000-10,000 price band has emerged as an affordable luxury segment as rising disposable incomes, changing aspirations and higher at-home consumption encourage consumers to spend more on premium bottles. The company plans to introduce one whisky in that segment as part of its strategy to improve realizations.

For an extended version of this story, go to livemint.com.

Higher tobacco taxes burn cigarette makers' net revenue in Q1

PTI
feedback@livemint.com
NEW DELHI

The government's steep increase in taxes on cigarettes and tobacco products has started weighing on the country's leading cigarette makers, with ITC, Godfrey Phillips India, and VST Industries reporting declines in net revenue, volumes and profitability in the April-June quarter, the first full quarter after the revised tax regime came into effect.

The three companies together account for more than 90% of the domestic cigarette market, which, according to some reports, has an estimated annual volume of over 100-120 billion sticks.

Earlier in February this year, the government raised the goods and services tax (GST) on cigarettes and tobacco products to a flat 40%. It replaced the compensation cess with a new additional excise duty ranging from ₹2,100-8,500 per 1,000 sticks, depending on cigarette length. Though reported revenues (from operations) of cigarette companies surged as the higher duty component was reflected in sales, their underlying revenues (net revenue) and profits came under pressure as companies grappled with the impact of the unprecedented tax increase. In the June quarter of fiscal year 2027 (FY27), market leader ITC's revenue from the cigarettes business grew 73.71% to ₹16,596.67 crore, from ₹9,553.86 crore a year earlier–a rise which the company attributed to its "staggered pricing approach amidst unprecedented increase in tax". However, the company's gross revenue (from sale of products and services) in the cigarettes segment, which strips out duty pass-through, actually fell 31.45% to ₹3,769.11 crore, from ₹5,498.93 crore in the year-ago quarter–pointing to a hit on underlying sales volumes.

ITC, which controls over three-fourths of the domestic cigarette market, said it had mounted a "strategic and calibrated response by the Cigarettes Business to the unprecedented increase in tax, balancing the interests of all stakeholders". ITC's cigarette brands include India Kings, Insignia and Classic in the premium segment, and Gold Flake, Wills Navy Cut, Scissors, Capstan and Players in the mass-market segment. Godfrey Phillips India reported a 44.3% decline in consolidated net profit to ₹198.39 crore for the June quarter. Revenue from operations of the Modi Enterprises firm nearly doubled to ₹3,819.56 crore, largely on account of ₹2,614 crore in excise duty paid during the quarter.

MPC may hold rate again; all eyes on road ahead: poll

FROM PAGE 1

mildly hawkish, tone.

"The policy could be a non-event on new actions after the power-packed June policy. A wait-and-watch mode will be adopted led by neutral tone with caution on global uncertainty and El Nino, while showing optimism around current growth momentum and healthy FCNR-related flows," Madhavi Arora, chief economist at Emkay Global Financial Services, said.

Upasana Bharadwaj, chief economist at Kotak Mahindra Bank, expects the policy to be guidance-specific and "a little hawkish", with the RBI laying the groundwork for future action if necessary.

Bank of Baroda expects policymakers to remain cautious because of monsoon uncertainty. Icra's chief economist Aditi Nayar said the RBI is likely to maintain the status quo for now but could consider raising rates later in FY27 if inflation pressures become more broad-based.

Crisil also expects the RBI to remain data-dependent, warning that persistent input cost pressures from higher crude oil prices could warrant a 25-basis-point rate hike later this fiscal year if the West Asia conflict drags on.

Four of the 10 economists surveyed by *Mint* expect the RBI to raise rates later in FY27, most likely in October or December. Two—IDFC First Bank and Emkay Global Financial Services—expect no hike this fiscal year, while the remaining four did not offer a

Inflation is now tracking below the RBI's own projections. HT

view on the timing of future policy action.

Not everyone expects an uneventful meeting.

"I think this will be actually a very interesting policy," said Sameer Narang, chief economist at ICICI Bank. Unlike previous meetings, inflation is now tracking below the RBI's own projections while growth has strengthened, giving policymakers greater room to shape their message, Narang said. "I think they have degrees of freedom this time around on what they want to say and how they want to put it." He said markets should pay attention to how the RBI frames the inflation outlook, especially whether policymakers continue to emphasise core inflation or shift greater focus to headline inflation.

Four of the 10 economists surveyed by *Mint* expect the RBI to raise rates later in FY27, most likely in Oct or Dec

Economists said investors will also watch for the RBI's assessment of FCNR(B) deposits and comments on the rupee.

For an extended version of this story, go to livemint.com.

'The year FY27 is going to be about consolidation'

Raymond Lifestyle's fourth CEO in five years faces the challenge of restoring its strength

Vaeshnavi Kasthuril & Neethi Lisa Rojan

BENGALURU/MUMBAI

For decades, Raymond sold India the idea of "The Complete Man." Today, its new chief executive officer (CEO) is trying to revive one of the country's most iconic apparel brands after years of leadership churn and changing consumer preferences eroded its dominance.

As the fourth CEO in five years, Satyaki Ghosh faces the formidable task of restoring Raymond Lifestyle to a position of strength, reviving growth, rebuilding shareholder confidence and convincing investors that the century-old company can deliver a sustained turnaround after years of instability.

Ghosh, who took the reins in January, has earmarked FY27 as a year of consolidation, closing loss-making stores, streamlining operations and doubling down on premiumization and casualization before embarking on the company's next phase of growth.

"This year is going to be about consolidation because there has been a lot of ups and downs in Raymond Lifestyle," Ghosh said in an interview with *Mint*. "We would directionally try to double in five years, but the whole piece is on the quality of growth rather than the quantity."

The firm delivered a mixed performance in the June quarter. Consolidated revenue rose 6% year-on-year to ₹1,516 crore. But higher depreciation and finance costs post demerger from Raymond Ltd in 2024 widened the consolidated net loss to ₹23 crore from ₹20 crore a year ago.

Ghosh's turnaround rests on two pillars: premiumization and casualization. Rather than relying on broad-based price hikes to offset rising input costs,

Satyaki Ghosh took over as Raymond Lifestyle's CEO in January. SATYAKI GHOSH/LINKEDIN

Raymond Lifestyle is raising the share of higher-margin products while boosting categories seeing faster demand. "One is premiumization and the second is casualization," he said.

Raymond Lifestyle operates across branded textiles, apparel, garmenting, high-value cotton shirting and an emerging businesses portfolio comprising Raymond Home, Ethnix by Raymond, Park Avenue Innerwear, Chairman's Collection and its sexual wellness business.

Branded textiles was its largest business for the quarter with ₹684 crore revenue, followed by branded apparel (₹349 crore), garmenting (₹296 crore), high-value cotton shirting (₹195 crore) and emerging businesses (₹79 crore).

To drive premiumization, Raymond is selectively raising prices at the upper end of its portfolio while expanding premium product mix such as luxury shirts and suit lengths. It is also lifting the casualwear range through brands such as ColorPlus and Parks, both of which saw double-digit growth. Casual collections within Park Avenue and Raymond ready-to-wear also saw strong growth, while e-commerce is growing at a high double-digit pace and brings about 12-13% of revenue. While casualwear is emerging as the growth engine, Ghosh sees formalwear recovering in the latter half of the fiscal as the wedding and festive season picks up.

REVIVAL ROADMAP

YEARS of leadership churn and changing consumer preferences eroded the firm's dominance

GHOSH's turnaround rests on two pillars—premiumization and casualization

RAYMOND Lifestyle is increasing the share of higher-margin products across its portfolio

AT the same time, it is strengthening its casualwear portfolio through brands such as ColorPlus, Parks

Another pillar of the turnaround strategy is Raymond's integrated value chain - from fabric manufacturing and garmenting to branded retail, which Ghosh believes gives the company greater control over quality, speed-to-market and margins as it adapts to changing consumer preferences.

The retail network is also being reset. Rather than chasing rapid expansion, Raymond is closing underperforming stores before entering its next growth phase. The company ended the June quarter with 1,627 stores across brands. In Ethnix alone, it closed 17 stores during the quarter and will shut another 20-25 by the fiscal end. While it continues to expand through large-format retail and e-commerce, Ghosh said exclusive brand outlets remain the most profitable format and will continue to anchor the retail strategy.

Ethnic wear is also seeing a revamp. Raymond will move its premium sherwani business from readymades to made-to-measure, arguing that those spending up to ₹100,000 prefer customised outfits.

Ghosh is also trying to boost newer businesses, expecting the innerwear business to turn Ebitda-positive by the end of the fiscal.

Export is another area to diversify growth. Garmenting, manufacturing for global brands, rose about 50% during the quarter due to better demand from Europe and the UK. Ghosh expects the free trade agreements to bring a further boost.

For an extended version of this story, go to livemint.com.

Sridhar Vembu, Zoho's founder and chief scientist. @SVEMBU/X

IT industry not creating new jobs: Sridhar Vembu

PTI

feedback@livemint.com

NEW DELHI

Zoho Corp. founder and chief scientist Sridhar Vembu on Sunday said the information technology (IT) industry is not creating many new jobs as funds are being diverted to meet the rising costs of artificial intelligence (AI) and data centre infrastructure.

In a post on social media platform X, Vembu noted that while the IT industry, including Zoho, has avoided large-scale layoffs, it has failed to generate major new employment opportunities in recent years.

"The money that would have gone to new employees is now going to AI and data centre costs, the latter due to the steep rise in server and memory prices," Vembu said. He added that while the company is attempting to manage these expenses, many factors remain beyond their control.

Vembu questioned the need for increased software production in the current environment. "While AI allows us to produce more software quicker, does the over-saturated global software market need a lot more software?" he asked. He noted that like any commodity industry, the focus is shifting to quality, reliability, and brand, which will lead to "much slower" growth.

The Zoho founder also pointed out that enterprise customers are redirecting their own IT spending towards AI. He expressed uncertainty regarding the financial returns for AI companies that are currently borrowing and spending heavily on capital expenditure.

"It is not clear they will achieve the massive profits they need to justify all the capex," Vembu remarked.

On the broader issue of employment, he expressed doubt that manufacturing could "pick up the slack," noting that extensive automation translates to large-scale manufacturing producing few jobs.

Vembu noted that while advanced tech makes goods more affordable by lowering production costs, it creates a structural challenge for the economy regarding income distribution. "The 'only' question is how the economy is structured so people have the income to afford those affordable goods," he said, adding that while the question is simple in theory, it is difficult in practice.

Hiring engines slow at top companies

FROM PAGE 1

only campus hires, while some do not have data for the previous years, and hence their numbers can't be compared to a previous period.

"Companies have seen an improvement in productivity levels with lesser headcount being required to drive a growing topline—some of this might be a function of greater presence of third-party headcount that doesn't feature in the absolute employee numbers or additions—but most of this is on account of productivity benefits," noted Anandorup Ghose, partner at consulting firm Deloitte India. Ghose advises on rewards, compensation structure across India Inc.

The data also shows how hiring has fluctuated. Reliance Industries' new hires rose from 170,000 to 190,000 between FY24 and FY25, only to plummet to 100,000 in FY26. Meanwhile, HDFC Bank's numbers went from 89,115 in FY24 to 45,902 in FY26. Bharti Airtel hired 5,956 about three fiscals ago, and then the numbers dropped to 3,751 in FY26.

SBI recruited 10,661 in FY24; the number went down

Talent strategy

Number of new hires by companies* among BSE's top 30.

Company	FY24	FY25	FY26
Reliance Industries	170,000	190,000	100,000
HDFC Bank	89,115	49,713	45,902
Bharti Airtel	5,956	5,078	3,751
State Bank of India	10,661	1,770	25,633
Adani Ports and Special Economic Zone	354	536	235
Axis Bank	40,724	31,674	31,665
Kotak Mahindra Bank	46,711	29,024	28,846
Power Grid Corp. of India	431	1,185	1,280
Asian Paints	3,005	2,903	2,090
Tata Steel	3,898	1,839	1,326
Tech Mahindra	64,211	75,986	75,040
Total of 11 firms	435,066	389,708	315,768

*Shows only those companies that mention their new hires.
Source: Annual reports

mint

to 1,770 in the following fiscal year but the number shot up to 25,633 in FY26. Power Grid, another state-owned company, also saw a rise in new hires, adding 1280 in FY26, a jump from just 431.

All except State Bank of India and Power Grid have reported lower hiring during the period

Consultants said wars in Iran and Ukraine dented hiring in the last few years.

"This challenge is further compounded by broader macroeconomic concerns, including geopolitical tensions in the Middle East. As a result, even organizations that are performing well financially are adopting a cautious approach towards new investments and hiring decisions," said Rajul Mathur, head of Work and Rewards, India for advisory firm WTW.

In an emailed response, Tata Steel said hiring was significantly higher in the previous two years "due to talent requirements arising from the expansion projects at Tata Steel Kalinganagar".

"Roles that are largely transactional, repetitive, or helpdesk-oriented are seeing reduced manpower requirements as AI-powered tools and digital solutions enable more efficient service delivery," Tata Steel said. It noted that this trend "is likely to continue as automation capabilities mature, although workforce requirements will continue to evolve alongside changing business and operational needs".

Queries emailed to the other companies named remained unanswered.

"The financial services sector as a whole is maturing with a large underbelly of under-serviced demographic not exposed to basic financial products around savings, credit, insurance, investment products and securities, leading to organic growth and possible headcount increases," said Jang Bahadur Singh, associate director, Talent Solutions, India, for consulting firm Aon.

dipali.banka@livemint.com

For an extended version of this story, go to livemint.com.

HCLTech faces top client blues as Google consolidates vendors

FROM PAGE 1

est-growing tech services firm among the top six in India.

Emails sent to Google and HCLTech went unanswered.

For now, HCLTech may lose out on application development and maintenance work, one of the three arms of work it handles for Google. The other two arms are coding-related work and integration of software products including SAP and Salesforce.

"HCL was handling this application development work for the last 10 years and had around 1,000 people working on this project," one person with knowledge of the matter said. "These employees will be deployed to other projects, and the transition will last around three months."

This full-stack application development work was part of a larger multi-million dollar deal spanning at least three years that was awarded to IBM, Accenture and Deloitte, according to the first person.

A second person said the company also lost out on about

HCLTech handles IT infra-related work for Google. MINT

$25 million of new application development work as Google put the deal on hold for an undisclosed reason.

Both people confirmed that the changes are part of a vendor consolidation drive undertaken by Marc Berson, who took over as the head of Google Internal Systems in February last year.

Still, HCLTech is expected to be the fastest-growing of the country's big six IT companies as its management expects to end the fiscal with a full-year growth of 1-4% in constant currency terms.

While HCLTech won a $1.14 billion workplace management contract from Mercedes-Benz in July, its contribution to revenue this fiscal will be negligible, according to the management.

HCLTech is the latest in the list of companies to face growth blues from top clients. Over the past three months, Infosys lost two of its largest clients, Daimler and Mercedes-Benz, to HCLTech and Cognizant due to execution delays and low margins. Wipro lost $100 million, or almost 1% of its full-year revenue, from New York-based Estée Lauder.

Sonata Software Ltd's revenue declined by 30% on a sequential basis during the April-June 2025 period after Microsoft sold its software licenses directly to firms rather than rely on Sonata. According to a *Mint* report dated 1 June 2025, Mphasis Ltd lost about 8% of its annual revenue from FedEx, which was one of its three largest clients.

For an extended version of this story, go to livemint.com.

Rogue AI hacks herald new era of cyber chaos

FROM PAGE 1

show that."

OpenAI has committed to

per, one of the researchers involved in the project. "Peo-

Security, a cybersecurity consulting firm. "Old classic secu-

treated as a business problem. President Trump is

the official said.

John-Clark Levin, chief

untary testing are continuing, the official said.

After years of clumsy performance, AI models had a breakthrough moment last fall, when they became noticeably better at finding bugs and passing hacking-benchmarking tests. But there wasn't much real-world data on their abilities.

Now that has changed.

"These incidents will probably, in retrospect, be seen as inflection points in the ways that attackers operate," said Joshua Saxe, the chief technology officer with the AI security company Abundant Security. "It's a really dangerous situation; these incidents really

ing a technical report about the hack. News Corp, owner of *The Wall Street Journal*, has a content-licensing partnership with OpenAI.

In December, researchers at Stanford University used state-of-the art AI technology to show models achieving close-to-human levels of hacking on a real-world network.

The research received pushback from professional hackers known as penetration testers—people who are hired by corporations to break into their own networks to help them understand their vulnerabilities.

"At the time our results were disputed," said Donovan Jas-

Jasper sees Anthropic's and OpenAI's revelations as affirmation of his team's earlier research. "AI is getting really good at this stuff," he said.

The Stanford researchers' biggest concern during their tests was that their hacking models might somehow do something they weren't intended to do. "The entire time it was operating, there was at least one human observing it," he said.

Hugging Face was unprepared for the agentic attack by OpenAI's models. The company tried to use Claude to analyze the vast amount of data the OpenAI agents had

The hacks are increasing pressure on the Trump administration to take more steps to address the security risks posed by AI. BLOOMBERG

generated, but the Anthropic model refused to perform the analysis, citing safety reasons.

Hugging Face was able to use open-weight models, which can be run on systems

controlled by the users, to do its analysis. But many companies don't even have the correct tools to analyze AI-generated attacks, said Ryan McGeehan, owner of RION

ward are going to get left behind," he said.

Agentic-AI hackers aren't like humans, McGeehan said. "They go deeper, they go wider, they're more intricate, and they're more dense," he said.

The hacks are increasing pressure on the Trump administration to take more steps to address the security risks posed by AI.

"I'm going nuts on this issue," said Steve Bannon, the conservative podcast host and former Trump adviser who is an advocate of stronger AI regulation, adding that the hacks are an enormous national-security issue and shouldn't be

mitigate risks presented by powerful AI models while allowing the industry to compete against rapidly improving Chinese companies. "We have to be careful in both ways. We don't want to restrict them when all of a sudden we come in second to China," he said in the Oval Office this week.

The administration has completed a framework dictating which models will be subject to federal government review before they are released publicly, a White House official said. Discussions with companies about how to proceed with the voluntary testing are continuing,

Technologies, the company founded by inventor and former Google executive Ray Kurzweil, expects more incidents like these in the coming months to force additional lawmakers and consumers to focus on AI safety.

Levin said it is important for AI guardrails to be mandatory rather than the voluntary approach being pursued by the Trump administration.

"We don't want to be in a situation where we depend on companies doing the right thing out of the goodness of their hearts," he said.

feedback@livemint.com

Dawn on carbon trade nears in India's journey to net-zero

Success tied to credible price discovery, robust verification systems and regulatory certainty

Agnidev Bhattacharya
agnidev.bhattacharya@livemint.com
MUMBAI

(From left) Shuchi Malhotra of the Environmental Defense Fund; Bayer South Asia's Suhas Joshi and and Nikunj Dube of CareEdge. MINT

India Inc. is preparing for a fundamental shift in how it cuts emissions. As the country's compliance carbon market moves towards launch later this year, companies that have largely relied on reducing emissions within their own operations are expected to increasingly use carbon credits to tackle residual emissions on the path to India's 2070 net-zero target.

With active trading under the Carbon Credit Trading Scheme (CCTS) scheduled to begin in the fourth quarter of 2026, industry experts and ratings officials at *Mint's Sustainability Impact Summit 2026* said the regulatory architecture is falling into place. But they cautioned that the market's success will hinge on credible price discovery, robust verification systems and regulatory certainty.

For Indian corporations, decarbonization strategies have so far prioritized direct operational abatement over market offsets. Nikunj Dube, chief ratings officer for ESG Ratings at CareEdge, said company disclosures under the Business Responsibility and Sustainability Reporting framework show firms have overwhelmingly focused on internal process changes rather than buying credits.

"Ideally what we have seen from the good level of disclosures around the companies, what they have till now relied on is abatement instead of offset till now," Dube said.

He said the upcoming CCTS would give companies a structured way to manage residual emissions while they continue reducing emissions through operational changes.

Transition would be gradual, as coal dependence will continue in several industrial sectors because viable alternative fuels remain limited, Dube added.

Corporate reluctance to buy carbon credits has also reflected concerns that offsets could invite accusations of greenwashing, he explained. But international science-based standards are increasingly defining how companies can use credits alongside direct emissions reductions rather than in place of them.

Shuchi Malhotra, lead advisor for carbon markets at the Environmental Defense Fund, said global standards recognize that companies must continue managing emissions even as they work towards long-term decarbonization. "While you obviously do everything in your power as you decarbonize and reach your net zero goals, you also have a responsibility towards your ongoing emissions."

Malhotra said governance bodies such as the Integrity Council for Voluntary Carbon Markets have established core principles covering additionality, permanence, accurate measurement and the avoidance of double-counting.

She reiterated that credits should complement, not replace, direct emissions reductions. "Carbon credits are a complement to your overall decarbonization journey. They are not a substitute."

Building the market

India laid the foundation for its compliance carbon market through amendments to the Energy Conservation Act in 2023. The framework includes both a mandatory compliance market and voluntary mechanisms.

Under the compliance market, administered by the Bureau of Energy Efficiency, companies are assigned emissions-intensity baselines under a baseline-and-credit mechanism. Targets initially cover eight sectors such as cement, aluminium, chlor-alkali, pulp and paper, petrochemicals, petroleum refineries, fertilizers, and steel, which together account for more than 700 entities and roughly 20% of India's greenhouse gas emissions, Malhotra said.

Companies that outperform their emissions targets receive carbon credit certificates, while those that fall short must purchase credits to make up the difference.

Meanwhile, the Central Electricity Regulatory Commission has issued regulations governing carbon credit transactions, with active trading expected to begin in the fourth quarter of 2026 after monitoring reports are submitted.

Agriculture's role, and hurdles ahead

Agriculture could also become a major source of carbon credits, speakers said, given both the sector's emissions footprint and its potential to generate verified emissions reductions.

Suhas Joshi, director and carbon initiative lead at Bayer South Asia for the Good Rice Alliance, said agriculture contributes roughly a quarter of global greenhouse gas emissions but also offers significant mitigation opportunities. "And therefore, it is important that we focus on agriculture not just as a problem, but also as a solution," he said.

Joshi said verifying emissions reductions across millions of fragmented smallholder farms requires technology-driven monitoring. Remote sensing, artificial intelligence and blockchain, he said, are becoming critical tools for measuring and validating field-level emissions reductions.

Even as the regulatory framework takes shape, panellists said several building blocks remain unfinished before India's carbon market can scale.

Joshi said predictable regulation and rigorous monitoring, reporting and verification systems will be essential to ensure credit quality and attract investment. "Regulatory framework has to be more predictable, less ambiguous."

Dube said developing a transparent pricing mechanism remains one of the market's biggest challenges. "The issue that we currently face is the price discovery."

He added that domestic ESG ratings frameworks could help build buyer confidence and channel capital into India's emerging carbon market.

mint
SUSTAINABILITY IMPACT
SUMMIT 2026

Fuel security key to energy transition: Indian Oil director

Manas Pimpalkhare
manas.pimpalkhare@livemint.com
NEW DELHI

As its clients take the energy transition curve, Indian Oil is itself greening its operations, says Indian Oil's Saumitra Srivastava. MINT

India's energy transition will depend as much on energy security as on cleaner fuels, Indian Oil Corp. Ltd's (IOC) director of marketing Saumitra Srivastava said, highlighting the need to ensure reliable supplies for the world's most populous country amid geopolitical disruptions and rising energy demand.

"For any meaningful transition, I think energy security is very essential... India's crude oil import has diversified over the years to cover approximately 40 sources now," Srivastava said at the recently held Mint Sustainability Summit 2026 in Mumbai. "And we are also strengthening our core of oil and gas business by making the operations clean and by using biofuels in our refinery," he added.

State-owned Indian Oil is the country's largest oil marketing company with approximately 43,000 fuel retail outlets.

India faced acute energy security concerns during the early months of the West Asia war that started late February. The conflict between the US and Iran led to the blockade of the Strait of Hormuz—a crucial waterway through which nearly a fifth of global energy shipments pass—that caused a spike in global crude oil prices.

Every $1 per barrel rise in crude oil prices translates into an increase of around ₹16,000 crore to the annual import bill of India that ships in around 90% of its crude oil demand. India imported oil worth $109.5 billion in fiscal year 2026, according to the government's Petroleum Planning and Analysis Cell.

"India today stands at a very critical juncture as we are one of the fastest growing economies... The demand for energy is also rising. People are looking for better mobility, people want better comfortable homes, efficient industries and better opportunities," Srivastava said.

"We are also facing headwinds in the way of geopolitical uncertainty, climate concerns, technology disruption and energy security challenges, which are unfolding all together," he said.

"So, actually what do we need? The real question actually is how do we get this energy in an affordable, secure, accessible and a sustainable way," he said on the issue of reimagining energy in the evolving times.

Srivastava said Indian Oil currently operates 10 refineries with a capacity of 80.5 million tonnes per annum, which will rise to 98 million in the next two years, in an effort to meet India's rising demand.

"Refineries are also being modernized. The co-processing of biofeedstocks along with conventional crude is helping reduce carbon intensity without compromising on the reliability of the refineries," he said.

He said the company has got approvals related to the International Civil Aviation Organization's Carbon Offsetting and Reduction Scheme for International Aviation, which mandates that all international flights must use a 1% sustainable aviation fuel (SAF) blend starting January 2027. To be sure, 1% SAF is a blend of 99 parts of convention jet fuel with one of 'neat SAF,' made from renewable or waste feedstock.

Indian Oil produces SAF at its Panipat refinery, and is also on track to meet the 2% SAF blend target for 2028, Srivastava said.

"We have been able to get the certification for SAF production, and we have signed agreements with Air India and Akasa Air to support these SAF blending targets," he said.

On other green initiatives, Srivastava said, to support the adoption of electric mobility, Indian Oil has set up 14,000 electric vehicle chargers across the country, and more than 1,000 battery swapping stations on the Golden Quadrilateral route for faster turnaround times in charging electric vehicles.

Liquified natural gas (LNG) is also emerging as a clean mobility solution for heavy-duty trucks, effectively reducing carbon emissions in the logistics sector, he said, adding that green hydrogen can emerge as a silver bullet in mobility solutions as well as in sectors such as cement and steel manufacturing.

As its clients take the energy transition curve, Indian Oil is itself greening its operations, said Srivastava.

"We are also embedding this sustainability in our day-to-day operations. All our refineries are now shifted from fuel oils to LNG for enabling cleaner fuel," he said. "The heating in heaters, boilers and turbines happens through the LNG and through such energy conservation initiatives, we have been able to save about 1 million metric tonnes of carbon dioxide last year."

mint
SUSTAINABILITY IMPACT
SUMMIT 2026

The price of premium in India is rising, one cup at a time

Vaeshnavi Kasthuril
k.vaeshnavi@livemint.com
BENGALURU

Indian café chains are betting on premium beverages to drive growth in an otherwise sluggish quick-service restaurant market.

That bet is becoming more expensive. A global supply squeeze is driving up the cost of imported ingredients such as matcha, hojicha and yuzu, with most operators absorbing higher costs rather than raise prices.

The sharpest squeeze is in matcha. Global wholesale prices have climbed 30-75% over the past year as demand has outpaced supply from Japan. Importers are paying up to 75% more for premium ceremonial-grade matcha, while lower grades are up 30-50% amid poor harvests, labour shortages, limited production of tencha—the tea leaves used to make matcha—and higher freight costs, according to industry executives.

Coffee and whey prices have also risen by around 20%, they said. Imported hojicha and yuzu have likewise become more expensive amid similar supply-chain constraints, a weaker rupee and higher logistics costs.

Yet consumers have shown little resistance, paying ₹250-450 for premium beverages such as matcha lattes, bubble teas and Vietnamese coffees, compared with ₹100-200 for regular iced teas, juices and soft drinks.

Most chains have resisted raising menu prices despite higher import costs, choosing instead to absorb the increase, according to industry executives. Smaller operators with less purchasing power, however, are increasingly likely to pass higher costs on to consumers.

The resilience in demand has prompted everyone from Starbucks to homegrown brands such as Boba Bhai, Coffee Island and abcoffee to rapidly expand their premium beverage portfolios.

Industry estimates underscore the momentum. India's speciality tea market has more than tripled to about ₹1,000 crore over the past five years, while the country's bubble tea market is estimated at about ₹3,800 crore and is expected to grow at an annual rate of 8.3% through 2030.

The very drinks driving growth are also becoming the industry's costliest to serve.

"Our input costs on imported ingredients have risen roughly 5-10% over the past year. Matcha has seen the steepest jump due to global demand outpacing supply from Japan, along with rupee depreciation and higher freight costs," said Dhruv Kohli, founder and chief executive of Boba Bhai.

The Bengaluru-based chain, which operates about 100 outlets across major cities, has absorbed higher procurement costs through sourcing improvements and operational efficiencies rather than raise prices. Even so, gross margins on drinks made with imported ingredients have compressed by about two percentage points, Kohli said.

"We've not taken price increases...We believe this is a temporary blip and will stabilize over time," he said.

Standard matcha beverages at Boba Bhai continue to start at about ₹199, unchanged from a year ago despite higher procurement costs.

Coffee Island is also relying on procurement efficiencies, recipe engineering and inventory planning to offset inflation in imported speciality ingredients while holding prices steady.

"We've certainly seen inflation across several imported speciality ingredients, particularly matcha, where global demand continues to outpace supply," said Samit Khanna, co-founder, Vita Nova gourmet (Coffee Island India).


Matcha has seen the steepest jump due to global demand outpacing supply from Japan. ISTOCKPHOTO

Smaller operators have fewer options.

Abhijeet Anand, founder of abcoffee, said the chain has largely avoided the recent spike by purchasing ceremonial-grade matcha nearly six months in advance. Smaller brands that buy more frequently are likely to feel the impact sooner, he said.

Ceremonial-grade matcha can cost ₹15,000-20,000 per kg, compared with ₹6,000-10,000 per kg for good-quality culinary or latte-grade matcha.

"Smaller brands generally pass on these increases to consumers because they don't have the appetite for price absorption. Larger chains can either delay the impact through scale or absorb some of it," Anand said.

Even so, operators say premium beverages remain among the most attractive parts of the café business because they command higher prices and create opportunities for seasonal launches and limited-edition offerings.

At Boba Bhai, beverages contribute about 45% of overall revenue, while premium drinks have helped lift average order values to around ₹400 online and ₹330 in stores.

"Boba tea and matcha may have been popularised by Gen Z as early adopters, but they have now found acceptance across age groups and are likely to remain permanent fixtures on café menus," said Rajat Tuli, partner and Asia-Pacific co-lead at Kearney. Google searches for "boba tea" have increased 11-fold over the past five years, while searches for "matcha tea" have risen fourfold, according to the consulting firm.

Tuli said premium beverages deliver stronger gross margins than food while expanding customer occasions. Higher innovation and changing consumer preferences have helped cold beverages grow 60% faster than hot drinks. Food, however, remains important, contributing more than 40% of revenue for many cafés.

As imported ingredients become more expensive, café operators are looking to reduce their dependence on overseas suppliers.

Boba Bhai is evaluating Indian-grown matcha and working with domestic tea estates to develop hojicha alternatives, although Kohli said imported products still offer superior quality.

India does not yet produce matcha commercially. A handful of tea estates in Darjeeling and the Nilgiris are experimenting with shade-grown Japanese tea cultivars and stone-ground matcha, but output remains limited and largely serves niche consumers. Most cafés continue to rely on imports from Japan for consistency in flavour and quality. Yuzu, meanwhile, remains almost entirely import-dependent because it is not commercially cultivated in India.

Trump to await clarity on deal to halt strikes

US president says West Asian allies have reached parameters of peace deal

AP
feedback@livemint.com
WASHINGTON

US president Donald Trump says he will order American forces to hold off on new strikes against Iran, claiming West Asian allies have reached the parameters of a deal to end the 5-month old war.

The emerging deal "would include the Immediate, Complete, and Total OPENING OF THE HORMUZ STRAIT, and an end to Iran's nuclear threat," Trump wrote in a Saturday evening social media post.

"Based on this request, I have agreed, for the future benefit of the WORLD and, likewise, the survival of a successful and prosperous Iran, to cancel the attack, subject to being able to rapidly make a DEAL," Trump said.

Trump has announced halts to strikes in Iran on several occasions since the US and Israel attacked Iran on 28 February, only for things to unravel and fighting to resume again.

Iran's defence minister said on X that


Trump has announced halts to strikes in Iran on several occasions since the US and Israel attacked Iran on 28 February, only for the fighting to resume later. AFP

The race to build an American alternative to cheap AI From China

Kate Clark & Sam Schechner

In late 2025, a little-known Silicon Valley startup bet much of its remaining cash on a lofty goal: building the strongest open-weight AI model it could.

The startup, Arcee AI, pulled it off after a 33-day pre-training run, with far less funding than the industry's biggest labs. The result is a cheap artificial-intelligence system that users can download and customize, an American counterpart to a host of upstart Chinese models that are shaking up the AI race.

There is growing concern in Silicon Valley and Washington that China's open-weight models, including Kimi, Qwen and DeepSeek, are close to matching top American counterparts and could threaten the profitability of AI companies for years to come. A race has begun among a few home-grown players to develop models that can compete. Some users want U.S. alternatives because of concern about censorship or security risks from Chinese models. The Chinese model makers have denied that their models

of parameters stored in their machine minds. That raw information allows anyone to run a model on specialized hardware and to build on top of the model, altering its weights with additional data in a process called fine-tuning. In the industry, some also refer to "open-source" models, which provide a higher level of transparency, offering users full access to weights, training code and other data.

The U.S. was initially the leader in open-weight AI models, with much of the open-AI sector and tools having grown up around Meta Platforms' Llama-series models. But China quickly started catching up.

Over the past year, as companies have watched in awe as the size of their AI bills multiplied, many have turned to China's open-weight models because they are often much cheaper. The shift has brought renewed attention to open-weight AI and the widening gap between the U.S. and China. U.S. companies including OpenAI have recently reduced their prices to make some of their high-end models more competitive.

"It's the beginning of an awakening that it can hap-

One problem some open-weight American AI pioneers are facing is funding. REUTERS

ments in Reflection AI, the artificial-intelligence startup that is expected to debut its first open model later this year after raising more than $2 billion; Poolside; and Thinking Machines Lab, which released its first open-weight model , called Inkling, in July.

Outside Nvidia and the startups it has backed, the U.S. open-weight ecosystem remains small, and China's open models continue to outperform.

A lack of investment interest by the venture-capital establishment in open-weight AI businesses hasn't helped. Many

disbelief. Recently, there has been increased outspoken support on X for developing U.S. open-weight AI to compete with China.

"Probably every venture fund that you see writing on X, I spoke to," he said. "I look at it this way: I have a chip on my shoulder now. We are in the streets training and releasing models. We are not just talking about it. We are trying to have the U.S. catch up to and surpass China."

McQuade is a former employee at the open-source AI platform Hugging Face who previously rose from field technician to Amazon Web Services team lead at Unity Connected Solutions. He started Arcee in 2023 with Jacob Solawetz and Brian Benedict , not intending to build a foundation model. McQuade said he saw an opportunity after Meta seemed to shift its focus away from its Llama models.

Arcee started with a small, 4.5 billion parameter model before scaling up to Trinity Large, which it trained on 2,048 of Nvidia's Blackwell B300 chips during a tightly planned effort designed to get the most out of its roughly $20 the country was neither surprised nor passive" following Trump's announcement and said Iran continues to remain alert in the face of concrete threats from the US.

A regional official says the proposal announced by Trump over the weekend calls for the US and Iran to return to negotiations and continue working out many of the issues that have stymied prior progress on the deal.

The official, who is involved in the mediation efforts, said the proposal calls for reopening of the Strait of Hormuz and halting attacks across the region, including by Iranian-backed militias in Iraq on the Arab Gulf countries and Jordan.

The US, in exchange, will end its naval blockade on Iran and allow Tehran to export its oil as stated in the tentative ceasefire deal, he said.

No deal has been reached yet, but mediation efforts are under way, said the official, who spoke on the condition of anonymity because he wasn't authorized to talk to the media.

Trump said that Israel is joining his commitment to end the war by implementing the ceasefire deal.

Israel did not publicly comment on the announcement.

Saudi Crown Prince Mohammed bin Salman, the kingdom's de facto leader, spoke with Trump by phone Saturday and raised concerns about the US potentially escalating the conflict with Iran, according to the Saudi press agency.

The Saudis, according to the person briefed on the substance of the call but not authorized to comment publicly, are concerned that Tehran could respond with attacks on the energy infrastructure of the kingdom and other Gulf countries.

The call happened before Trump's social media announcement, the person said.

The crown prince sought clarity from Trump on what potential new action he was weighing to take against Iran, the person said.

A White House official, who was not authorized to comment publicly and requested anonymity, confirmed the leaders spoke Saturday but did not offer any detail.

Iran has repeatedly attacked vessels attempting to transit through the Strait of Hormuz without its authorization as part of its ongoing conflict with the US.

In developments elsewhere in West Asia, Israeli strikes on Sunday across Gaza killed at least eight Palestinians, including two children, and wounded over a dozen others, according to local health officials. Palestinians reported an increase in the scale of Israeli strikes across the enclave over the past few days.

A strike on a residential apartment in southern Gaza killed three family members, including their 4-year-old child, according to Nasser hospital, where the bodies arrived.

Another strike, also on a residential apartment, in Gaza City killed three family members, including their child, and wounded others, according to health officials at the Shifa hospital.

The mother was six months pregnant, the hospital added. In central Gaza, a man and his wife were killed in an Israeli strike, which wounded four other people in the area, according to the main hospital serving central Gaza.

A regional official says the proposal by Trump over the weekend calls for the US and Iran to return to negotiations

The Israeli military said the overnight strikes had targeted Hamas military operatives, without elaborating.

At least 1,222 Palestinians, including at least 260 children, have been killed since the October ceasefire, according to Gaza's health ministry. Five Israeli soldiers have been killed in that time. Both Hamas and Israel continue to trade accusations of violating the ceasefire.

The State Department issued new security alerts on Saturday urging US citizens in the region to prepare for the possibility of flight cancellations, temporary airspace closures and other travel disruptions.

The warnings covered Bahrain, Israel, Iraq, Jordan, Kuwait, Lebanon, Oman, Qatar, Saudi Arabia and the United Arab Emirates.

present security risks.

One problem some open-weight American AI pioneers are facing is funding. Despite growing calls for the U.S. to develop stronger American open-weight AI to compete with China, investors are reluctant to back some of those startups.

"Every tier-one VC pretty much said no," said Arcee Chief Executive Officer Mark McQuade.

The new batch of open-weight companies, which includes Arcee, Reflection AI and Poolside, are betting on an increase in demand for capable open models that offer the efficiency of China's without the geopolitical complications.

"There is a vast, vast degree of want for an American company producing the most-capable open-source artificial intelligence," said Jason Warner, co-chief executive and co-founder of Poolside, an AI company that in July released a new version of its family of open-weight models called Laguna S 2.1.

Open-weight models allow anyone to download the numerical values, called weights, for each of the billions of parameters—pen—that the default model that you use will be an open-source model in the future," said Michael Stewart, a managing partner at M12, Microsoft's venture fund.

THE WALL STREET JOURNAL.

Nvidia and its CEO, Jensen Huang, have emerged as being among the strongest supporters of open AI. In July, Nvidia signed an open letter urging greater support of open models and asking policymakers to avoid "premature restrictions."

The leaders of Anthropic and OpenAI have responded with broad support for open models but added that there are trade-offs. There is the possibility of the models' being misused for cyber or biological attacks, Anthropic Chief Executive Dario Amodei said in a recent blog post.

Nvidia has built several open models, including a family called Nemotron, and earlier this year started a coalition with several AI labs to contribute to open models. It has also become one of the largest backers of open-weight companies. It made big investments

investors have questioned whether a company developing an open-weight model, which is free to use, can generate real revenue. The investors are also fearful of backing technology that could erode OpenAI's and Anthropic's businesses.

The closed, proprietary AI labs continue to dominate and have forged relationships with virtually every top investor in Silicon Valley. In the first quarter alone, AI startups raised $255.5 billion. Nearly two-thirds of that total came from just three deals: funding rounds for OpenAI, Anthropic and xAI, according to the data firm PitchBook.

"I don't want this to succeed. I don't want to invest because it will hurt my investment in Anthropic or OpenAI. Those are the excuses I heard repeatedly," said Joe Floyd, an early investor in San Francisco-based Arcee and a general partner at Emergence Capital who has helped the startup raise money.

Arcee's McQuade said he expected more interest from venture capitalists. Instead, he encountered skepticism and

million budget. Arcee previously raised $50 million in total at a valuation of $240 million. It has about 30 people on staff.

"It was more to prove that we could do it with such limited capital and resources," said McQuade. "We're just a bunch of grinders—a bunch of misfits that are going after it and want to prove the world wrong."

Trinity Large is still much smaller than the top AI models and trails models from Anthropic and OpenAI on many leading benchmarks. Arcee plans to build larger, more-capable models with capital from a new funding round expected to close soon.

Despite its fundraising hurdles, the team remains optimistic about the future of the U.S. open-weight ecosystem.

In July, the startup joined with the Energy Department to build an AI model focused on scientific research.

"The tailwinds are behind us now based on everything that is happening in the world," said McQuade. "It's just a matter of time before widespread adoption."

feedback@livemint.com

A tech founder wanted to start a new country. An actual country got in the way.

Stu Woo & Patricia Kowsmann

ISKANDAR PUTERI, MALAYSIA

Tech founder Balaji Srinivasan says he believes America is descending into anarchy. His solution was to build a new country from scratch.

He left Silicon Valley and, as a first step, tried to create a rival tech community in Asia. He set up a campus with co-working spaces, a high-end gym and meals designed by longevity guru Bryan Johnson. He surveyed potential residents on their views on politics and pronatalism, the high-birthrate philosophy Srinivasan promotes.

"Bryan Johnson wants to live forever. Sam Altman wants to build a machine of superintelligence. Elon wants to get to Mars," Srinivasan said on a recent podcast. "I just want to start a new country."

The setting for this experiment was as surreal as it was grand: a hotel in a $100 billion, Chinese-built luxury development in Malaysia that became a mostly empty ghost city.

Now two years in, his vision—called the Network School—is colliding with the real world.

Participants complained about moldy rooms, dead nightlife and not enough women—a downside familiar to Silicon Valley.

Then came an even bigger hurdle: the actual country they were living in.

Malaysian authorities launched an investigation into the school's residents after an Instagram post said the project housed citizens from Israel. Muslim-majority Malaysia doesn't officially recognize that state and requires Israelis to get special permission to enter the country. Authorities said they haven't found wrongdoing.

But last week the local government ordered the project to shut down over unrelated licensing issues. Within hours, Srinivasan said on social media that he had signed an agreement to open a campus in Kazakhstan.

In a response to questions for this article, Srinivasan wrote on X that the Instagram post was a hoax, and that "we respect Malaysia's sovereignty and are abiding by all Malaysian law."

He said mildew is a common regional issue his team fixes as necessary.

THE WALL STREET JOURNAL.

People came to the Network School for self-improvement rather than partying, and there were plenty of women, he added. "We are absolutely not simply for the 'tech bro,' but for the tech dad, tech mom, tech family, and tech children," Srinivasan said.

Other tech leaders are trying to carve out independent enclaves. Patri Friedman, a software engineer and grandson of economist Milton Friedman, first tried building floating city-states , and then launched a fund to seed "startup cities." He said investors and advisers include Srinivasan, Peter Thiel and Marc Andreessen.

One of its investments is Próspera, launched on a Honduran island in 2017, offering residents low taxes and light regulation. But Honduras's legislature soured on such special economic zones and moved to end them. Próspera sued the state. A project spokesman said Próspera operates under Honduran sovereignty, and it created jobs and brought investments to the country.

Srinivasan said that in the distant future, the Network School may get its own special economic zone, or "we may build an artificial island from reclaimed land off the shore of a willing country, or we may even accompany Elon to Mars."

'The state is against you'

Srinivasan, 46, grew up on Long Island the son of Indian immigrant physicians. He once said he was bullied at school as "the only brown kid among hundreds of people"—and then unfairly punished for physically defending himself. "I learned early on that you've got to stand up for yourself, that the fix is in.... The state is against you."

After earning Stanford engineering degrees, he co-founded a genetic screening company, worked at venture-capital firm Andreessen Horowitz and was briefly chief technology officer at cryptocurrency exchange Coinbase .

"Balaji is a brilliant guy," Coinbase head Brian Armstrong said in a podcast last year, adding that he brought "an enormous amount of value."

Srinivasan was also "kind of unmanageable," he said. "About once a week, someone would come into my office as CEO and say, 'I can't work with Balaji, and he's causing so much collateral damage.'"

The setting for the experiment was as surreal as it was grand: a hotel in a Chinese-built luxury development in Malaysia.

Srinivasan said on X that he doesn't start conflict for the sake of it. "In general I am mostly good cop and a reluctant bad cop," he said.

New societies

Srinivasan is an advocate of boosting Earth's birthrate, in part to settle new frontiers.

"You're going to need a lot of people," he said at a 2023 conference for the movement known as pronatalism , "because a lot of people are going to die in space exploration, and there's a lot of planets out there."

Srinivasan also believes few countries that predate the internet will survive, and that the U.S. in particular is on the decline, driven by political polarization.

"In like one generation, it becomes at a minimum like Protestant-Catholic or Sunni-Shiite or something like that," he said in a 2022 podcast. Combined with factors including inflation and a heavily armed population, he said "American anarchy, unfortunately, is sort of where we're heading."

In his 2022 book, "The Network State," Srinivasan offered a peaceful alternative, saying it is better to build new societies from scratch.

His playbook: First, people with shared beliefs form an online community. Next, members help each other earn money, pool funds to acquire land and, once big enough, seek recognition as a state.

To test the concept, Srinivasan headed to a nearly deserted artificial island about 100 miles from the equator.

On the southern tip of Malaysia, seaside high rises built for tens of thousands of people sit mostly empty. The development, Forest City, is a symbol of China's real estate bust, defined by overborrowing and overbuilding at home and abroad.

The area sits across the bridge from the wealthy city-state of Singapore, where Srinivasan said he is now a citizen. Federal records indicate he and his wife renounced American citizenship in 2023.

In 2024, Srinivasan rented space in a hotel and opened the Network School. Part tech incubator, part self-improvement retreat, it started at $1,500 a month for room and board, classes and beachside digs. People could live there or stay for as short as a month. Families could hire nannies.

Srinivasan said the first cohort drew 128 people, while the second, in 2025, offered 256 spaces. Recent attendees estimated a few hundred participants at a time.

The idea was for people to come and learn, work on their business, and hit the gym and eat right to gain the strength to build their own utopias elsewhere. "You should apply if you want to build yourself up while also building a startup society that bootstraps other startup societies," its website said.

Malaysia launched a probe into the school's residents after an Instagram post said it housed Israeli citizens

The reality

On a recent weekday, about two dozen foreign attendees worked on laptops in the Network School's cafe, which sold health supplements including creatine and collagen peptides. Some chatted about coding while, elsewhere in the hotel, a dozen children ran around.

Current and former residents raved about the sheer convenience and camaraderie with fellow adventurers. Srinivasan's ideology was a draw for Pranit Garg, a 29-year-old digital nomad who moved here in March, but his favorite part was the gym and all-you-can-eat protein.

"Come for the vision," he said. "Stay because you're getting jacked."

Early applicants were quizzed on their views on topics including capitalism and pronatalism. But by the time Priyansha Dhoot attended this April, she had to only write an essay about why she wanted to attend. The 26-year-old college program manager from India wanted to jump-start her career after a breakup.

Dhoot loved the community, but not the ghost-town nightlife. "I ended up exploring the duty-free alcohol shops," she said. "That only lasts you a day."

The government standoff

Before his clash with Malaysian authorities, Srinivasan had said the Network School didn't seek sovereignty and would abide by local laws. The project was just the early steps of a seven-stage process to start new societies, he said.

Then came the passport dispute.

Earlier this month, an Instagram post by a pro-Palestine group said the school admitted Israeli citizens, including one who used a second passport. Malaysia requires Israelis to obtain permission before entering.

Immigration officials came to the campus to inspect passports. Srinivasan responded with public fury on social media, likening the Instagram accusation to "swatting"—the hoax of tricking SWAT teams into targeting someone—and demanded a meeting with the prime minister's office.

"Alternatively, if you don't want our investment, or those of our colleagues at billion dollar funds and trillion dollar companies," he wrote, "we will of course respect your wishes, and reallocate our capital to other countries instead."

An official said in a news conference last week that authorities hadn't found evidence of wrongdoing and the investigation was ongoing. But the local government separately ordered the project to cease operations, citing licensing irregularities. Malaysian authorities didn't reply to requests for comment.

A few hours later, Srinivasan posted a video of himself alongside a Kazakhstani deputy prime minister—a former executive at crypto exchange Binance—signing an agreement to open a Network School campus there.

Srinivasan told the Journal that several countries offered to house his project. Kazakhstan has been courting foreign companies by setting up special economic zones with no corporate income taxes and easy visas.

"Our new campus will become a haven for global techno-optimism," Srinivasan said on X.

Garg, the Network School resident, said he was open to moving.

"Being nomadic is in my nature, so my inclination is to say yes to new adventures," he said. But whether it is to follow Srinivasan's ideology, he said, "on a day to day, I'm not really thinking about that."

feedback@livemint.com

(₹in Million)

Sl. No.	Particulars	Quarter ended June 30, 2026 (Unaudited)	Year ended March 31, 2026 (Audited)	Quarter ended June 30, 2025 (Unaudited)
1.	Total Income from operations	3,081.69	11,360.03	2,594.58
2.	Net Profit for the period (before tax and Exceptional items)	652.92	2,611.64	619.54
3.	Net Profit for the period before tax (after Exceptional items)	652.92	2,611.64	619.54
4.	Net Profit for the period after tax attributable to Owners (after Exceptional items)	481.25	1,981.22	508.35
5.	Total Comprehensive Income for the period attributable to Owners [Comprising Profit for the period (after tax) and Other Comprehensive Income (after tax)]	519.64	2,381.66	507.90
6.	Equity Share Capital (Face Value of ₹1/- each)	206.92	206.92	206.60
7.	Earnings per share (Face Value of ₹1/- each) 1. Basic : (Not annualised) 2. Diluted : (Not annualised)	 2.33 2.32	 9.59 9.56	 2.46 2.45

Additional information on Standalone financial results is as follows: (₹in Million)

Sl. No.	Particulars	Quarter ended June 30, 2026 (Unaudited)	Year ended March 31, 2026 (Audited)	Quarter ended June 30, 2025 (Unaudited)
1.	Total Income from operations	1,225.42	4,708.59	1,175.01
2.	Profit before tax	466.73	1,711.79	455.05
3.	Profit/(Loss) after tax	349.27	1,294.50	339.15

Notes :

1. The above is extract of the detailed format of Quarterly Financials Results filed with the Stock Exchange under Regulation 33 of the SEBI (Listing Obligation and Disclosure Requirements) Regulations 2015. The full format of the Quarterly Financials Results are available on the Company's website at www.latentview.com and the Stock Exchange website at www.bseindia.com and www.nseindia.com
2. The above results were reviewed and recommended by the Audit Committee at the meeting held on 01 August, 2026 and approved by the Board of Directors at their meeting held on 01 August, 2026

For **Latent View Analytics Limited**

Sonal Ramrakhiani
Chief Executive Officer

Place : Chennai
Date : 01 August, 2026

the Nagaland state e-procurement portal https://nagalandtenders.gov.in from eligible Bidders for "Comprehensive Water Supply Improvement Works for Chumoukedima" Package no. WS/CMD/DBC-01 under ADB funding. A Pre-Bid meeting shall take place on 12th August 2026, 11: 00 AM at Directorate of Urban Development Kohima, Nagaland. The deadline for bid submission is 3rd September 2026.

Sd/-
Project Director
PMU-NUIDP

iNDEXTb
INDUSTRIAL EXTENSION BUREAU
A GOVT.OF GUJARAT ORGANISATION

Tender for Vibrant Gujarat Global Summit 2027

Proposals are invited for Vibrant Gujarat Global Summit 2027 for below mentioned service

1. **PR Agency**

Tender document can be obtained from www.indextb.com and https://tender.nprocure.com from 01/08/2026. The last date of submission is 10/08/2026 up to 03:00 PM (IST). Bidders are advised to keep visiting the website for subsequent updates.

MANAGING DIRECTOR

327255	Branding Works Including Supply and Installation of Signage/Safety Sign Boards At CNG/Gas Stations/Offices Across GEL	https://www.gujarat-energy.com/ggl-current-tender/

Any revision, clarifications, corrigenda, addenda, notifications etc. related to this notice will be updated on the above referred websites only. Interested parties should regularly visit websites to keep themselves updated.

भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA
www.rbi.org.in

AUCTION OF STATE GOVERNMENT SECURITIES

The following State Governments have offered to sell stock by way of auction, for an aggregate amount of **₹26,850 Crore** (Face Value).

Sr. No.	State/UT	Amount to be raised (₹ cr)	Tenor (Year)	Type of Auction
1.	Assam	1,000	Re-issue of 7.56% Assam SGS 2036, issued on July 22, 2026	Price Basis
2.	Bihar	800	Re-issue of 7.42% Bihar SGS 2035, issued on July 08, 2026	Price Basis
		1,200	Re-issue of 7.92% Bihar SGS 2051, issued on April 15, 2026	Price Basis
3.	Chhattisgarh	500	Re-issue of 7.40% Chhattisgarh SGS 2035, issued on July 08, 2026	Price Basis
		500	Re-issue of 7.64% Chhattisgarh SGS 2042, issued on July 08, 2026	Price Basis
4.	Gujarat	1,000	Re-issue of 7.38% Gujarat SGS 2035, issued on July 15, 2026	Price Basis
		1,500	Re-issue of 7.51% Gujarat SGS 2038, issued on July 15, 2026	Price Basis
5.	Himachal Pradesh	400	Re-issue of 7.78% Himachal Pradesh SGS 2044, issued on June 24, 2026	Price Basis
		300	Re-issue of 7.77% Himachal Pradesh SGS 2049, issued on June 24, 2026	Price Basis
6.	Jammu and Kashmir	500	Re-issue of 7.91% Jammu and Kashmir SGS 2046, issued on June 03, 2026	Price Basis
		500	Re-issue of 7.81% Jammu and Kashmir SGS 2051, issued on June 10, 2026	Price Basis
7.	Jharkhand	1,000	Re-issue of 7.30% Jharkhand SGS 2033, issued on July 08, 2026	Price Basis
8.	Kerala	800	Re-issue of 7.30% Kerala SGS 2033, issued on July 08, 2026	Price Basis
		1,000	Re-issue of 7.56% Kerala SGS 2039, issued on July 08, 2026	Price Basis
9.	Madhya Pradesh	1,600	Re-issue of 7.61% Madhya Pradesh SGS 2044, issued on July 08, 2026	Price Basis
		2,000	Re-issue of 7.90% Madhya Pradesh SGS 2056, issued on April 15, 2026	Price Basis
10.	Manipur	250	Re-issue of 7.64% Manipur SGS 2040, issued on July 08, 2026	Price Basis
11.	Odisha	1,000	04	Yield Basis
		1,000	14	Yield Basis
12.	Sikkim	200	Re-issue of 7.58% Sikkim SGS 2039, issued on July 08, 2026	Price Basis
13.	Tamil Nadu	1,000	10	Yield Basis
		1,000	15	Yield Basis
		500	25	Yield Basis
14.	Telangana	500	Re-issue of 7.53% Telangana SGS 2039, issued on July 01, 2026	Price Basis
		500	Re-issue of 7.64% Telangana SGS 2044, issued on July 01, 2026	Price Basis
		500	Re-issue of 7.65% Telangana SGS 2049, issued on July 01, 2026	Price Basis
		1,000	Re-issue of 7.65% Telangana SGS 2055, issued on July 01, 2026	Price Basis
15.	Uttar Pradesh	1,000	Re-issue of 7.14% Uttar Pradesh SGS 2032, issued on July 08, 2026	Price Basis
		1,000	Re-issue of 7.59% Uttar Pradesh SGS 2042, issued on July 08, 2026	Price Basis
		1,000	Re-issue of 7.79% Uttar Pradesh SGS 2051, issued on March 25, 2026	Price Basis
16.	Uttarakhand	300	12	Yield Basis
17.	West Bengal	500	Re-issue of 7.07% West Bengal SGS 2031, issued on July 08, 2026	Price Basis
		500	Re-issue of 7.64% West Bengal SGS 2044, issued on July 08, 2026	Price Basis
		500	Re-issue of 7.65% West Bengal SGS 2052, issued on July 08, 2026	Price Basis
	Total	**26,850**		

The auction will be conducted on the Reserve Bank of India Core Banking Solution (E-Kuber) system on **August 04, 2026 (Tuesday)**. Individual investors can also place bids as per the non-competitive scheme through the Retail Direct portal **(https://rbiretaildirect.org.in)**.
For further details, please refer to RBI press release dated **July 31, 2026**, on RBI website **www.rbi.org.in**

"Don't get cheated by E-mails/SMSs/Calls promising you money"

Europe's key rivers are drying up as extreme heat impact widens

River disruptions are becoming a test of how quickly the region can adapt infrastructure built around 20th-century conditions to new climate realities

Bloomberg
feedback@livemint.com

Europe's biggest rivers, vital arteries for the region's heavy industries, are drying up after the region was seared by a series of heat waves.

As water levels in the Rhine and Danube fall towards record lows, that's starting to disrupt the transport of chemicals, oil products and other goods, while boosting freight costs. Soaring temperatures are also curbing power generation at riverside reactors from France to Hungary, pushing up energy prices and straining Eastern European economies.

Following the wildfires that ravaged France and Spain, it's another sign of how climate change is taking its toll on the fastest-warming continent. The river disruptions are becoming a test of how quickly the region can adapt infrastructure built around 20th-century conditions to a climate where extreme low water is likely to be increasingly common.


The partially dried-up bed of River Rhine pictured in Duesseldorf, western Germany, following exceptionally hot weather. AFP

"Human-induced warming has already made this drought more severe than it would otherwise have been, and the same rainfall deficit would give a worse drought again under further warming," said Dominik Schumacher, a lecturer in the Department of Environmental Systems Science at ETH Zurich.

Water levels at Kaub, a key chokepoint on the Rhine for shipments heading to southern Germany and Switzerland, have fallen to 25 centimetres earlier on Friday, matching the low reached during a drought in 2018.

A drop to 24 centimetres, which is forecast this week, would mark the lowest level since records began in 1880, according to German federal data compiled by ETH Zurich.

With the fourth heat wave to grip Western Europe this summer stretching through most of this week, the situation risks deteriorating, creating logistical bottlenecks on a river that snakes for roughly 800 miles (1,290 kilometres) from the Swiss Alps to the North Sea.

In 2018, BASF was forced to reduce production at its key Ludwigshafen complex in Germany as historically low water levels on the Rhine limited ship access. Now the world's largest chemicals maker has developed alternative, albeit more expensive, transport options, according to chief financial officer Dirk Elvermann.

"We are, of course, concerned about the issue of low Rhine water levels," Elvermann told reporters on Wednesday, while adding that the situation was "under control".

Low Rhine water levels cut German industrial production by as much as 1.5% in 2018, but many firms have since adapted their supply chains, according to Saskia Meuchelböck, a researcher at the Kiel Institute for the World Economy. Inland shipping's share of Germany's total freight transport has also dropped from 4.7% in 2017 to 4.1% in 2024.

EnBW, which operates coal-fired power plants supplied via the Rhine, said it's been building up fuel stocks whenever plants are offline to ensure sufficient inventories. Grosskraftwerk Mannheim said it also has adequate coal reserves, and if water levels fall further, it could reduce cargo loads per vessel, deploy smaller barges or switch some deliveries to rail.

A DB Cargo spokesperson said the railway operator was in constant talks with customers affected by low water levels on the Rhine, Europe's busiest inland waterway.

Still, even if companies can find alternative supply routes, higher costs threaten to further erode Europe's industrial competitiveness against rivals in Asia and North America.

"Some inland vessels may no longer be able to operate because of their technical limitations," said Roberto Spranzi, board member of the German Inland Waterway Transport Cooperative, which represents around 90 ships. High fuel prices, alongside low water levels, were also affecting operations, he added.

Levels in the Rhine and Danube have dwindled over an unusually hot and dry European summer, with repeated bouts of high-pressure blocking moisture-bearing clouds from replenishing watersheds.

The feedback loop has driven up plant water use, sapping moisture from soils that quickly soak up meager rainfall before it can flow into river basins, said David Hannah, a professor of hydrology at the University of Birmingham.

"Climate change intensifies this by raising baseline temperatures, making hot, dry periods more effective at drying out landscapes and reducing river flows," Hannah said.

Drought conditions have worsened in central-western Europe in recent weeks, data from the European Commission show. Rhine river levels have also been hurt by reduced snow and glacier runoff from the Alps, which is an especially important source of water in late summer, he said.

Some stretches of the Danube, Europe's second-longest river, have already fallen to record lows. That's disrupting barge navigation in Romania and Slovakia, while also hitting output from atomic reactors.

A drying Danube is disrupting barge navigation in Romania and Slovakia, and also hitting atomic reactors' output

Hungary is fully shutting down its sole nuclear plant for the first time in its 44-year history on Sunday, posing a test for new prime minister Peter Magyar. That will strip the country of 40% of its electricity generation capacity, forcing the government to boost power imports.

Hungary's ruling party has asked parliament to delay its sessions this week to save energy, Magyar said in a Facebook post. Decorative lighting in Budapest as well as those of state-owned buildings will be turned off. In the meantime, voluntary cutbacks from carmakers and battery plants have alleviated some of the pressure on the grid.

Romania's energy sector will remain on a state of alert through August as power production slumps, and it will ask for support from neighboring Ukraine during peak demand hours. The country may be forced to shut a second reactor at the Cernavoda plant as the low water levels in the Danube impair cooling operations.

This summer's heat waves have also forced France to curb power output from its nuclear fleet, which forms the backbone of Western Europe's power system. Power stations draw cooling water from rivers like the Rhone and Garonne, and there's a risk that as temperatures rise the discharge will get too hot, threatening wildlife.

In the face of the sustained drought, the Hungarian government has appealed for more prudent electricity and water consumption. Demand overload left several thousand people without drinking water in Szentendre, north of the capital.

"If we don't change, soon we'll find ourselves in desert-like conditions," Environment Minister Laszlo Gajdos said on Friday.

Italy's longest river, the Po, continues to dwindle below historic lows, raising concerns about farm irrigation and saltwater intrusion in its delta.

"The heat and drought definitely represent a new risk to growth," said Carsten Brzeski, an economist at ING Diba AG. "Dwindling rivers cause real economic pain, plus encapsulate the challenges of climate change."

Europe's rivers are unlikely to see major relief anytime soon. Temperatures across the mainland are forecast to be 2C to 8C warmer than normal through early August, according to analysis from Vaisala meteorologist Matthew Dross. Longer-term weather models support more rounds of high pressure, which may mean little drought-busting rainfall until late-fall.

"Significant rain can bring short-term improvements but if dry soils and blocking patterns persist, those gains may be temporary," Hannah said.

Wall Street's favourite bet comes undone as chips whipsaw market

Bloomberg
feedback@livemint.com

The one-way trade in semiconductor stocks that has defined equity markets this year is coming unglued, triggering stomach-churning volatility as investors grow increasingly concerned that the fire-hose of artificial intelligence spending won't continue.

The Philadelphia Stock Exchange Semiconductor Index, or SOX, plunged 21% in July for its worst month since October 2008, in the midst of the global financial crisis. On


The SOX plunged 21% in July for its worst month since October 2008, in the midst of the global financial crisis. AFP

riously cyclical, with regular booms and busts based on rising and falling demand. And many on Wall Street remain steadfast in their belief that this cycle won't be any different.

"The earnings explosion we've seen is just not sustainable," Valueworks' Lemonides said.

"The bigger question is whether margins can be sustained," he added. "Margins are so out of sync with historic norms that it is reasonable to expect them to come in. The question is when, and what stocks do about it."

Spiking volatility

Opec+ makes a small quota hike for coming month to complete unwinding of 2023 cuts

Bloomberg
feedback@livemint.com

Major Opec+ nations approved the latest small increase to their production quotas, a move that will complete the theoretical revival of supplies halted in 2023 and give them scope to add more barrels once the war in West Asia ends.

Seven members led by Saudi Arabia and Russia agreed to boost their collective target by a further 188,000 barrels a day next month, the group said following a video call on Sunday. The group has


Seven members led by Saudi Arabia and Russia agreed to boost their collective target by a 188,000 barrels a day next month. REUTERS

ceasefire between the US and

structure, the associated risks

still change depending on circumstances, one of the delegates said.

As with the first two layers, many Opec+ nations would struggle to revive much of this final tier, given the deterioration in their capacity in recent years. Even before the war forced Persian Gulf producers to shutter output, the vast majority of idle capacity in the alliance was held by Saudi Arabia.

Russia has been pumping considerably below its permitted level for some time as it wrestles with sanctions imposed following its invasion nearly half the trading days last month, the index, which tracks 30 of the world's biggest chipmakers, closed up or down by least 4%. And all 22 sessions had intraday swings of at least 2%, something that hasn't happened since 2020.

"The volatility really speaks to the level of general uncertainty and how no one knows how this is going to play out," said Stephen Evans, chief investment officer at Pave Finance.

"I think the cycle still has a way to go, and that investors can stay long," he added. But "you have to be able to stomach a Disney World kind of ride."

Much of the volatility is a result of greater scrutiny being placed on big-tech capital expenditure plans, casting doubt on the sustainability of the spending. Add in growing competition and the proliferation of open-source AI models—which can be cheaper and more efficient to run, requiring less infrastructure—and investors are starting to question whether the best days for chip stocks may already be in the past.

Even after a two-day 8.3% rally to end the month, the SOX is still down 23% from its record high hit on 22 June. Every stock in the index is in the red over that stretch, and more than half have lost at least 25%.

Some investors think the selloff has become so extreme that it has created a short-term dip buying opportunity. Over the longer-term, however, the prospects for chip stocks is dicey.

"It wouldn't surprise me if, after this selloff, we saw a pretty solid bounce from chips, but I think it is unlikely that they will lead the next leg of the bull market," said Charles Lemonides, chief investment officer at Valueworks. "They've had their day in the sun."

Chip stocks are notoriously cyclical, with regular booms and busts based on rising and falling demand

Fallout from the swift decline in stocks across the AI landscape in July has already begun to rear its head. Situational Awareness, the hedge fund led by Leopold Aschenbrenner, was forced to sell billions of dollars of tech shares to meet margin calls after those bets rapidly lost value. The fund had been an investor in companies tied to the AI boom, including semiconductor maker Sandisk Corp., which lost almost half its value in July after soaring 858% in the first half of the year.

Obviously, with those kinds of gains, investors are taking profits in stocks that have doubled, tripled or even quadrupled this year. But the stark shift in investor enthusiasm is an indication of the growing scepticism about the central thesis that had powered the rally.

Still, the industry's growth outlook over the coming year remains rosy, with analyst calling for earnings to continue to balloon at firms such as Nvidia Corp. and Broadcom Inc. Last week, Amazon.com Inc. and Microsoft Corp. reaffirmed their commitments to spending hundreds of billions of dollars on AI over the next year alone, with much of that cash earmarked for the makers of chips used in data centres.

The problem is the fundamental picture beyond that is coming into question. Chip stocks, particularly those that specialize in memory, are noto-

A gauge of realized volatility for the SOX over the last 60 days has soared to its highest reading since the start of the covid pandemic. The only other time it reached a similar level in the last two decades was during the global financial crisis.

Value destruction

The July selloff erased $2.2 trillion from the SOX's market capitalization. Particular losers included American depositary receipts of Taiwan Semiconductor Manufacturing Co., which fell 15% in July, erasing more than $380 billion in market value. The company raised its spending and revenue outlooks in the middle of the month.

TSMC was followed by Micron Technology Inc., where a 29% drop—its steepest monthly drop in more than a decade—erased $374 billion in valuation.

Finally, Intel Corp. sank 35% over the month, erasing about $247 billion. Intel's monthly drop was its biggest since September 2000.

In a reflection of how divergent chip performance has been, some major names rose over the month, including Nvidia and Broadcom.

raised quotas each month throughout the Iran war even as supply from the region remains constrained by the conflict. *Bloomberg* reported last week that Opec+ currently plans to hold levels steady for the rest of the year after the September hike.

While the increase is symbolic for now, it may give Saudi Arabia leeway to raise production once oil flows from the Persian Gulf return to normal, helping to replenish the world's depleted stockpiles. A supply squeeze triggered by conflict is pushing up the cost of fuels such as petrol and diesel, stoking fears of another spike in inflation.

President Donald Trump said this weekend the US will hold off new strikes against Iran after the Islamic republic and other West Asian nations told him they're working toward a deal.

An eventual supply boost by the Organization of the Petroleum Exporting Countries and its partners could help to rekindle a surplus that was expected to hit the oil market this year prior to the Iran war. There was a brief glimpse of that when a temporary surplus emerged during the recent Iran, with millions of trapped barrels flowing out of Hormuz.

The exit of the United Arab Emirates in May, following years of frustration with Opec-imposed limits, has also spurred speculation the group could one day be plunged into a contest over market share.

The sub-group of seven nations will continue to hold monthly meetings, with the next one scheduled for 6 September.

West Asian Opec+ members Saudi Arabia, Iraq, Kuwait and Iran were able to restore some output halted by the war during a June ceasefire between Tehran and the US, but the revival was stymied again when renewed hostilities once again disrupted Strait of Hormuz and spread to the Red Sea.

The group has raised quotas each month throughout the Iran war despite constraints in supply

The Yemen-based Houthis group linked to Iran has announced a blockade of Saudi ports, threatening the Red Sea export route the kingdom has used as an alternative to the Persian Gulf.

Opec+ reiterated concerns about attacks on energy infrastructure to supplies and lengthy periods of time required in repairs, cautioning that any such aggression—including the threat to maritime security—will "increase market volatility" and undermine the coalition's efforts at stabilizing the market.

The 188,000 barrels-a-day increase scheduled by Opec+ for September completes—if only on paper—the reversal of two layers of production cuts made in 2023 when the coalition was seeking to stave off a glut. Excluding the UAE's share, these curbs amounted to about 3.5 million barrels a day, though far less has been revived in reality as technical constraints prevent many countries from boosting output by as much as they're allowed.

Delegates said last week that after a September increase, output quotas are expected to remain steady until the end of the year, in keeping with plans to keep a third layer of idle supply halted after it was taken offline in 2022. The plan could

of Ukraine, data from the International Energy Agency indicate.

Kazakhstan has been forced to reduce production amid a series of attacks on ships loading oil at or nearby the Caspian Pipeline Consortium terminal on Russia's Black Sea coast, which handles about 80% of Kazakhstan's crude exports. In any case, the country has consistently flouted its Opec+ quota, limiting the relevance of any increases in its formal target. It pumped 1.9 million barrels a day in May, according to the IEA.

How much crude Opec+ permits members to pump next year will be heavily influenced by the results of a review of their maximum capacity levels. The audit, being conducted by Dallas-based consultant DeGolyer and MacNaughton Corp., is due to be completed in September and reviewed by minsters at their meeting in late November.

In June, Iraq warned it could consider following the UAE in exiting Opec—despite having helped create the organization in 1960—if denied a sufficiently high quota baseline, but subsequently tempered the threat.

NEWS IN NUMBERS

$600 mn
THE AMOUNT Amazon received in tariff refunds after the US Supreme Court ruled many of President Donald Trump's levies illegal.

23.66 bn
THE VOLUME of UPI transactions recorded in July 2026, up from 23.2 billion in May and 22.72 billion in June, according to NPCI data.

₹26.83 cr
THE PAYMENT sought by Department of Telecommunications from Vodafone Idea for alleged default in meeting 2022 spectrum rollout obligations.

$927 mn
WORLDWIDE TICKET sales of the Tom Holland starrer *Spider-Man: Brand New Day* in its opening weekend, including $355 million in the US and Canada.

3-3.6GW
THE PROJECTED range India's data centre capacity could reach by 2030, led by hyperscalers and AI-focused cloud players, an Axis Capital report said.

HOWINDIALIVES.COM

Petrol, diesel sales soar on weak rains

Compared to June, however, petrol sales fell 1.1% from 3.48 million tonnes. HT

Petrol and diesel sales by India's three state-run fuel retailers rose sharply in July as below-normal monsoon rainfall boosted fuel demand from farmers and motorists, preliminary industry sales data showed.

Petrol sales by Indian Oil Corp (IOC), Bharat Petroleum Corp Ltd (BPCL) and Hindustan Petroleum Corp Ltd (HPCL) climbed 9.7% to 3.45 million tonnes during July, compared with 3.14 million tonnes in the corresponding period a year ago.

The volume was also 15.1% higher than 2.99 million tonnes sold during July 2024 and 36.1% above the level recorded in the same period of 2023.

Compared to June, however, petrol sales fell 1.1% from 3.48 million tonnes.

Diesel sales, a key indicator of economic activity in India, rose 10.7% year-on-year to 7.12 million tonnes in July from 6.43 million tonnes a year earlier.

Diesel is India's most widely used fuel, powering freight transport, agricultural machinery and irrigation. Below-normal monsoon rainfall boosted irrigation demand during the peak sowing season. PTI

AFP

Heavy rains likely over Northeast, Himalaya foothills

The IMD has issued a low to moderate flash flood risk warning for certain parts of India

Vijay C Roy
vijay.roy@livemint.com
NEW DELHI

Rainfall activity is set to intensify over northeast India and the foothills of the central and eastern Himalayas over the next and Assam-Meghalaya is expected to ease to isolated to scattered showers during 3-4 August and 6-8 August.

In northwest India, Jammu & Kashmir, Ladakh, Gilgit-Baltistan and Muzaffarabad are likely to receive widespread rainfall between 3 and 6 August and again on 8 August. Himachal Pradesh and Uttara-

Tata Steel UK EAF project on track

Tata Steel UK is expecting to secure access to electricity for its 3.2 million tonnes electric arc furnace by 2029, company chief executive officer (CEO) T V Narendran said, noting that there is no delay in the construction of the project.

As part of its decarbonisation plan, the steel major is setting up the UK's largest low-carbon EAF (electric arc furnace) project at Port Talbot replacing the non-operational blast furnace plant of similar capacity with an investment of 1.25 billion pounds. In a virtual interaction, Narendran, who is also the managing director of Tata Steel, said the project is on track and will be ready by 2028. But the power supply may start in 2029. Talks are underway with National Grid—the power supplier—to work out solutions if the power supply can start early as Tata Steel UK (TSUK) will have to conduct trials before operationalising the project. PTI

NCLAT rejects DoT's claim appeal

The National Company Law Appellate Tribunal (NCLAT) has dismissed the appeal filed by the Department of Telecommunications (DoT) challenging the resolution plan for debt-ridden Rolta India Ltd, holding that the plan has already been approved and implemented. The DoT had challenged the resolution plan approved by NCLT while claiming statutory dues of ₹469.09 crore towards unpaid licence fees. A three-member NCLAT bench upheld the order of the Mumbai bench of the National Company Law Tribunal (NCLT), which on 15 December 2025, approved the ₹900-crore resolution plan submitted by Ashdan Properties for Rolta India, a multinational technology company. PTI

The swap facility has seen avid interest and attracted steady forex inflows since 8 June 2026. MINT

RBI's forex swaps garner $40.82 bn

The Reserve Bank of India (RBI) on Saturday said its concessional swap facility, introduced

In the first half of 2026 alone, Radisson signed 18 hotels and opened four properties. MINT

Radisson looks beyond metros

India has emerged as one of Radisson Hotel Group's strategic global growth engines and the company remains on track to reach 500

Assetz files IPO papers with Sebi

Real estate developer Assetz Ltd has filed preliminary papers with the Securities and Exchange Board Of India (Sebi) using the confidential route to raise around ₹1,200 crore through an initial public offering (IPO).

The proposed listing would mark the public-market debut of one of Bengaluru's fastest-growing residential developers, which counts Singapore-based investment fund AGP Partners as a key shareholder.

In a public notice on Saturday, the company said it has filed "the pre-filed draft red herring prospectus with Sebi and the stock exchanges... in relation to the proposed initial public offering of its equity shares on the main-board of the stock exchanges". PTI

to encourage foreign currency inflows, has attracted $40.82 billion till 31 July.

The swap facility has seen avid interest and attracted steady foreign exchange (forex) inflows since 8 June 2026, the central bank said in a statement.A strong mobilisation was witnessed through Foreign Currency Non-Resident (Bank) or FCNR (B) deposits.

Of the total inflows, FCNR (B) deposits accounted for $36.725 billion, while Overseas Foreign Currency Borrowings (OFCBs) contributed $2.575 billion while External Commercial Borrowings (ECBs) amounted to $1.516 billion.

With a view to strengthening the country's balance of payments and incentivising capital inflows, the RBI had announced a series of measures, including a facility for offering concessional swaps for fresh FCNR(B) deposits, OFCB and ECB inflows on 5 June.

Based on the data received from authorised dealer banks, the position of forex inflows mobilized till July 31, 2026, under the swap facility was $40.816 billion, the central bank said in a statement. PTI

four to five days, while easing across south peninsular India, the India Meteorological Department (IMD) said on Sunday.

The weather office has forecast isolated heavy to very heavy rainfall across the Northeast over the next five days and along the Himalayan foothills over the next four to five days. In the south, rainfall activity is expected to weaken, although coastal and south interior Karnataka may continue to receive isolated heavy to very heavy showers over the next two days.

In the Northeast, fairly widespread to widespread rainfall is likely over Arunachal Pradesh on 5 August, while Assam and Meghalaya are expected to receive widespread rain between 3 and 5 August. Nagaland, Manipur, Mizoram and Tripura are likely to witness widespread rainfall from 3 to 8 August.

Rainfall activity over Arunachal Pradesh khand are expected to witness widespread rain throughout 3-8 August.

The IMD has also forecast widespread rainfall over Haryana, Chandigarh, Delhi and Punjab during 3-6 August, east Uttar Pradesh during 3-7 August, and west Uttar Pradesh during 4-7 August, signalling active monsoon conditions across northern India.

Amid the widespread rainfall, the IMD has issued a low to moderate flash flood risk warning for parts of Himachal Pradesh, Jammu & Kashmir, Ladakh and Uttarakhand over the next 24 hours. It cautioned that surface runoff and inundation could occur in low-lying areas due to saturated soil conditions.

A similar flash flood risk has been flagged for districts in Kerala and coastal and south interior Karnataka, where continued heavy rainfall may trigger localised flooding and waterlogging.

hotels target by 2030, as it is betting on emerging urban hubs and regional towns, religious tourism destinations and hotel conversions to drive its next phase of expansion, Nikhil Sharma, managing director and chief operating officer, South Asia, said. Backed by strong owner confidence and growing demand beyond traditional metros, the company expects faster conversion of its hotel pipeline into operational properties over the next two years while expanding deeper into Tier II, III and IV markets–emerging urban hubs and regional towns–leisure destinations and religious tourism hubs. "Without question. India has evolved from being an important market to becoming one of Radisson Hotel Group's strategic growth engines globally," Sharma told *PTI* in an interview. He said the company's India strategy was focused on execution, noting that in the first half of 2026 alone, Radisson signed 18 hotels and opened four properties, taking its development pipeline to 98 hotels and its operational portfolio to 142 hotels. PTI

CAUTIOUS RBI LIKELY TO HOLD RATES

EXPERT VIEW

RAJANI SINHA

Respond to this column at feedback@livemint.com

Heightened geopolitical tensions and uncertainty have complicated the task for global central banks. With mounting concerns around energy prices and inflation, we have seen major central banks like the European Central Bank (ECB) and Bank of Japan (BOJ) go for rate hikes, even while the US Federal Reserve has remained on hold. The central banks of Australia, South Korea, South Africa, Indonesia and the Philippines have also raised rates in the past few months.

With looming uncertainties, the US Fed has removed forward guidance from its official statement, opting for flexibility to react to incoming data. The Reserve Bank of India (RBI) has also been signalling that its future action would be data-dependent.

Given the fluid macro backdrop, we feel that the RBI will maintain status quo in the upcoming monetary policy committee (MPC) meeting and wait to see how inflation and growth dynamics play out. RBI's tone is likely to be cautious to keep the markets prepared for higher rates if inflationary concerns aggravate.

The RBI governor has reiterated that its primary mandate is inflation control. India's consumer price index (CPI)-based inflation has increased steadily to 4.4% in June from 2.7% at the beginning of the year. There are concerns around volatile crude oil prices and their impact on India's fuel and overall inflation.

Deficient monsoon so far has also raised concerns about food inflation, which rose to 5.1% in June and is likely to increase further in the coming months. We expect food inflation to average a high of 7.5% in Q3 FY27 before moderating in Q4. For the full year, we expect CPI inflation to average 5%. So far, the concern is mainly over food and energy prices, led by supply-side factors.

Core inflation, excluding food and fuel, remains lower. In fact, core inflation is at a low of 2.9%, if we strip off precious metal prices from the index. While monetary policy cannot control supply-side inflation, the RBI would be wary of higher food, fuel and input prices getting entrenched, leading to higher inflationary expectations and broad-based inflationary environment. Wholesale price index (WPI)-based inflation surged 9.9% in June 2026, underscoring emerging inflationary risks. However, we still expect consumer inflation to remain within the RBI's upper tolerance limit of 6%. The uncertain macro-environment marked by the West Asia crisis, US tariff threats and likelihood of deficit monsoon has led to concerns around growth. However, so far, the Indian economy has been showing resilience as reflected by healthy momentum in high-frequency indicators like IIP, ISP (index of services production), core sector, bank credit demand and exports growth. However, there is no denying that there are concerns around higher input costs for the manufacturing sector. Moreover, investment and consumption in the economy could feel the adverse impact of uncertain macro-environment and rising inflation. With the impending domestic and external macro threats, we expect the GDP growth to moderate. However, we still expect it to remain healthy at around 6.7% in FY27. India's external sector is also showing resilience as it adapts to the fluid environment. After a weak FY26, India's goods exports have picked up, rising a robust 16% in Q1 FY27. The improvement is not just a reflection of higher crude prices, as exports excluding petroleum products also grew a strong 12% during the period. Services exports and remittances have also remained healthy. While current account deficit may widen in FY27, we expect it to remain comfortable at around 1% of GDP. A sharp rupee depreciation is a concern for the RBI. The Indian rupee has fallen by 5.5% since the West Asia crisis began. To be sure, weakness in other oil import-dependent Asian currencies like the Thai Baht, Philippine Peso and Indonesian Rupiah has been sharper. Rising US bond yields and further dollar strength could exert more pressure on the domestic currency. However, with the recently announced RBI measures, we are already seeing strong inflows coming in through FCNR deposits. foreign investments into debt and equity have also improved, as per recent data. Overall, the balance of payments (BoP) is likely to turn to a large surplus in FY27, from deficits recorded in the previous two years. In this uncertain environment, we expect the RBI MPC to maintain status quo in the August meeting as it closely assesses the incoming data. With the growth indicators still showing resilience, the RBI would be particularly watchful of inflation. The central bank would keep the option open for a rate hike later during the year, if there are signs of inflation getting broad-based.

> The RBI governor has reiterated that its primary mandate is inflation control

Rajani Sinha is chief economist at CareEdge Ratings.

Global insurers eye India opportunity

FROM PAGE 1

insurers. "Over the next two decades or so, India's insurance sector may see tremendous growth and these strategics want to play a part in that," the person added.

India's insurance sector's overall assets under management (AUM) were at ₹74.4 trillion, or about $780 billion, in FY25, with the total premium income rising to ₹11.9 trillion, or approximately $125 billion, according to the Economic Survey 2026. India's top insurer, Life Insurance Corp. of India, has an AUM of ₹57.29 trillion, about $600 billion.

Global players' interest points to the scope and under-penetration in insurance, which was 3.7%, per Press Information Bureau in April.

India raised its foreign direct investment (FDI) cap in insurance to 100% from 74% in May, giving overseas insurers a chance to own their Indian operations outright. While India has been on global insurers' radar for years, bankers said the FDI reform has accelerated the conversations.

"Global strategics have had India firmly on their radar for years, with players transacting and evaluating options aligned with their strategic imperatives prior to the change," said Prashant Maheshwari, managing director at Rothschild & Co. "The FDI relaxation has provided further impetus: it removes the need to find a local JV partner and de-risks capital allocation and governance for a global player."

Insurance sector's overall AUM were at ₹74.4 tn in FY25. ISTOCKPHOTO

"It has led to a widening of the pool of credible players and shifted the tenor of discussions from whether to enter or enhance India presence to how and at what price," he added.

The shift is already showing. Germany's Allianz, which exited its long-standing partnerships with Bajaj Finserv, formed a 50:50 joint venture with Jio Financial Services to re-enter India's insurance, a move first announced last year. And Hong Kong-headquartered Prudential agreed to take 75% in Bharti AXA Life Insurance in May.

There are also many foreign shareholders seeking greater control of their Indian businesses, said the people.

> The move to hike the FDI limit gave overseas insurers the option of owning their Indian operations outright

Australian insurer QBE recently got regulatory nod to acquire its partner's stake and move to 100% ownership of Raheja QBE General Insurance, while the UK's Aviva has announced plans to buy out Dabur Invest Corp.'s stake in Aviva Life. US-based Liberty Mutual has raised stake in its JV to 74%.

"Specifically, among strategics that already have a presence, we are seeing that in quite a few instances they are either increasing their stakes or completely buying out their JV partners," said Harsh Khemka, partner in the corporate and commercial practice group, Khaitan & Co.

For decades, foreign firms needed an Indian partner as overseas ownership was first capped at 26% and was progressively eased to 49% and 74%, before it hit 100%. "That was, in a way, the price of market entry for them," Khemka said, adding that joint ownership often created friction around capital deployment, tech, products and control.

The interest in India goes beyond insurers with prior exposure. Like Canada's Manulife has agreed on a life insurance JV with Mahindra, while global giant Chubb mulls a strategic re-entry into India's booming $130 billion insurance market after two decades, *Moneycontrol* reported.

India's appeal is high also as the developed markets offer lower growth. "Slow growth, capital-heavy home markets in Europe and developed Asia are pushing large insurers to redeploy capital into higher-growth economies," said Maheshwari. Rising incomes and protection gaps are also seen as structural drivers.

Government's 'Insurance for All by 2047' goal and rapidly digitizing distribution have added to the opportunity.

Maheshwari sees deals pick up over 12-18 months, as global firms move beyond evaluation and regulatory planning.

mansi.verma@livemint.com

For an extended version of this story, go to livemint.com.

DROUGHT AND DELUGE: J&K'S NEW CLIMATE REALITY

Amid rainfall deficits, the territory is being battered selectively by a series of cloudbursts

Deficit rains

While J&K has been hit by extreme climate events, they have come amid consistent monsoon deficits

Details of rainfall in Jammu and Kashmir

Year	Rainfall (mm)	Deficit (%)

The debris of a shopping complex that was destroyed by cloudburst-triggered flash floods along the Sukhnag stream in Beerwah, Budgam district, on 21 July.

PHOTO BY SPECIAL ARRANGEMENT

MANU CHOUDHARY/MINT

Irfan Amin Malik
feedback@livemint.com

SRINAGAR

Around 3.30pm on 21 July, 22-year-old Aadil Qayoom Wani had just returned to his hosiery and garments shop in Beerwah, Budgam district, after buying fresh stock worth ₹1.5 lakh. He had barely settled down with a cup of tea when people began shouting that water was rushing down the Sukhnag stream.

Within minutes the stream became a roaring torrent. "There was not enough time to remove anything from the shop. We barely managed to save our lives," Wani recalled.

The two-storey shopping complex worth crores of rupees, which his family built in 2011 along the Sukhnag embankment, had survived the 2014 floods undamaged. This time the water undercut its foundation and the structure collapsed into the torrent. Merchandise worth ₹8.5 lakh was crushed under concrete slabs or swept away. Hours later, sifting through the debris, Wani found only twisted steel and broken concrete where his family's livelihood once stood.

"None of us imagined it could happen so quickly," he said.

> Cloudbursts and intense rainfall in J&K have become more frequent, more destructive and more widespread at the height of the tourist and pilgrimage season.

What is unfolding across Jammu and Kashmir is no longer a rare mountain calamity confined to remote valleys. Cloudbursts and intense short-duration rainfall events have become more frequent, more destructive and more widespread, striking both rural catchments and urban centres at the height of the tourist and pilgrimage season.

While the Himalayan region has spent several consecutive years grappling with rainfall deficits, shrinking rivers and dry winters, those dry years are punctuated by short, violent bursts of rain that unleash flash floods and landslides within hours.

The India Meteorological Department's (IMD's) Srinagar centre recorded around 25 cloudburst or cloudburst-like incidents in July this year. (The IMD defines a cloudburst as over 100mm of rainfall within one hour over a highly localised 20-30 sq. km area.)

About 13km away in Khag, the same Sukhnag stream claimed the life of Shabir Ahmad Poswal as he tried to cross the flooded stream. He was one of at least 28 people killed in the first three weeks of July as repeated cloudbursts, flash floods and landslides battered the Union Territory. Roads, bridges, homes, power lines and water networks were damaged across multiple districts.

Further south, in Pahalgam, torrents tore through the Overa stream in early July. Hotels and tourist huts were inundated, and roads and power infrastructure were damaged, leaving 11 villages cut off. At the peak of the tourist season and the Amarnath yatra, around 20 hotels suffered heavy damage and a 100-metre stretch of road simply vanished.

In Srinagar, barely two hours of rain paralysed the summer capital. Residents waded through knee-deep water. Shops reported crore-scale losses after the drainage network buckled. Even roads built under the ₹3,600-crore Smart City project turned into stagnant pools. The Srinagar municipal commissioner acknowledged that the rainfall had exceeded the system's design capacity.

The frequency of extreme events is rising but the country still lacks a comprehensive long-term cloudburst database. Improved monitoring, satellite observations and media coverage have made more incidents visible than in the past, yet the evidence points to a genuine upward trend rather than merely better reporting.

A 2024 study conducted by IMD scientists documented 2,863 extreme weather events across J&K between 2010 and 2022, including 168 flash floods linked to cloudbursts and heavy downpours. These events, along with lightning and heavy snowfall, accounted for most of the 552 weather-related deaths recorded in that period. Similarly, a 2025 Geological Survey of India study catalogued 68 cloudburst and heavy-downpour events between 2011 and 2022 and found annual incidents rising steadily, peaking at 28 in 2022.

Scientists have long regarded cloudbursts as rare but natural features of Himalayan weather. Yet across J&K, extreme rainfall is becoming more frequent, more intense than before.

The region has swung between prolonged dryness and a sudden deluge. Per data compiled by Kashmir's independent weather analyst Faizan Arif, 2024 was J&K's driest year in nearly five decades—870.9mm against a normal 1,232.3mm, a 29% deficit and the fifth straight below-normal year.

Arif noted that such dry spells leave the ground hard and unyielding. "Dry soil absorbs less water, degraded wetlands lose their capacity to store floodwater and drainage systems are more easily overwhelmed when intense rain finally arrives," he told *Mint*.

Scientists describe this pattern as climate whiplash: long dry periods followed by extreme rainfall that the land can no longer handle.

Last year ranked among the Union Territory's deadliest for weather disasters. Monsoon rains, cloudbursts, flash floods and landslides claimed 199 lives and destroyed nearly 8,000 houses, according to the ministry of home affairs. "When I was young, cloudbursts used to happen once or twice a year in remote hilly areas, but now there are reports of cloudbursts every month," chief minister Omar Abdullah said at a press briefing, calling for climate-resilient infrastructure, better flood management and scientific planning.

Mint contacted Javed Ahmad Rana, J&K minister for Jal Shakti, Forest, Ecology and Environment, seeking his response. Repeated calls to the minister remained unanswered.

mint KEY NUMBERS

25

The number of cloudbursts or cloudburst-like incidents recorded by IMD Srinagar in July alone

2,863

Extreme weather events recorded across Jammu & Kashmir between 2010 and 2022

29%

The rainfall deficit in Jammu & Kashmir in 2024—the region's driest year in nearly five decades

FUELLING STORMS

Climate change is changing the conditions that produce these storms. The western Himalayas have warmed roughly twice as fast as the rest of the subcontinent since 2000.

"For every 1 degree C rise in temperature, the atmosphere can hold about 7% more moisture," explained Mukhtar Ahmad, director of the IMD's Srinagar centre. "That additional moisture provides more fuel for storms, allowing them to produce heavier rainfall over shorter periods."

Rising Arabian Sea surface temperatures strengthen the flow of moisture into northwestern India. The Tibetan Plateau has also warmed rapidly, changing upper-atmospheric circulation, while the Subtropical Westerly Jet now retreats later in the season. Together these shifts increase the overlap between Western Disturbances and the southwest monsoon, creating prolonged periods of moisture convergence that favour high-intensity rainfall over small areas, say experts.

The Himalayas further amplify the process through orographic lifting. Moisture-laden air from the Arabian Sea encounters the mountain ranges and is forced upward. As the air rises it cools rapidly, condenses into towering storm clouds and can release enormous quantities of rain over a highly localised zone.

Mohammad Muslim, assistant professor of environmental science at the University of Kashmir, noted that a similar interaction of monsoon moisture and Western Disturbances contributed to the devastating 2014 floods and is likely playing a role this year. "We are now working with the Indian Institute of Tropical Meteorology, Pune, on how climate and land-use change are reshaping regional weather," he told *Mint*.

Even a strengthening El Niño, which is expected to suppress the overall Indian monsoon, does not prevent these extremes. These intense episodes are becoming destructive even in years when the seasonal total remains below normal.

El Niño typically weakens the large-scale monsoon circulation by changing atmospheric patterns over the equatorial Pacific, often resulting in below-normal seasonal rainfall across the country. "A season can end with an overall rainfall deficit yet still experience a few episodes of extremely heavy rainfall that trigger flash floods and landslides. Rainfall distribution is just as important as the seasonal total," Arif explained.

This year the monsoon began with a significant deficit across much of India, but later intensified over several regions, producing heavy to very heavy rainfall and flooding. The occurrence of floods during an El Niño year highlights how rainfall can still be concentrated into short, intense episodes.

CHANGING TERRAIN

The Himalayas are considered vulnerable because of their steep terrain, fragile geology, rapidly flowing rivers and expanding human settlements and infrastructure.

Ground-level changes have also stripped away the natural buffers that once moderated such storms. For generations, Kashmir's forests slowed runoff, its wetlands (often described as the kidneys of the earth) stored excess water, and its floodplains gave rivers room to spread. Much of that protection has disappeared.

For example, a University of Kashmir study found nearly 20 wetlands around Srinagar have vanished over five decades, while the wetland area in the Jhelum basin had shrunk from 288.96 sq. km in 1972 to 266.45 sq. km by 2018.

Many colonies inundated during the 2014 floods had never flooded before, researchers found, because the wetlands that once absorbed surplus water had been reclaimed or degraded. The Comptroller and Auditor General has documented the loss of hundreds of lakes since 1967, erasing nearly 2,900 hectares of flood storage.

Liked this story? Share it by scanning the QR code.

Global Forest Watch data show the region lost roughly 4,090 hectares of tree cover between 2001 and 2022. "Deforestation or construction do not cause cloudbursts," said Shakil Ahmad Romshoo, a leading Kashmir earth scientist, "but they increase the severity of flash floods, landslides and debris flows that follow."

Healthy catchments with intact vegetation can moderate runoff to some extent. Degraded catchments convert a much larger proportion of intense rainfall into rapid surface flow. Urbanized areas can generate 20-60% more runoff than natural landscapes during the same rainfall event.

Where people raise structures also matters as much as how much it rains. "When the water level in the rivers declined during dry years, people started encroaching on their banks and constructing houses," said Showkat Ali, a government teacher in Poonch. People who encroached on the banks of the Suran River in Poonch during drier years paid a heavy price when the water returned with force.

This July, a single cloudburst sent mud, rocks and floodwater through a residential house beside a stream in the Loran area of Poonch, killing eight members of one family. These tragedies are the predictable consequence of placing people and property in the path of rivers that still remember their natural courses.

The economic toll stretches far beyond the immediate loss of life and property. Tourism is usually the first sector hit. July's floods in Pahalgam damaged hotels, washed away roads, disrupted power and cut off villages at the height of the season and the Amarnath Yatra.

Every day of disruption costs hotels, transport operators, guides, pony owners, restaurants and the many small businesses that depend on visitors. Agriculture, which supports nearly 70% of the population, faces a different kind of damage. Intense rainfall washes away topsoil, damages orchards, destroys irrigation channels and trout farms, and triggers landslides that permanently change slopes.

The sector also depends on a single highway that is routinely blocked by landslides, delaying the arrival of produce in markets. Last year's monsoon floods alone caused agricultural losses estimated at ₹209 crore. Hydropower infrastructure is equally vulnerable. An intense downpour in early July sent mud, boulders and debris crashing into the under-construction 540 megawatt (MW) Kwar project site in Kishtwar.

The 2014 floods, which killed more than 100 people and caused losses estimated at ₹1 trillion, remains a crystal clear reminder of how extreme rainfall can cripple an entire economy.

According to climate activists, stricter land-use zoning is essential to keep construction off flood plains and unstable slopes. Early-warning systems must reach villages in real time rather than stopping at district headquarters. Engineered protection works need to be paired with the restoration of forests, wetlands and catchments so that the landscape can once again absorb and channel intense rainfall.

"We need a sustainable tourism policy on priority," said Kashmir-based climate activist Raja Muzaffar Bhat. "There should be limits on the number of tourists and pilgrims visiting high-altitude areas, and governments must avoid further infrastructure development in fragile mountain regions."

Whether the authorities will take such difficult decisions in the interest of the greater good is anybody's guess.

How health insurance portability becomes a trap for policyholders

Experts say portability remains a valuable consumer right, but only if policyholders follow the process carefully

Aprajita Sharma & Deepti Bhaskaran
NEW DELHI/BENGALURU

Actor and singer Suchitra Krishnamoorthi recently took to social media after her health insurance claim was rejected over alleged non-disclosure of her medical history. She told *Mint* the dispute arose after she ported her policy to ICICI Lombard General Insurance Co. Ltd at the insistence of her bank relationship manager about 1.5 years ago. "The manager also told me I would get continuity benefits from my previous policy and that I didn't have to make any fresh medical disclosures," said Krishnamoorthi. After nearly 30 years of having health insurance with no prior claims disputes, the rejection came as a shock. She has since approached the insurance ombudsman.

ICICI Lombard, however, maintains that the policy was received as a fresh proposal. "It came to us as a fresh policy with a good health declaration with no adverse disclosures. There was no trigger for any medical underwriting. Further, the claim submitted was for diagnostic and OPD expenses, which are not covered under the policy, as the insured had not opted for the OPD cover," said Girish Sehgal, chief-health underwriting and claims, Customer Service and Operations, ICICI Lombard.

Krishnamoorthi is not alone. New Delhi-based Lokesh Sharma said his 69-year-old father was sold what he believed was a ported health policy every year for three years. The family discovered otherwise only after a claim was rejected. "My father has had health insurance through his bank since 2019. When the premium rose from ₹70,000 to ₹1 lakh in 2022, we decided to discontinue it. The bank relationship manager connected us with a representative of the insurer who suggested switching to another product within the same company, assuring us that no fresh disclosures would be needed and the premium would be lower. We believed it was a port. But when we filed a claim, it was rejected on waiting period grounds because the policy had been issued as a fresh policy," Sharma told *Mint*.

The insurance ombudsman ruled in favour of the insurer because the policy had been issued afresh, making the claim subject to a waiting period. The family now plans to move consumer court.

"My father genuinely believed the policy was being ported. The company has since terminated the employee who sold him the policy," Sharma said.

Introduced in 2011, health insurance portability allows policyholders to switch insurers or products without losing continuity benefits, including credit for waiting periods already served and accumulated no-claim bonus. But according to Keshav Jain, director, Rajesh Chetan Insurance Brokers, the system is sometimes misused.

"Since porting carries little or no commission, policies that should ideally be ported are often booked as fresh sales. We have handled several such cases during claims consultancy. Customers rarely examine the policy certificate to verify whether portability benefits have actually been carried forward," he explained.

To understand where things go wrong, it's worth first looking at how portability works and the benefits it is meant to provide.

How portability works

To port a policy, customers must apply 40-60 days before renewal. The new insurer retrieves policy details through the Insurance Information Bureau of India (IIB), a data repository promoted by the Insurance Regulatory and Development Authority of India (Irdai).

"Earlier, the portability process depended largely on insurers exchanging information among themselves, which often resulted in incomplete data, delays and customer complaints. That's why Irdai mandated that every portability request be routed through the IIB. It serves as a common repository and exchange platform for underwriting and claims data, and if any information is missing, IIB obtains it from the existing insurer within prescribed timelines," explained Mukund Kulkarni, chief business officer, life and health, IIB.

Health insurance portability lets policyholders switch insurers without losing continuity benefits

The IIB gives insurers access to underwriting records, medical disclosures, claims history, waiting periods already served and other policy details. Existing insurers must share information within 72 hours, while the new insurer must decide within five days of receiving complete records.

"Many times, we discover that customers have not made appropriate health disclosures or disclosed their claims history after reviewing information available through the IIB. That helps us underwrite porting requests better," said Bhabatosh Mishra, director, underwriting, products and claims, Niva Bupa Health Insurance.

If approved, the new policy certificate explicitly records continuity benefits, including waiting periods already served, no-claim bonus, continuity of sum insured and the moratorium period.

After 60 months of continuous coverage—even across insurers through portability—claims generally cannot be challenged for non-disclosure except in cases of fraud. If this continuity is missing from the policy certificate, experts say it should be treated as a red flag.

Why insurers discourage portability

Waiting periods protect insurers from immediate claims. When waiting periods are waived during a port, insurers offset the added risk by introducing other safeguards.

"These include mandatory deductibles, restrictions on higher sum insured and lower incentives for distributors," said insurance consultant Akshay Bansal.

Mayank Gosar, founder and chief executive officer of Softcon Capital, shared examples of insurer-specific portability rules that included deductibles in the case of HDFC Ergo General Insurance Co. Ltd and mandatory step-up in low sum insured policies and caps on high sum-insured policies in the case of Tata AIG General Insurance Co. Ltd.

From an insurer's perspective, ported customers carry a higher risk, prompting insurers to exercise greater caution. And this should also make consumers cautious of agents who aggressively recommend portability.

What policyholders should do

Experts say portability remains a valuable consumer right, but only if policyholders follow the process carefully and verify that the policy has actually been issued as a ported policy. "If you verify every detail before signing a cheque, why not do the same while buying an insurance policy?," Mishra asked.

Policyholders should also not assume that information from the previous insurer is automatically transferred via the IIB portal even though it's mandated by regulations. "In the absence of a dedicated reporting mechanism to Irdai, the possibility of portability transactions occurring outside the IIB-mandated platform cannot be entirely ruled out," added Kulkarni.

"The most common reasons for claim rejection under ported policies are non-disclosure of diseases and disputes over pre-existing disease waiting periods. More than half of the rejected claims in ported policies arise due to these reasons," said Shilpa Arora, co-founder and chief operating officer, Insurance Samadhan.

Experts advise policyholders to make fresh disclosures when porting, even for illnesses developed after buying the original policy.

Such conditions are not treated as pre-existing because the original policy inception date is considered for continuity benefits, although insurers may impose permanent exclusions after underwriting, Mishra said.

Portability is a valuable consumer right, but it is not paperwork-free. Experts recommend making fresh disclosures, preserving records from the previous insurer, checking that continuity benefits appear in the policy certificate and avoiding switching solely because another policy is cheaper, especially after claims or developing medical conditions.

aprajita.sharma@livemint.com

Scan the QR code to read an extended version of this story.

Porting your health insurance? Read this first

From continuity benefits to disclosure requirements, here are the key rules, restrictions and red flags every policyholder should know.

What porting means

- To switch your health insurer without losing continuity benefits
- It allows migration to another product with the same insurer
- Credit for waiting periods already served
- Moratorium period continues from the original policy start date
- Available only at the time of policy renewal

Know the limits

- Continuity applies only to the existing sum insured
- Higher cover gets a fresh waiting period
- New insurer can impose underwriting conditions on some diseases
- Portability is not automatic; fresh disclosures to the new insurer are required

NOTE: Don't port just for a lower premium. Verify proposal form, policy schedule and Certificate of Insurance. Portability benefits must reflect in writing.

Red flags to watch

- Agent says no fresh disclosures needed
- Policy is not ported but is issued afresh
- Continuity benefits are missing from the policy certificate
- Waiting periods apply at the time of claim
- Intermediary earns a commission on porting the policy even though it is prohibited by Irdai

How insurers discourage portability

- Mandatory deductibles in select plans
- Mandatory step-up in low sum insured policies; limited increase in others
- Stricter underwriting than in fresh policies
- More rigorous scrutiny of claims under the ported policies

"Portability should be tracked as a separate segment. Analysing its claims and underwriting experience could show whether the framework is working as intended."

Mukund Kulkarni
Chief business officer, life and health, Insurance Information Bureau of India

Sample policy certificate: full continuity for named ailments; one-year pre-existing disease wait remains

PORTABILITY DETAILS OF THE INSURED

Previous Insurer: XYZ Health Insurance Pvt. Ltd.

Name of the insured	First policy number	Expiry policy number	First enrolment date	Expiry policy sum insured
XYZ Sharma	[illegible]	[illegible]	[illegible]	[illegible]
ABC Sharma	[illegible]	[illegible]	[illegible]	[illegible]

CONTINUITY BENEFIT APPROVED BY COMPANY

Name of the insured	Named ailment wait period	Pre-existing disease wait period
XYZ Sharma	[illegible]	[illegible]
ABC Sharma	[illegible]	[illegible]

*Family floater policy covering two members

mint
PRATEEK KUMAR/MINT

POWER POINT
DHIRENDRA KUMAR

We welcome your views and comments at mintmoney@livemint.com

BIKE OR FERRARI? THE CASE FOR SPENDING WISELY

In a recent podcast, software entrepreneur David Heinemeier Hansson, better known as DHH, made a claim that would make people like me wince. Whoever builds something worthwhile and earns a great deal from it, he argued, carries a sort of moral obligation to spend some of it on beautiful things, to send some of that fortune to Italy and have its craftsmen build you a Ferrari. There is no shame in wanting to better your material lot, he said, and a world in which nobody ever bought such a car would be a poorer place for everyone, including the millions who only ever admire one from the roadside. We need beautiful Ferraris, and other luxury goods, as he put it, "even if we don't own them."

Hansson is worth listening to here for a reason that is easy to miss. He is not one of those founders who built a company, sold it in a dramatic exit, and now has a fortune that needs to be spent. He runs a software business that has stayed profitable, independent and deliberately unfashionable for nearly two decades, the sort of enterprise the venture capital (VC) world dismisses sneeringly as a mere 'lifestyle business'. He has never chased hypergrowth, never taken the company public, and ignored the soaring valuations his peers obsessed over. The Ferraris arrived on top of all that refusing.

I was reminded of a column I wrote a few years ago about a young man who had just started earning and desperately wanted a ₹2.5 lakh motorcycle. Everyone offered him the standard, cautious advice, complete with calculations of how long he would need to save for it. The logic was impeccable: wait, invest the difference, let it compound, and buy the machine when the numbers, rather than desire, said yes. What none of that arithmetic could capture was the joy of owning that motorcycle at twenty-three, with the evenings and open roads that belong to that age and no other.

However, I argued the opposite. If he followed the standard advice, he would be 30 before he owned the motorcycle, and by then the desire and the joy may have faded. Buy it now, I told him, and break the rule a little, because the rule is just a means to an end. So I am not, and have never been, the columnist who insists that every rupee of pleasure be postponed to some virtuous future.

The car stands in the garage but the discipline that paid for it stays invisible

All this makes the Ferrari case more interesting. What makes DHH's advice good comes not from extravagance but from twenty years of behaving in a decidedly un-Ferrari manner beforehand. The car is the last scene of a long story that is otherwise all about patience, restraint and the refusal to follow easier, flashier paths.

The difficulty is that the car, and his statement about it, is the only part people notice. The car stands in the garage but the discipline that paid for it stays invisible, so the world admires the prize and forgets the hard work. The lesson people draw is precisely the wrong one.

The motorcyclist and the Ferrari owner are not opposites, though. They are the same person at two ends of a single life, each matching his spending to the stage he has reached. The figures differ, a motorcycle here and a Ferrari there, but the question underneath is the same one every earner faces: have I built enough to have earned this, or am I reaching for the reward before the work? The young man should not defer a modest joy he can comfortably afford, because the habit of living is as important as the habit of saving. The older man should not have reached for his reward before he had built the thing that produces it. The mistake in both directions is one and the same: spending that has fallen out of step with where the spender is.

Even so, there is something appealing in DHH's insistence that beautiful things ought to exist at all, and that somebody must pay for them to be made.

A life measured only in the arithmetic of compounding, in which no sum is ever spent because every sum could always grow a little more, has missed the point of having built anything at all. So buy the Ferrari, by all means, on the day you become the person who has earned it. Until then, it's fine to admire one zooming past, and getting on with the un-Ferrari years that are the real work.

Dhirendra Kumar is founder and chief executive officer of Value Research, an independent investment advisory firm.

Yen traders brace for US-Japan action

Bloomberg
feedback@livemint.com

Currency traders are on high alert for more joint intervention by Japan and the US when trading gets underway in Asia on Monday after coordinated operations in Tokyo and New York last week triggered a dramatic rebound in the yen.

Japan's Finance Ministry and the US Treasury Department of New York trading on Friday, the strongest since early May. Before that it was hovering within a whisker of the weakest levels since 1986 near 164 against the greenback.

The currency has been under pressure from rising oil prices, Japan's persistent budget deficits and a yawning interest-rate gap with the US and other major economies. The depreciation has sounded alarm bells in Tokyo, with ris-

How NPS Tier II capital gains are taxed

Parizad Sirwalla

I would like to know how I can determine the capital gains after withdrawing money from my NPS Tier II account. I cannot find any option on the eNPS portal to view or download a capital gains statement. My pension fund manager is HDFC Bank. How will the capital gains from an NPS Tier II withdrawal be taxed?

—Name withheld on request

computed manually on a unit-wise basis, potentially using the first-in, first-out (FIFO) method, depending on the timing and nature of contributions and withdrawals. For assistance, you may wish to contact your pension fund manager.

There is also an alternative view that the gains may be taxable as ordinary income under the head "Income from Other Sources."

Under this interpretation,

ment are now working together to a degree unseen in decades to shore up the currency, raising the stakes for anyone betting against it. Finance Minister Satsuki Katayama is set to announce as early as Monday that the two governments are working in tandem, according to a person familiar with the matter, reinforcing a partnership that Treasury Secretary Scott Bessent has signalled indirectly but forcefully via the media.

While many in the market still question the capacity of authorities to change the long-term trajectory of the yen in the $9.5 trillion-per-day currency market, there is no doubt of their power in short bursts. In just two days at the end of last week, they reversed more than two months of losses in the yen, using a combination of direct purchases in the market, calls by officials to banks that deal in the currency and jawboning from Bessent and Katayama.

"It seems likely that authorities would intervene further in coming days if the yen begins to unwind the recent move, as was the case in May of this year," Goldman Sachs Group Inc. strategists including Kamakshya Trivedi wrote in a note. "We continue to think intervention is an effective tool for authorities to buy some time before fundamental factors turn more positive."

The yen was quoted at 157.40 to the dollar at the close

The depreciation has sounded alarm bells in Tokyo, with rising import costs squeezing businesses and consumers. BLOOMBERG

ing import costs squeezing businesses and consumers.

A failure to arrest the drop would have impact that goes far wider than Japan as turmoil in the nation's financial markets tends to spill out globally.

"The significance of recent developments may not be the intervention itself, but the message it sends: markets are increasingly coming to believe that excessive yen weakness is no longer viewed as solely Japan's problem," said Masayuki Nakajima, senior currency strategist at Mizuho Bank in London.

The Income-tax Act does not contain specific provisions governing the taxation of withdrawals from an NPS Tier II account. As a result, the tax treatment has to be determined based on general principles of taxation, and differing views exist on the issue.

Under the Pension Fund Regulatory and Development Authority (PFRDA) framework, subscribers choose an asset allocation when opening an NPS account. Investments are made in units whose net asset value (NAV) changes over time.

ASK MINT
TAXATION

One view is that a withdrawal amounts to redemption of these units, with any resulting gain or loss taxable under the head "Capital Gains."

Since Tier II investments are typically diversified across equity, corporate bonds and government securities, and do not attract securities transaction tax (STT), they may not qualify as equity-oriented investments for tax purposes. Accordingly, a holding period of 24 months may be applied to determine whether the gains are short-term or long-term.

At present, the eNPS portal does not provide a separate capital gains statement. It generally offers transaction and contribution statements, scheme-wise unit holdings, NAV details, and withdrawal or redemption details. As a result, capital gains may need to be only the accretion—the difference between the redemption value and the amount invested—would be taxable. However, there are no explicit provisions in the Income-tax Act supporting this treatment either.

Parizad Sirwalla is partner and head, global mobility services, tax, KPMG in India.

Do you have a personal finance query? Send in your queries at **mintmoney@livemint.com** and get them answered by industry experts.

OUR VIEW


REUTERS

It's time for some tough talk by RBI on inflation

Data on India's economy shows that its growth versus inflation trade-off has been shifting inexorably. The central bank's Monetary Policy Committee should act before it gets too late

The six members of the Reserve Bank of India's (RBI) Monetary Policy Committee (MPC) are scheduled to meet in Mumbai on Monday for the third of their bi-monthly meetings this fiscal year. As always, the MPC has three options. Hike, hold or snip the policy rate of interest. Till as recently as April, the talk was about whether it would cut RBI's repo rate or keep it unchanged. Raising it was seen as an unlikely option. It is a measure of how sentiment has changed that this time round, there is hardly any talk of rate reduction. Instead, it is largely about whether the MPC should maintain the *status quo* or go in for a hike. Recall, the last time monetary policy was tightened was in February 2023, when, under former governor Shaktikanta Das, the repo rate was increased to 6.5%, after which it was kept unchanged at 6.5% for 11 consecutive meetings. Then in February 2025, under Das's successor Governor Sanjay Malhotra, the MPC unanimously decided to lower it to 6.25%. This was followed by a series of rate cuts till December 2025, when the repo was reduced to the current 5.25%. The rationale was unassailable. India's GDP growth for 2025-26 was projected at 7.3% and retail inflation at 2%, well below the mid-bit. At the June MPC huddle, inflation was projected significantly higher at 5.1%, but real GDP growth for 2026-27 was pegged only slightly lower at 6.6%. Despite this, the MPC opted to keep both its rate and 'neutral' stance unchanged for the third time in a row. The net result? June saw people's cost of living gain pace to an 18-month high, even as wholesale inflation was a breath away from double digits at 9.9%. At the same time, growth remains satisfactory, with even conservative estimates placing it above 6.5% this fiscal. Admittedly, retail inflation last recorded at 4.4% could count as price stability, given RBI's central target of 4%. Yet, the portents are clear. It is only a matter of time before the wholesale flare-up affects shopping bills. High oil prices, insufficient rains, ample liquidity and a skittish rupee mean the odds of price relief are bleak.

Under these circumstances, the MPC faces a stark choice: hold the rate of interest at which it lends banks short-term funds steady and risk a worse inflation scenario, or charge more and risk slowing credit offtake and GDP growth. On paper, there is a strong case for a repo hike on 5 August. It is also true that RBI could not quell the last outbreak of inflation within its three-quarter limit. This year's supply snags differ, but like then, India's central bank stares at too

THEIR VIEW

A hunch should not get to drive economic policy: it's far too risky

Economics may sound like common sense but that mustn't tempt countries to brush aside expertise

KAUSHIK BASU
is a professor of economics at Cornell University and a former chief economic advisor to the Government of India.

During the seven years I served as chief economic advisor to the Government of India and as chief economist at the World Bank, I came to appreciate what a strange discipline economics is. Parts of it amount to little more than organized common sense, which is why political leaders with no formal training can sometimes make policy decisions every bit as sound as those of professional experts.

Yet, other parts are as precise as engineering. In these domains, letting politicians make policy unaided is like asking an accountant to design a bridge. Some of the gravest policy mistakes occur when political leaders venture into territory that demands professional expertise. India's disastrous demonetization in 2016 offers a striking example. With barely four hours' notice, 86% of the country's currency in circulation ceased to be legal tender, ostensibly to curb "black money" and corruption. The economic damage was enormous: markets were thrown into disarray, India's economic growth slowed for four years and youth unemployment surged to 26%.

US President Donald Trump's use of tariffs as a bargaining tool is another example. If tariffs are predictably low, firms will invest in businesses built around cross-border trade. If they are predictably high, they will invest in domestic production, confident that they are shielded from international competition. But when tariffs are repeatedly announced, suspended, renegotiated, exempted and raised as a political weapon to extract concessions or punish other countries, businesses become reluctant to invest in either. The US has paid a heavy price for this policy uncertainty in the form of higher inflation and slower economic growth.

The area in which the precision of economics is perhaps most evident is auction design. In most auctions, bidders do not offer the maximum amount they are willing to pay. If you value a painting at $1,000, you are likely to bid substantially less, hoping to buy it for less than you think it is worth. This raises a fundamental question: Is it possible to design an auction in which every bidder offers exactly what the item is worth to them?

Nobel laureate economist William Vickrey answered this question in 1961. In what is now known as a 'Vickrey auction,' bidders submit sealed bids without knowing what others have offered. The highest bidder wins, but pays only the second-highest bid. The remarkable feature of Vickrey's model is that each bidder's best strategy is to bid the highest price they are willing to pay.

To understand why, imagine yourself as one of the bidders. There is no benefit in bidding more than the item is worth to you; if someone else bids just below your offer, you will win but pay more than you think the item is worth. Nor is there any benefit in bidding less than your true valuation. If someone offers more than you do but below the maximum you would have been willing to pay, you lose again.

I witnessed the power of auction design during my time as chief economic advisor to India's government under then prime minister Manmohan Singh. In 2010, the government prepared to sell licences for 3G spectrum, which officials estimated would fetch $7 billion. I recommended that instead of relying on the traditional administrative process, the government let a professionally designed auction determine the market value of these licences.

Singh, himself an economist, agreed. The auction ended up raising nearly $15 billion. Had the spectrum been allocated through the conventional administrative process, the government would have forfeited roughly $8 billion—money that would otherwise have gone to private firms.

Anti-corruption policy is another area where economic expertise is indispensable. Corruption has long plagued India, with the alleged embezzlement of donations at the Ram Temple in Ayodhya showing that even the most revered institutions in the country are not immune. Indians want corrupt officials brought to justice, but combating corruption requires more than moral exhortation or harsher penalties. It demands an understanding of incentives, markets and institutional design.

Taiwan's experience in the early 1950s is a case in point. Like merchants elsewhere, Taiwanese businesses routinely failed to record sales to evade taxes. To combat this, Taiwan introduced its Uniform Invoice Lottery in 1951. Drawing on the long-standing practice of *fapiao*—transaction records whose origins date back to the Qing dynasty—it turned every official customer receipt into a lottery ticket eligible for regular cash prizes. This gave millions of people a personal incentive to demand receipts, making them active participants in tax enforcement.

Businesses in Taiwan could no longer evade taxes simply by failing to issue receipts, because customers now had a powerful incentive to insist on them. Within a year, tax revenues had surged by 75%.

As politics encroaches on areas that require technical expertise, the risk of economic mistakes grows. From India to the US, if policy failures have taught us anything, it is that political instinct is no substitute for rigorous economic analysis.

10 YEARS AGO

JUST A THOUGHT

Inflation is always

point of RBI's target range of 2-6%.

Since then, the Indian economy's growth-inflation trade-off has changed quite dramatically. Today, we need a renewed focus on price stability. Data explains why. At the MPC's April meeting, growth for 2026-27 was forecast at 6.9% and inflation at 4.6%. The outlook on those two variables, however, has shifted. India's price incline has steepened while its pace of economic expansion has slowed only a

much money chasing too little to buy—a monetary phenomenon to the extent it involves money. And global macro conditions seem far more fragile. So the MPC must tread warily. As a soft option, it could change its stance. It shifted to 'neutral' from 'accommodative' in June 2025, although RBI's infusions of liquidity stayed hearty. The MPC could stay on that path and change its stance to 'withdrawal of liquidity.' Or, at the very least, issue a hawkish statement.

and everywhere a monetary phenomenon.

MILTON FRIEDMAN

MY VIEW | MODERN TIMES

Why a muzzled India grants a rather low bar for satire

MANU JOSEPH

is a journalist, novelist and screenwriter. His latest book is 'Why the Poor Don't Kill Us.'

A reason why the recent student protests were a triumph is that they were highly entertaining, though not for everyone. And they were fun because India has become such a suffocating place that any lampooning of politicians and the judiciary is funny. Some of the protestors were abusive, using language we have never heard in political analysis. They had more shock value than they deserved because we have become a stiff society. Given all that we have heard in the past few weeks, once again only the supernatural seems sacred in India.

The Prime Minister has forgiven abusers. Instead of sending the police after offending protestors, the government should learn to take some jokes.

Mainstream film, television and comedy in India have become so fearful of offending anyone, let alone the powerful, that there is almost no trace of society's inner lives in them. A lot of things that are worth watching are underground today. The protests were not only reels manifesting in real life, they were the surfacing of what stayed hidden.

When speaking one's mind is risky, people shut up. Then someone who is not fully aware of the risks says stuff and the spirit of the times explodes in public consciousness. That is what happened last month. It was also a reminder why the young pull off so many startups that once seemed ridiculous. They just don't know enough to be afraid, and when you are not trying to be too sensible sometimes things just work. Often, experience is the enemy of instinct.

I recall a scene in a British film where a character lifts the cassock of the Archbishop of Canterbury, surely Britain's most sacred man. I thought it wasn't funny, and I wondered why. Because in the UK you can do almost anything; if you can do anything, you have to be truly funny to be funny. But thin-skinned India is a great place for comedy.

We have always been a nation of humourless patriarchs. It is said that when someone asked Gandhi what he thought of Western civilisation, he said, "That would be a good idea." It might be apocryphal, but that's the only funny thing I know about him. Scholars may know more, but he mostly had a grave bearing. Ambedkar, even more so. His very war was against ridicule, so he probably did not rate jokes or satire highly. They emerged as leaders in tough times, and the Indian Constitution that they shaped does not safeguard freedom of expression as much as comedians who wave the book about think. It grants free speech with so many caveats that one can be harassed in court for merely saying obvious things. But still, Indian law once had enough grey areas and artists did manage to say stuff hoping to get away. After all, in this country you can drive on the wrong side of the road for half your life and never get caught. But in recent times, the suffocation of speech has intensified.

The protests were not only reels in real life but the surfacing of what stayed hidden

For all its limitations in guarding meaningful free speech, the Constitution does back the right to protest. After all, we are a nation that emerged from public demonstrations. And the patriarchs who led the country to freedom were all protestors. They were just not entertainers, sadly.

The virtual disappearance of political satire in Indian mainstream public spaces may have done the government some harm. Satire is information. It is intel. It reflects the mood of the people. It needs to entertain and it can only entertain with truths. So, if this channel of information from the public gets blocked by a shield of sycophancy, it's a loss for those who need real data.

I do not say Indian public space is an information blackhole, but I do feel that information is degraded so much that the government has lost the pulse of the young. It misread the popularity and potency of the Cockroach Janta Party right from the start. A lot of what was said during the protest would have come up in mainstream media and cinema in a free society.

But is the government the only force to blame for the cultural suffocation? To an extent, Indians have muzzled themselves. I would argue they have capitulated too easily, surrendered whatever ambiguous freedoms we had without a fight.

There is too much practicality in India's collective soul. A newly prosperous middle-class feels it has much to lose by being seen as dissenters. This could explain why few have cared to push back. Many of those who did have found themselves pushed to the fringes of the national mainstream. Free speech was not just non-rewarding, it began to look increasingly like a liability. What the young protestors showed was the sheer joy of speaking out without worrying about the powerful people who decide so many aspects of our lives.

India's ruling Bharatiya Janata Party itself grew in response to cultural suffocation, of a very different sort, in a world that was woke before it knew of such a word. Upper castes were sometimes taunted for their pride in Hindu beliefs and customs, and they were expected to take it on their chin. They felt suffocated by the Nehruvian order, where one had to hold a set of Western values.

Eventually, it led to a cultural resurgence that looked like a religious movement but was largely a revolution led by an elite that fought back by recruiting others. The Hindu movement was a serious force. It did not require satire. Satire is a weapon of those who fear they don't have the strength of numbers. But the Hindu resurgence did emerge from suffocation. So its leaders should know it is an unnatural human state. People will find a way to breathe a little.

THEIR VIEW

Indian savings trapped at home: let retail investors venture out

Ease capital controls so that market forces can reward investors and reduce India's macro instability on the external front

SOMNATH MUKHERJEE
is chief investment officer, ASK Private Wealth.

ISTOCKPHOTO

The exodus seems incessant—in the first six months of 2026, foreign portfolio investors (FPIs) have pulled out $28 billion from Indian equities, exceeding the $19 billion they pulled out in all of 2025. This has been a primary reason for the rupee's sharp decline, as India saw a rare instance of its capital account going into deficit during the first quarter of 2026-27. Curiously, though, despite the heavy selling and large supply

MINT CURATOR

Warsh's 'no comment' stance is a risk to the Fed's credibility

It cedes control to markets and may come to constrain Fed efficacy

BILL DUDLEY
is a Bloomberg Opinion columnist and former president of the Federal Reserve Bank of New York.

Warsh kept the US Fed's monetary policy reaction function under wraps. AFP

US Federal Reserve chair Kevin Warsh seemingly wants to outsource monetary policy to financial markets. In his telling, the central bank's job is to referee and not influence market expectations. To ensure that outcome, he argues that not only is it essential that the Fed provide no forward guidance about the future path of interest rates, but also that the Fed not explain how it would likely respond as circumstances change; that is, not explain the central bank's monetary policy reaction function.

Warsh's own influence as the Fed chair.

By not tightening US monetary policy, Warsh missed a chance to rebuild Fed credibility. This would have helped square the circle between his rhetoric—commitment to a 2% inflation goal—and action. A rate hike would have made it clear that Warsh of new shares via public offerings, stock prices, at least at headline index levels, haven't corrected sharply. The Nifty 50 index is down barely 8% from its all-time high.

The reason is simple. Domestic flows into equity through mutual funds, National Pension System and the Employees' Provident Fund Organisation (EPFO) have been robust. Most importantly, this demand is 'trapped': i.e., managers and investors have no choice due to capital-account restrictions but to invest in Indian equities. Unlike FPIs, an ordinary Indian investor cannot diversify into markets outside India. The Liberalised Remittance Scheme, which allows annual transfers overseas of $250,000 per individual, is too complex to be of use to all but the richest Indians. Mutual funds, the most accessible vehicle for retail investors, hit their modest $7 billion cap on overseas investments many years ago. As a result, we now have a *de facto* 'domestic liquidity put' on India's equity market, preventing stock prices from falling too sharply and keeping market volatility low. This has caused market and macroeconomic anomalies.

Broken transmission between equity and currency markets: While outflows of foreign capital provide a shock absorber for currency overvaluation, the equity market has a hard backstop preserving valuation excesses. Measured on a real effective exchange rate (REER) basis, which is a relative-value index comprising major trading currencies, the rupee is currently undervalued. But equity prices measured by price-earnings multiples are still holding up at long-term averages. They are high enough to compare unfavourably with peer-group markets seen through a growth-valuation framework. The result is a bit of a vicious cycle. FPIs sell and domestic liquidity funds their orderly exit, with little price impact; so valuations remain high and FPIs sell more. In the process, India's capital account suffers as the self-healing price mechanism of the currency market doesn't transmit to the equity market.

Lazy corporate capital allocation: Thanks to the frayed geopolitics of our times, India has rudely been reminded of its core weakness—despite our sheer size, we lack important sinews of technology and manufacturing. A big reason is the risk-averse nature of large discretionary capital allocators in the private corporate sector. If companies know they have a captive investor base, they won't take outsized risks to find the next big new thing and stick to the straight-and-narrow. No surprise that their research and development (R&D) spending as a proportion of revenue is one of the smallest among major economies. This engenders another vicious cycle—of corporate focus on capital-frugal business models, under-investment in R&D, and dependence on foreign suppliers for core technologies as well as industrial intermediates. Storied acquisitions abroad by large Indian corporates mostly turn out to be rentier models of ownership that seek equity value accretion without meaningful diffusion of technology.

Peter pays for Paul: Thanks to restrictions on overseas investment, the domestic institutional investor (DII) has been left at a big disadvantage. If the Indian mutual fund, insurance company or pension fund manager finds, say, Indian infotech stocks falling short of growth, she cannot choose to invest in US tech companies with better growth profiles. If Korean and Taiwanese stocks offer exciting opportunities in artificial intelligence, she can't participate. The result? Loss of agency. The DII is constrained to allocate resources to a limited pool of Indian securities, reducing its role from an active fiduciary allocator to that of a pooling vehicle for funds going into Indian assets.

In the last two decades, the Indian equity market has performed well. It has outperformed other emerging markets, including China's. Yet, in this period, while the Nifty 50 returned about 12.5% annually in rupee terms, the S&P 500 went up by about 14.5% annually in rupee terms. In other words, ₹100 invested in the Nifty 50 two decades ago would be worth about ₹1,000 today but about ₹1,500 had it been invested in the S&P 500.

A vast majority of Indians don't have the wherewithal to independently identify S&P 500 or any other overseas investment as an opportunity, or even access it, unless enabled by vehicles like mutual funds, the EPFO and NPS.

With 140 million equity investors (60 million via mutual funds) investing in capital markets, this isn't an elite activity anymore. It touches India's remotest corners. Add equity allocations by the EPFO, NPS and insurers, and the impact of the stock market on ordinary lives is large and clear.

The irony of the current capital account regime is that well-resourced FPIs are allowed to take out their money freely and large Indian businesses are allowed to acquire foreign firms with relative freedom, but household investors find it very hard to take small dibs at overseas markets. The highly successful 'Mutual Fund Sahi Hai' ad campaign, therefore, risks becoming a pooling vehicle for retail investors to fund orderly exits for large FPIs and promoters, while also engendering macroeconomic instability.

The stimulation of novelty is what keeps the brain going, and for longer. The routine of hard capital controls for household investors and a mechanical sweep of domestic risk savings into Indian equities may have served India well. But macroeconomic stability, capital allocation and investor interest are collectively crying out for a change. It's an idea whose time has come.

These are the author's personal views.

I have no quarrel with ending forward guidance when the Fed is not at the zero lower bound for short-term rates. In most other cases, forward guidance is unnecessary and may at times be counterproductive by making it more difficult for policymakers to rapidly shift course. But when Warsh goes far beyond that and refuses to provide information about what is important to him and the Fed in conducting monetary policy, that is where I get off the bus.

Warsh's idea of outsourcing monetary policy to financial markets is terrible for several reasons. *First*, if financial market participants do not understand the Fed's reaction function, then they are going to do a poor job assessing how the economic data will influence monetary policy. This will make monetary policy less efficient, prone to more room for error between what the market expects the Fed will do and what it will actually do, and less timely, with financial conditions slower to adjust in a way consistent with likely future changes in monetary policy. In other words, the link between monetary policy and its impact on economic conditions will be looser and slower.

Second, financial markets price by what they expect the Fed will do, not what it should do. So, when the central bank is silent about how it is interpreting incoming information, policy expectations become more muddled and indeterminate—the Fed looking at markets, with markets looking at the Fed. This is a recipe for confusion, greater volatility and higher risk premia.

Third, this approach threatens to undercut the Fed's credibility. This was evident in late July as investors responded to Warsh's press conference by lowering short-term rate expectations (the 2-year Treasury note's yield fell) and raising risk premia and inflation expectations (10-year and 30-year Treasury note yields rose).

Fourth, if Warsh is going to be silent about the Fed's reaction function, market participants will just get their information from other policymakers. Continuing with his 'no comment' approach will undercut was in charge and not beholden to market expectations. If the Fed tightens policy in September, Warsh may be viewed as having been forced to act to restore his credibility and/or to avoid being viewed as having lost control over the rate-setting Federal Open Market Committee (FOMC).

What about the notion that the rise in US longer-term interest rates represents markets doing the Fed's work for it? As Warsh noted, since the June FOMC meeting, medium- and longer-term rates have moved higher. This means that financial conditions are tighter and that should help exert restraint on the economy.

This is a problematic approach to monetary policy. *First*, it is an inefficient mechanism for guiding the economy. Yields are higher presumably because of greater uncertainty about how the Fed will behave and its commitment to take the steps necessary to push inflation lower. Higher risk premia are a dead-weight loss to the economy relative to a well-calibrated and credible policy. *Second*, yields may be rising due to a loss of confidence in the Fed. Higher long-term inflation expectations will make it harder for the Fed to push the inflation rate back down to its 2% objective.

So where do we go from here? Currently, markets have priced in about a two-thirds chance of a 25 basis-point increase in the target federal funds rate at the next FOMC meeting. This is probably about right. After all, despite a strong case for tightening, the data between now and then could be consistent with a softer economy, weaker labour market and less underlying inflation pressure, which could cause the Fed to hold off and wait for more information.

But the Fed will likely need to tighten before too long. There is little evidence that monetary policy is currently restrictive, the Fed is missing only on the inflation side of its mandate and the rise in longer-dated yields underscores that the central bank's credibility is at risk. The pressure on Warsh to back up his rhetoric with action might continue to increase.

©BLOOMBERG

THEIR VIEW

Maritime security has begun to shape the world order

HARSH V. PANT

is professor of international relations, King's College London, and vice president for studies at Observer Research Foundation, New Delhi.

Renewed Houthi attacks in the Red Sea have once again demonstrated that geography is central to contemporary geopolitics. Despite rapid advances in technology and the emergence of new domains of warfare, control over maritime chokepoints provides states and even non-state actors with disproportionate strategic leverage. Simultaneous instability in the Bab el-Mandeb and the Strait of Hormuz represents far more than a regional security challenge; it threatens the foundations of global trade, energy security and the rules-based maritime order.

The broader regional conflict triggered by the US-Israeli military campaign against Iran in February has once again transformed Yemen into a theatre of proxy competition. Although the Bab el-Mandeb is formally open, it has become an increasingly high-risk transit corridor, particularly for vessels linked to Saudi Arabia or countries perceived as aligned with its regional policies.

The strategic importance of these developments extends well beyond Yemen. Maritime chokepoints have historically served as critical arteries of global commerce, but they are increasingly being weaponized as instruments of geopolitical coercion. The Strait of Hormuz carries nearly one-fifth of globally traded oil and substantial volumes of liquefied natural gas. The Bab el-Mandeb serves as the southern gateway to the Red Sea and then Suez Canal, facilitating roughly a tenth of global maritime trade and a significant share of Gulf energy exports destined for Europe. Together with the Strait of Malacca, Taiwan Strait, Suez Canal and Panama Canal, these narrow passages constitute the backbone of the global trading system.

Their disruption generates economic consequences far beyond their immediate geographic sphere.

What distinguishes the current moment is the growing ability of non-state actors to exploit these vulnerabilities. The Houthis have demonstrated that relatively modest military capabilities—combining drones, precision-guided missiles and small maritime platforms—can impose enormous costs on the global economy. Geography, when paired with inexpensive but effective technology, allows asymmetric actors to challenge superior naval powers and compel expensive military responses. This reflects a broader transformation in contemporary conflict, where strategic leverage increasingly derives from the ability to disrupt critical infrastructure rather than dominate conventional battlefields.

Seaborne trade chokepoints being leveraged or weaponized require India to focus on its naval power

The concurrent pressure on both the Strait of Hormuz and Bab el-Mandeb has geopolitical consequences that extend beyond regional rivalries. Freight rates, insurance premiums and shipping costs have risen, extending transit times and adding inflationary pressures across global supply chains. Europe and Asia are particularly vulnerable because of their dependence on the Suez-Red Sea corridor, while developing economies face higher import costs for food, fertilizers, manufactured goods and energy. These disruptions reinforce the growing recognition that global supply chains optimized purely for efficiency are increasingly exposed to geopolitical shocks.

Consequently, governments and businesses are accelerating efforts to diversify trade routes and enhance supply chain resilience. The Cape of Good Hope is the principal alternative to the Red Sea, but it adds between one and two weeks to Asia-Europe voyages, significantly increasing costs, fuel consumption and emissions. Interest has also grown in the Northern Sea Route across the Arctic, although seasonal constraints, Russian regulatory control, insurance challenges and environmental concerns limit its viability. Overland corridors such as the China-Europe Railway Express, International North-South Transport Corridor (INSTC), Middle Corridor and the proposed India-Middle East-Europe Economic Corridor (IMEC) are receiving attention as complementary routes. While none can match the cost-advantage of the Suez-Red Sea route, together they represent a shift towards redundancy in global logistics.

For India, these developments carry strategic implications. Instability in the Red Sea directly affects India's trade with Europe, raises freight costs and complicates energy imports from the Gulf. It also reinforces the need for India to move beyond a continental security mindset and deepen its role as a net security provider in the Indian Ocean Region. This requires sustained investments in naval modernization, maritime domain awareness, logistics agreements with like-minded partners and enhanced operational coordination through frameworks such as the Quad. At the same time, India must accelerate connectivity initiatives such as the IMEC and INSTC to reduce dependence on single maritime routes while expanding engagement with key littoral states in the Western Indian Ocean and the Gulf. As geopolitical competition shifts to the maritime domain, India's ability to safeguard critical sea lanes and contribute to a stable Indo-Pacific will be key in its rise as a leading power.

Maritime chokepoints are no longer passive geographical features but active instruments of coercion. For policymakers, the challenge is not just to restore freedom of navigation but to adapt to a world in which geopolitical risk has become a permanent feature of world trade. The era of globalization defined by efficiency is giving way to one in which resilience, redundancy and maritime security shape the global order.

EK SE KYA HOGA?
#MULTIMATTERS

One scoop? One season? One destination?

COME ON!

Nobody chooses just one, when there's so much more to explore.

A well-diversified portfolio starts with

Multi Cap Funds

Invest across **Large Cap, Mid Cap** and **Small Cap** companies

Multi Asset Allocation Funds

Invest in at least three different asset classes
E.g. **Equity, Debt** and **Commodities**

Disclaimer: Investors are requested to note that it is mandatory for all mutual fund investors to undergo a one-time KYC (Know Your Customer) process. To know about the KYC documentary requirements and procedure for change of address, phone number, banks details, etc. investors are requested to visit www.mahindramanulife.com. Investors are requested to deal with only registered Mutual Funds, details of which can be verified on the SEBI website under 'Intermediaries/Market Infrastructure Institutions'. All complaints regarding Mahindra Manulife Mutual Fund can be directed towards mfinvestors@mahindramanulife.com and/or visit https://scores.sebi.gov.in/ (SEBI scores portal). In case the investor is not satisfied with the resolution of the complaints raised directly with the AMCs or through the SCORES portal, they may file any complaint on the Smart ODR on https://smartodr.in/login. This material is part of Investor Education & awareness initiative of Mahindra Manulife Mutual Fund.

Cno.02893

SEBI Registered Name: Mahindra Manulife Mutual Fund | SEBI Registration Number: MF/069/16/01

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.